

Earlier-than-expected NIM rebound and decline in overcapacity risk

Solid export growth, the end of negative PPI, earlier and better-than-expected NIM rebound and further reduction in credit risks continue to support our view of a positive development loop for China Financials. We raise earnings forecasts and price targets for China's major banks and see steady outperformance.

Tech and industrial upgrades, rather than stimulus, supported an earlier than our expectations for a positive development loop for China Financials following the cycle bottom in 2024. This is evidenced in: 1) continued strong exports growth aided by tech and industrial upgrades; 2) much earlier-than-expected rebound of PPI back to positive levels; 3) earlier-than-expected NIM rebound supported by stabilizing loan yield and continued decline in funding cost; 4) continued strong household financial asset growth of 10.8% as of 1Q26, which supported strong capital market activities and fee income growth at banks; and 5) a broad based earnings beat by Chinese financials in 1Q26 results. While loan growth continues to moderate, we continue to believe it is largely due to more rational loan allocation amid the absence of a push for loan volume growth by policy makers, rather than a sign of a persisting weak demand cycle.

High risk credit moderated to around 7% of industrial credit, which should ensure more stable credit risks amid the revenue recovery cycle. Our latest bottom-up analysis of industrial credit risks shows notable moderation of high risk credits to around 7% now from around 10% in our late-2025 assessment, due to: 1) much quicker than expected slowdown in industrial capacity expansion in 2H25; 2) continued strong exports growth; and 3) rebound in domestic investment growth. Notably, profit growth of industrial sectors accelerated to 19% in 1Q26 with a number of high risk sectors showing notable improvement in profit, margin and ROE. More importantly, industrial credit growth remained rational despite a rebound in profit and investment growth.

Raising earnings estimates and price target for China's major banks amid a balanced and sustainable growth environment for China Financials. We believe the current growth model in China that focuses on industrial and tech upgrades with more market-oriented industrial capacity expansion and rational pace of fiscal stimulus, is a more sustainable growth model that will support a continued positive development loop for China Financials. We raise earnings estimates and PTs for China's banks on an earlier-than-expected NIM rebound, reasonable balance sheet growth, healthy fee income growth and lower expectations for credit costs in coming years. **Bank of Ningbo** remains as our Top Pick, and we prefer **BOC-H** and **CCB-H** with stable profit growth and attractive dividend yields (5.3%-5.4% 2026E).

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CHINA FINANCIALS
Asia Pacific
Industry View
Attractive

Exhibit 1 : Summary of changes to price targets and ratings

A share		Rating	Price target		Last close	Upside	Target PB			
			New	Old			New	Old	Change	
			(HKD)	(HKD)			(HKD)	2026E	2026E	
ABC	1288.HK	OW	7.40	6.90	7.2%	6.07	22%	0.77	0.72	0.05
ICBC	1398.HK	OW	8.70	8.00	8.7%	6.88	26%	0.66	0.62	0.04
CCB	0939.HK	OW	11.30	9.90	14.1%	8.73	29%	0.70	0.63	0.07
BOC	3988.HK	OW	6.70	6.30	6.3%	5.23	28%	0.68	0.64	0.04
PSBC	1688.HK	OW	6.30	6.50	-3.1%	5.06	25%	0.68	0.63	0.05
CMB	3968.HK	OW	60.40	63.40	-4.7%	46.10	31%	1.12	1.14	(0.02)
CITIC	0998.HK	OW	10.30	9.20	12.0%	7.77	33%	0.65	0.58	0.07
Minsheng	1988.HK	OW	5.30	6.10	-13.1%	3.48	52%	0.35	0.39	(0.04)
BoCom	3328.HK	UW	6.50	6.10	6.6%	7.19	-10%	0.42	0.39	0.03
Everbright	6818.HK	UW	2.70	2.70	0.0%	3.07	-12%	0.26	0.26	0.00
CRCB	3618.HK	UW	5.10	4.00	27.5%	6.85	-26%	0.36	0.27	0.10
Price target										
A share		Rating	Price target		Last close	Upside	Target PB			
			New	Old			New	Old	Change	
			(RMB)	(RMB)			(RMB)	2026E	2026E	
PingAn	000001.SZ	OW	15.30	15.20	0.7%	10.77	42%	0.62	0.60	0.01
Minsheng	600016.SS	OW	5.20	6.00	-13.3%	3.56	46%	0.39	0.44	(0.05)
Industrial	601166.SS	OW	26.40	30.50	-13.4%	17.33	52%	0.63	0.78	(0.15)
CMB	600036.SS	OW	53.00	56.10	-5.5%	37.17	43%	1.12	1.14	(0.02)
Ningbo	002142.SZ	OW	48.30	45.00	7.3%	31.31	54%	1.29	1.20	0.09
Chengdu	601838.SS	OW	25.70	24.60	8.5%	18.68	43%	1.14	1.03	0.11
ABC	601288.SS	EW	7.20	6.80	5.9%	6.46	11%	0.86	0.81	0.05
ICBC	601398.SS	EW	8.50	7.90	7.6%	7.13	19%	0.73	0.69	0.04
CCB	601939.SS	EW	11.00	9.80	12.2%	9.85	12%	0.78	0.70	0.08
BOC	601988.SS	EW	6.50	6.20	4.8%	5.70	14%	0.75	0.71	0.04
CITIC	601998.SS	EW	10.00	9.10	9.9%	7.86	27%	0.72	0.65	0.07
SPDB	600000.SS	EW	10.90	13.80	-21.0%	8.94	22%	0.50	0.57	(0.07)
Beijing	601169.SS	EW	6.20	6.70	-7.5%	5.14	21%	0.46	0.48	(0.02)
Hangzhou	600926.SS	EW	16.90	16.30	3.3%	16.19	17%	0.89	0.83	0.06
BoCom	601328.SS	UW	6.30	6.00	5.0%	6.57	-4%	0.47	0.43	0.03
Everbright	601818.SS	UW	2.60	2.60	0.0%	3.13	-17%	0.29	0.29	0.00
Hua Xia	600015.SS	UW	6.10	5.90	3.4%	6.87	-9%	0.29	0.28	0.01

Source: Morgan Stanley Research estimate. Closing prices as of May 20, 2026.

Related reports:
China Financials: 2026 Outlook: Gradually back to a positive loop (11 Jan 2026)
China Financials: 2025 Outlook: Brightening up – cycle bottom to outweigh potential US tariffs (16 Dec 2024)
China Financials: Regulatory Reset + Industrial Policy Support – Implications for Financials

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Order of Preference

Exhibit 2: Order of preference - A shares

A share

Order of preference

Name	Minsheng	Industrial	Minsheng	Chengdu	CMB	PAB	CITIC	Hangzhou	SPDB	Beijing	BOC	CCB	ICBC	ABC	BuCom	Huatai	CEB
Stock code	601211.SS	601558.SS	601016.SS	601036.SS	601002.SS	601001.SS	601006.SS	600000.SS	601000.SS	601009.SS	601008.SS	601009.SS	601008.SS	601008.SS	601008.SS	601016.SS	601016.SS
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Underweight	Underweight	Underweight
Currency	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB	RMB
Current price	21.31	17.30	5.80	16.86	27.17	10.77	7.88	16.10	8.84	5.14	5.70	9.80	7.13	6.46	6.07	6.07	3.10
Price target	48.30	26.40	5.20	26.10	33.00	15.30	10.00	18.00	10.00	6.20	6.50	11.00	8.50	7.20	6.30	6.10	2.80
Target upside (%)	90	50	46	48	43	40	27	17	20	20	14	12	19	11	4	0	0
Market cap (RMB100m)	207,564	303,540	152,463	75,428	955,670	210,749	424,135	118,449	262,700	108,086	1,611,501	1,943,165	2,479,772	2,275,178	481,100	162,800	162,800
Street view																	
Blue - Overweight Yellow - Equal-weight Green - Underweight																	
MS vs Consensus																	
NPAT 26e	2%	5%	4%	1%	2%	3%	5%	0%	-1%	-4%	1%	3%	3%	2%	3%	-1%	2%
NPAT 27e	4%	10%	6%	3%	2%	6%	6%	0%	-1%	-6%	2%	5%	5%	2%	4%	-1%	6%
PE																	
2026e	8.5x	4.8x	5.7x	5.7x	6.3x	5.1x	8.2x	5.8x	6.2x	6.1x	7.0x	6.9x	8.1x	8.1x	5.4x	4.1x	5.4x
2027e	5.7x	4.4x	5.2x	5.3x	6.0x	4.8x	5.7x	5.3x	5.7x	6.1x	7.5x	7.0x	6.5x	7.7x	5.2x	4.0x	5.1x
PB																	
2026e	0.89x	0.40x	0.37x	0.60x	0.70x	0.48x	0.87x	0.77x	0.43x	0.39x	0.67x	0.67x	0.60x	0.79x	0.41x	0.31x	0.31x
2027e	0.76x	0.38x	0.26x	0.60x	0.73x	0.41x	0.53x	0.68x	0.36x	0.37x	0.65x	0.65x	0.59x	0.74x	0.36x	0.29x	0.30x
ROE - %																	
2026e	12.0x	9.0x	4.8x	14.7x	12.0x	9.0x	9.0x	14.0x	6.7x	6.7x	9.0x	9.4x	10.0x	7.8x	7.8x	7.8x	6.8x
2027e	14.1x	9.1x	5.0x	14.1x	12.6x	8.8x	9.6x	13.5x	7.1x	6.1x	8.7x	9.7x	9.3x	9.9x	7.7x	7.6x	6.7x
Price performance																	
1M Abs Perf	-3%	-6%	-4%	-7%	-2%	-3%	-4%	-6%	-6%	-6%	-3%	1%	-6%	-10%	-1%	-1%	-1%
3M Abs Perf	0%	-4%	-6%	-15%	-4%	-1%	7%	0%	-10%	-5%	7%	13%	0%	-1%	-1%	-1%	-1%
YTD Abs Perf	11%	-10%	-1%	16%	-12%	-4%	2%	6%	-20%	-6%	-1%	6%	-10%	-10%	-9%	-3%	-10%

Source: Morgan Stanley Research, FactSet; e = Morgan Stanley Research estimates. Closing prices as of May 20, 2026.

Exhibit 3: Order of preference - H shares

H share

Order of preference

Name	Citic	BOC	CCB	Minsheng	ICBC	ABC	PSBC	CMB	BOCOM	CEB	CRCB
Stock code	0959.HK	3988.HK	0939.HK	1568.HK	1398.HK	1258.HK	1658.HK	3968.HK	3328.HK	6818.HK	3618.HK
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Underweight	Underweight	Underweight
Currency	HKD	HKD	HKD	HKD	HKD	HKD	HKD	HKD	HKD	HKD	HKD
Current price	7.77	5.23	8.73	3.48	6.88	6.07	5.06	46.10	7.19	3.07	6.85
Price target	10.30 HKD	6.70 HKD	11.30 HKD	5.30 HKD	8.70 HKD	7.40 HKD	6.30 HKD	60.40 HKD	6.50 HKD	2.70 HKD	5.10 HKD
Target upside (%)	33	28	29	52	26	22	28	31	10	-12	-28
Market cap (HKD100m)	424,138	1,611,501	1,943,165	152,463	2,479,772	2,275,178	405,991	955,670	483,166	165,802	67,467
Street view											
Blue - Overweight Yellow - Equal-weight Green - Underweight											
MS vs Consensus											
NPAT 26e	5%	1%	3%	6%	3%	2%	3%	2%	3%	4%	-4%
NPAT 27e	8%	2%	5%	9%	5%	2%	3%	2%	4%	7%	-7%
PE											
2026e	5.4 e	6.2 e	5.7 e	4.9 e	5.7 e	6.5 e	6.3 e	6.8 e	5.1 e	4.7 e	5.3 e
2027e	5.0 e	5.9 e	5.4 e	4.5 e	5.4 e	6.1 e	6.0 e	6.5 e	4.9 e	4.5 e	5.1 e
PB											
2026e	0.49 e	0.53 e	0.52 e	0.23 e	0.52 e	0.63 e	0.54 e	0.85 e	0.39 e	0.27 e	0.47 e
2027e	0.46 e	0.49 e	0.49 e	0.22 e	0.49 e	0.59 e	0.51 e	0.78 e	0.36 e	0.26 e	0.44 e
ROE - %											
2026e	9.5 e	8.7 e	9.8 e	4.8 e	9.4 e	10.0 e	8.5 e	13.0 e	7.8 e	6.6 e	9.1 e
2027e	9.6 e	8.7 e	9.7 e	5.0 e	9.3 e	9.9 e	8.8 e	12.6 e	7.7 e	6.7 e	9.0 e
Price performance											
1M Abs Perf	-5%	0%	-2%	-5%	-4%	-2%	-1%	-10%	-1%	-3%	-4%
3M Abs Perf	7%	12%	9%	-16%	8%	13%	-1%	-6%	4%	-9%	13%
YTD Abs Perf	12%	17%	14%	-11%	9%	5%	-5%	-13%	11%	-16%	11%

Source: Morgan Stanley Research, FactSet; e = Morgan Stanley Research estimates. Closing prices as of May 20, 2026.

Positive development loop for China Financials earlier than expectations

In 2022, we detailed analysis highlighting that policy development focus shift to industrial and tech upgrades while containing financial and property risks, would be a long term positive for China Financials despite some near term pain ([China Financials: Regulatory Reset + Industrial Policy Support – Implications for Financials](#)).

In late 2024, we highlighted that [major domestic credit cycles had bottomed](#) and that we expected China's financial system to get back to a positive development loop in 2026. It turns out that this expectation is well on track.

Specifically, our assessment showed that [local government risks bottomed in 1H24](#) with land sale revenue and LGFV debt increases seeing sharpest decline in 1H24, shrinking by around Rmb3tn YoY. In addition, most credit risks from the property sector have been well digested by various market participants. [Our monthly tracker on industrial credit risks](#) also showed continued rationalization of capex expansion and profitability improvement, with more balanced supply-and-demand dynamics.

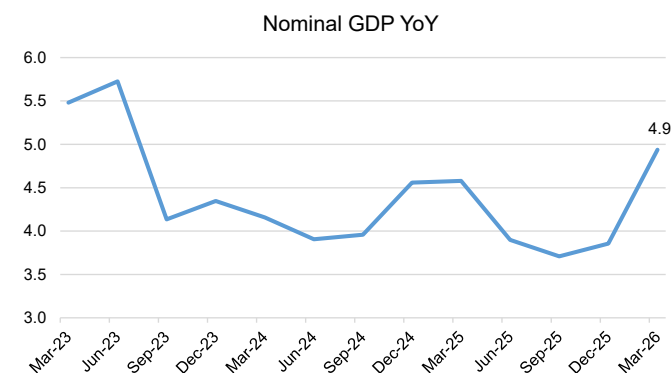
This supports our confidence in [a positive development loop in China's financial sector](#), which we highlighted earlier this year. We see several favorable trends taking place, including continued shift in policy support from credit to fiscal, steady digestion of existing financial risks with lower new risk formation, less policy intervention in loan growth and loan pricing, and lower policy volatility.

On top of these, more evidence is showing earlier-than-expected positive loop for China Financials:

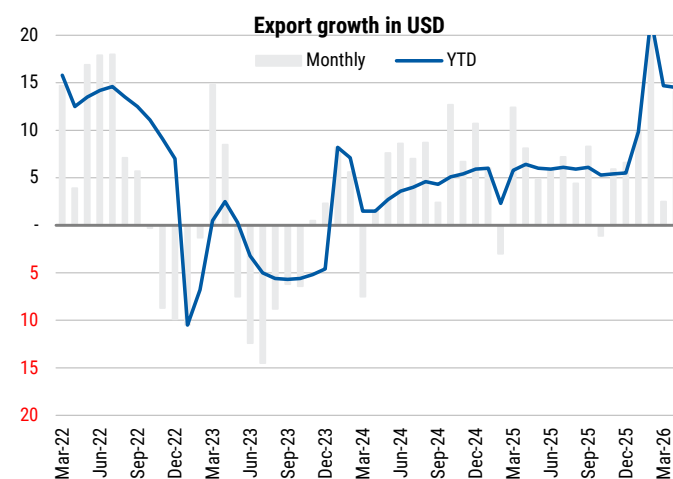
1) Solid export growth aided by tech and industrial upgrades

Nominal GDP growth has improved notably in 1Q26 to 4.9% YoY, supported by strong export growth and PPI returning to positive levels. Notably, despite some volatility in March, YTD export growth remained strong at 14.5% YoY in April, which supported production recovery.

[Our China macro team](#) also lifted 2026 and 2027 real GDP growth forecasts 0.1ppt each, to 4.8%, and 4.7% reflecting strong exports, as well as AI and green capex. This is in-line with our view that [China's domestic supply chains remained resilient](#) despite global uncertainties, which will drive continued reduction in credit risks for China financial sector.

Exhibit 4: Nominal GDP growth improved notably in 1Q26

Source: CEIC, Morgan Stanley Research

Exhibit 5: YTD export growth remained strong at 14.5% YoY in April

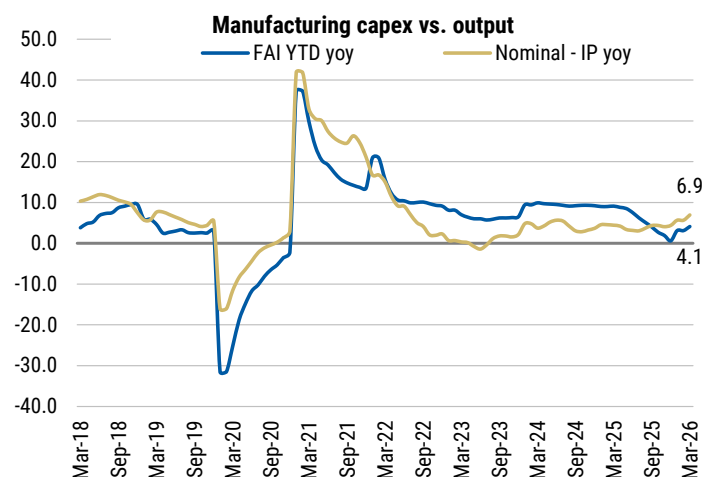
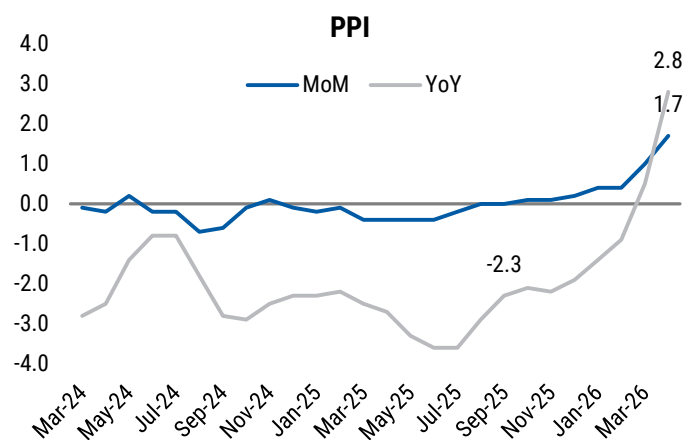
Source: NBS, CEIC, Morgan Stanley Research

2) PPI back to positive growth much earlier than market expected

YoY PPI growth turned positive in March for the first time in three years, and accelerated to 2.8% YoY in April. While AI and imported inflation were one of the key drivers for the positive growth recently, PPI pressures were already moderating for six months in a roll before the cost pushed inflation in recent month aided by anti-involution efforts. While our macro team believes the very uneven cost-pushing inflation may lead to negative impact on a large proportion of the economy, the positive PPI along with progress already achieved with anti-involution efforts before March have helped improve profitability of several high risk industrial sectors, hence, is net-net more positive for financial risk reduction.

Our macro team believes that an investment slowdown, on its own, is not a sufficient condition for sustained reflation as the 2016 -2017 reflation was driven by both demand and supply policies. However, the solution in 2016 and 2017 was not ideal for long term financial risk control. Notably, while the supply side reform helped reduce risks, the demand side policies led to long term risks that took years to digest.

We believe if China can contain disinflationary pressures with rational industrial investments and capacity expansion without major demand side stimulus will be more beneficial and sustainable for the China financial system. We have seen good progress as of now although the near-term macro impact could be more mixed, which again shows that policy makers are more focused on long term sustainability of the financial system and willing to tolerate some near-term macro volatility.

Exhibit 6: Manufacturing FAI and IP gap**Exhibit 7:** PPI growth accelerated to 2.8% YoY in April 2026

3) Earnings beat in China Financials 1Q26 results with earlier-than-expected NIM rebound

Most banks showed sequential NIM improvement in 1Q26 supported by stable new loan pricing and continued reductions in deposit and funding costs. This is despite the repricing of 10bp LPR cut in 2025 and still-weak retail loan growth in 1Q26. We think the loan yield floor introduced in 2H25 has played a major positive role in curbing irrational pricing competition among the banks. This, along with healthy fee income, led to strong rebound in 1Q26 revenue growth and better-than-expected profit growth.

Exhibit 8: NIM rebounded 3bp QoQ on average in 1Q26

NIM	1Q25	2Q25	3Q25	4Q25	1Q26	QoQ (bps)
ICBC	1.33%	1.27%	1.24%	1.28%	1.29%	1.1
CCB	1.41%	1.39%	1.29%	1.29%	1.36%	7.1
BOC	1.29%	1.24%	1.26%	1.24%	1.26%	1.6
ABC	1.34%	1.30%	1.26%	1.23%	1.26%	3.4
BoCom	1.23%	1.19%	1.19%	1.21%	1.23%	2.0
CMB	1.91%	1.86%	1.83%	1.86%	1.83%	(3.0)
PSBC	1.71%	1.69%	1.64%	1.62%	1.65%	3.1
Minsheng	1.41%	1.37%	1.47%	1.35%	1.43%	8.3
Citic	1.65%	1.61%	1.63%	1.63%	1.61%	(2.0)
Everbright	1.41%	1.40%	1.42%	1.39%	1.45%	6.0
CRCB	1.61%	1.60%	1.56%	1.63%	1.69%	5.6
Industrial	1.80%	1.70%	1.68%	1.68%	1.62%	(6.0)
PingAn	1.83%	1.76%	1.79%	1.73%	1.79%	6.0
SPDB	1.40%	1.43%	1.44%	1.40%	1.44%	4.0
Huaxia	1.57%	1.51%	1.57%	1.60%	1.63%	2.9
Ningbo	1.80%	1.72%	1.76%	1.68%	1.73%	4.8
Chengdu	1.62%	1.62%	1.54%	1.59%	1.66%	6.7
Hangzhou	1.35%	1.35%	1.36%	1.39%	1.45%	5.7
Beijing	1.35%	1.27%	1.24%	1.22%	1.25%	3.0
Avg-SOE	1.39%	1.35%	1.31%	1.31%	1.34%	3.1
Avg-JSB NIM	1.62%	1.58%	1.60%	1.58%	1.60%	2.0
Avg-total	1.53%	1.49%	1.48%	1.47%	1.51%	3.2

Source: Company data, Morgan Stanley Research

Exhibit 9: SOE average profit growth improved to 3.4% YoY from 2.9% YoY in 4Q25

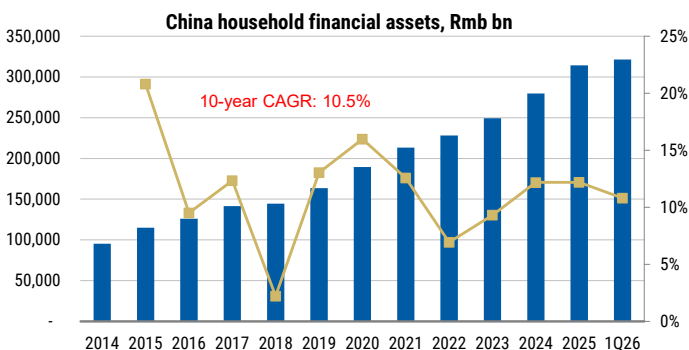
Net profits YoY	1Q25	2Q25	3Q25	4Q25	1Q26
ICBC	-4.0%	1.4%	3.3%	1.9%	3.3%
CCB	-4.0%	1.6%	4.2%	2.2%	3.5%
BOC	-2.9%	1.0%	5.1%	5.3%	4.2%
ABC	2.2%	3.2%	3.7%	3.6%	4.5%
BoCom	1.5%	1.7%	2.5%	2.9%	3.1%
CMB	-2.1%	2.7%	1.0%	3.4%	1.5%
PSBC	-2.6%	4.8%	1.2%	1.7%	1.9%
Minsheng	-5.1%	-4.5%	-10.6%	11.7%	-9.6%
Citic	1.7%	4.1%	3.5%	2.8%	3.6%
Everbright	0.3%	0.8%	-11.0%	-44.9%	-8.1%
CRCB	6.2%	3.2%	1.5%	19.1%	5.1%
Industrial	-2.2%	3.4%	-0.1%	1.3%	0.2%
PingAn	-5.6%	-1.6%	-2.8%	-10.1%	3.0%
SPDB	1.0%	26.9%	10.3%	11.6%	1.5%
Huaxia	-14.0%	-2.5%	7.6%	0.6%	-1.5%
Ningbo	5.8%	10.8%	8.7%	7.3%	10.3%
Chengdu	5.6%	8.7%	0.2%	-0.8%	4.8%
Hangzhou	17.3%	16.0%	9.0%	1.0%	10.1%
Beijing	-2.4%	5.1%	-1.8%	NA	5.6%
Avg-SOE	-1.6%	2.3%	3.3%	2.9%	3.4%
Avg-Total	-0.2%	4.6%	1.9%	1.1%	2.5%

Source: Company data, Morgan Stanley Research

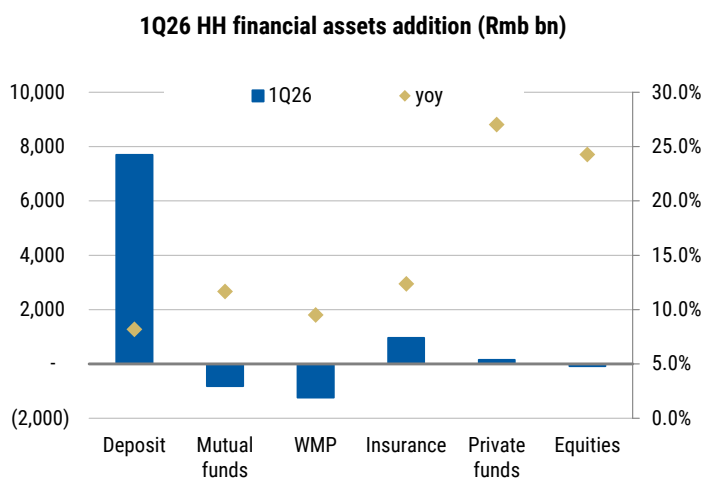
China – Banks 1Q26 Wrap: Revenue Jumped in 1Q26 Supported by Stable NIM and Healthy Fee Income Growth (29 Apr 2026)

4) Continued strong household financial asset growth in 1Q26 following years of 10%+ growth

Following two years of 12% annual growth in household financial assets, 1Q26 still delivered a healthy 10.8% YoY growth, and we expect the trend will last in 2026. This, combined with our expectation of continued healthy capital market activity and some shift in the allocation of new household financial assets to insurance, funds and bank wealth management products, should also support high-single-digit fee income growth at China's banks.

Exhibit 10: HH financial assets increased 10.8% YoY in 1Q26

Source: CEIC, WIND, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research

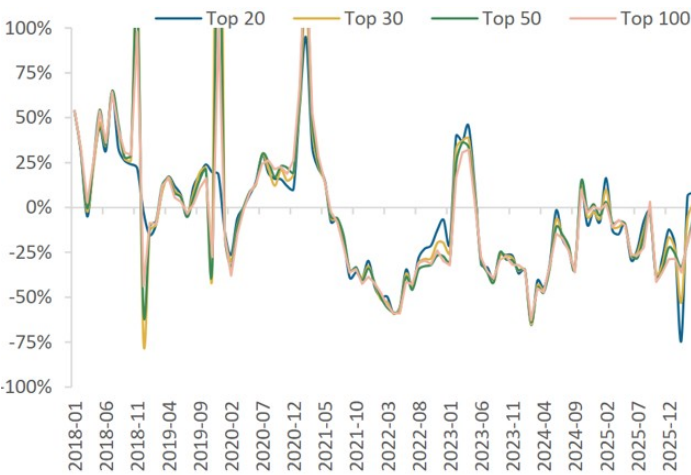
Exhibit 11: Deposits remain the major component for new HH financial assets

Source: CEIC, WIND, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research

5) Gradually stabilizing property market would be another catalyst

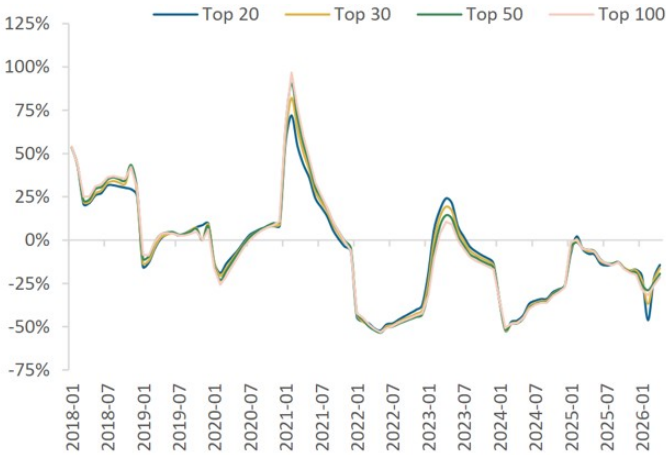
Our property team expects the property market to stay sluggish in 2026-27, as primary housing inventory is at a historical high level and secondary housing divestment pressure remains high, and the team expects the physical market to bottom in 2H27. While our property team remains skeptical about the sustainability, secondary home sales in top-tier cities have been stronger and lasted for longer than the market expected since March. We believe gradual stabilization of China's property market will be another key catalyst for improving financial asset yields over the next two years.

Exhibit 12: Top 100 developers – monthly attributable sales y-y change



Source: CRIC, Morgan Stanley Research

Exhibit 13: Top 100 developers – YTD attributable sales y-y change



Source: CRIC, Morgan Stanley Research

Potential 30% drop in high risk manufacturing credit should support lower credit costs

We continue to believe that rational capacity expansion rather than demand-side stimulus is a more sustainable path to solve the PPI pressure in China. This is achieved via notable slowdown in credit support by the financial system and anti-involution efforts, which we see as a more effective and market-oriented way to control the build up of any new capex.

Our recent discussions with policymakers suggest continued anti-involution at local governments and a focus on environment protection, which should lead to continued more balanced capex and end-demand growth and more sustainable pace in industrial upgrades. We think it would further reduce new risk formation for the financial system from the industrial sector.

High risk credits have moderated to 7.1% of industrial credits from 10% in late-2025 and should further moderate to 5-6% of industrial credit by end of 2026 if capex expansion remains at current pace.

The capex rationalization efforts have translated into improving manufacturing credit quality, based on our bottom-up analysis of 31 sub manufacturing sectors. As of March 2026, we identify one high risk sector (wood) and 11 medium risk sectors which are lower risk compared to previous estimates in late 2025 and late-2024. Major areas of improvement come from:

- Narrowing gap between FAI and nominal industrial production growth as of March 2026. In fact, more than half of the sectors are already posting slower capex growth compared to output growth, as a result of the capex slowdown since 2H25.
- Improving PPI. This is consistent with a rebounding PPI trend since mid 2025, with PPI up 2.8% YoY in April 2026.
- Better PPI has translated into higher gross margin at some sectors. Sixteen sectors saw YoY improving gross margin in 1Q26, compared to nine sectors that enjoyed better margin in 2025. Electronic devices, chemicals and non-ferrous metal processing have seen 1Q26 gross margin bouncing 2.4%, 1.5% and 2.1%, respectively, vs. 1Q25.

These changes have led to many sectors back to a low-risk profile – from medium or high-risk in our last assessment in late 2025 – such as chemicals, paper making and non-ferrous metal processing.

Exhibit 14: By Sector: Summary of credit risk assessment

	Step 1: whether EBIT interest coverage is too low				Step 2: measuring the red flag in different operating metrics																				Step 3: assigning risk categories											
	EBT interest coverage				Gross margin YoY				Net profit growth				Gap between FAI and nominal IP				Interest bearing debt growth				Produced goods inventory level: latest quarter vs. prior 36 months				PPI				Asset liabilities ratio				Total red flags	Low risk	Medium risk	High risk
	Aug 2014	Mar 20	Ref flag		Dec 20	Mar 26	Ref flag		Lower 25% percentile 2013	Mar 26	Ref flag		Mar 26	Mar 26	Ref flag		Mar 26 yoy	Ref flag		Q415	Mar 26	Ref flag		Q426 vs. 2020	Ref flag		Mar 26	Mar 26	Ref flag		Top 25% percentile 2013-2022					
Electronic devices	15.2	11.7			0.1%	2.4%			3.8	124.5			(8.7)	10.2			11.5%				92.5%	86.0%			0.4%				55.0%	58.0%			1			
Electrical equipment	8.8	8.3			-0.8%	-0.8%			7.2	14.5			(9.9)	4.7			10.4%				97.2%	92.4%			2.4%				64.2%	67.2%			1			
Auto	17.7	11.7			-0.6%	-0.8%			0.8	(17.7)			2.3	0.7			4.0%				87.2%	95.2%			-1.4%				64.2%	58.2%			1			
Chemicals	4.4	3.8			-0.1%	1.4%			3.2	56.5			(1.5)	5.5			4.5%				93.2%	95.1%			0.2%				50.2%	56.2%			1			
Food processing	2.2	2.2			0.0%	0.3%			(20.7)	(153.1)			0.3	12.6			1.5%				2.2%	96.1%			-1.0%				55.0%	60.2%			1			
Non-ferrous metal processing	3.5	11.6			-0.5%	2.1%			(6.7)	118.7			(21.8)	(2.1)			11.7%				92.9%	96.1%			17.2%				55.0%	62.6%			1			
Non-metal mineral	6.1	2.8			0.1%	-0.1%			3.0	(92.6)			1.1	7.6			0.5%				99.6%	4.4%			-2.7%				57.4%	54.7%			1			
Fuel processing	2.0	2.0			1.0%	3.0%			(28.5)	(8.3)			13.7	3.0%			3.0%				2.3%	16.3%			-4.1%				68.9%	66.2%			1			
Agricultural product processing	7.3	5.4			-0.4%	-0.4%			1.1	(8.0)			0.3	8.3			5.0%				67.7%	89.7%			-0.1%				54.0%	57.4%			1			
Metals	7.5	5.1			-0.3%	-0.3%			4.3	(11.0)			9.7	4.0%			4.0%				97.0%	95.2%			0.3%				57.8%	56.2%			1			
General equipment	8.3	10.9			0.1%	0.3%			1.2	(1.3)			6.0	8.5			6.0%				97.8%	65.4%			-0.8%				54.0%	54.0%			1			
Specialty equipment	7.0	8.8			-0.4%	0.4%			2.4	(10.0)			8.2	6.0%			6.0%				96.8%	94.7%			0.3%				57.8%	55.2%			1			
Rubber & plastic	7.4	8.5			-0.1%	0.6%			3.0	(0.1)			(6.7)	7.0			4.0%				96.7%	63.8%			-2.1%				53.7%	50.8%			1			
Plastics	11.0	11.0			0.1%	0.3%			10.7	(16.0)			(8.8)	7.6			4.0%				97.0%	12.4%			-0.1%				46.2%	46.2%			1			
Textile	3.5	3.7			-0.2%	0.2%			3.5	(7.6)			14.5	8.0			3.4%				97.0%	37.0%			-0.1%				43.8%	46.2%			1			
Food manufacturing	12.7	17.3			-0.4%	-0.3%			6.5	7.4			(6.1)	7.7			5.0%				96.5%	60.1%			-1.2%				52.7%	48.8%			1			
Animal	10.0	127.7			-0.2%	0.7%			7.5	(7.4)			(5.4)	9.0			2.0%				97.0%	84.4%			-1.9%				46.2%	46.8%			1			
Paper	3.8	4.1			0.0%	-0.2%			(6.7)	0.5			8.5	3.2			2.0%				95.8%	32.3%			-1.0%				58.1%	58.1%			1			
Apparel	8.3	8.8			-0.4%	0.7%			(6.7)	(17.0)			(5.7)	14.7			3.0%				96.7%	5.8%			-0.2%				54.0%	50.0%			1			
Entertainment	8.9	6.1			-2.0%	-0.8%			4.8	(9.1)			(18.3)	12.9			(1.2%)				95.0%	29.7%			13.2%				57.4%	53.3%			1			
Transportation equipment	7.5	10.0			2.3%	0.4%			0.4	16.7			14.3	10.0			7.0%				95.0%	95.2%			0.2%				20.1%	25.0%			1			
Tobacco	(84.0)	(137.4)			-0.2%	-0.5%			(3.8)	(8.2)			(9.2)	(6.2)			(8.6%)				95.0%	95.2%			0.2%				20.1%	25.0%			1			
Leather	(62.0)	6.0			-0.5%	-0.5%			(1.7)	(16.0)			4.7	7.1			1.2%				95.0%	10.6%			0.3%				57.1%	48.0%			1			
Waste recycling	8.3	3.5			-0.9%	1.0%			(4.2)	151.2			(5.4)	15.9			2.9%				81.7%	81.8%			2.8%				67.5%	62.3%			1			
Optical fiber	2.5	1.5			0.4%	1.1%			(8.8)	40.2			(14.6)	13.6			1.0%				43.6%	45.0%			-1.1%				62.1%	62.0%			1			
Wood	8.5	3.4			-1.2%	-0.7%			(0.8)	(7.4)			0.0	12.5			(0.9%)				96.2%	3.8%			-1.5%				65.0%	54.0%			1			
Instrumentation	12.4	12.4			0.0%	0.2%			4.3	(0.1)			(6.6)	5.3			7.0%				97.0%	68.2%			-0.6%				65.7%	46.3%			1			
Fitting	9.4	8.6			-0.1%	0.2%			(2.5)	(13.0)			(6.3)	8.7			2.1%				96.6%	53.2%			-0.8%				58.1%	58.2%			1			
Furniture	6.5	6.0			0.0%	0.0%			5.2	(44.0)			2.0	16.6			(4.6%)				97.7%	3.8%			-0.1%				60.0%	57.0%			1			
Other manufacturing	9.4	7.6			0.0%	-0.3%			0.2	7.7			(6.3)	8.7			1.4%				95.0%	39.3%			-0.8%				58.1%	59.3%			1			
Recreation	4.2	4.8			0.1%	-0.4%			(0.3)	(25.3)			(25.3)	(4.3)			8.1%				95.0%	22.8%			0.4%				60.0%	57.0%			1			

Source: NBS, CEIC, PBOC, Morgan Stanley Research

Our methodology

We use a scoring system for 31 sub-sectors of manufacturing, containing eight metrics closely related to credit quality. We assign a red flag if one of the below happens:

EBIT interest coverage: if a sector's latest interest coverage (as of Mar 26) is even lower than the 2014-2015 level, which was right before the last round of supply side reforms.

Gross margin trend: if a sector has seen a worsening margin trend in both FY25 and 1Q26.

Net profit growth: if 1Q26 growth is below the lower 25% percentile level between 2013 and 2022.

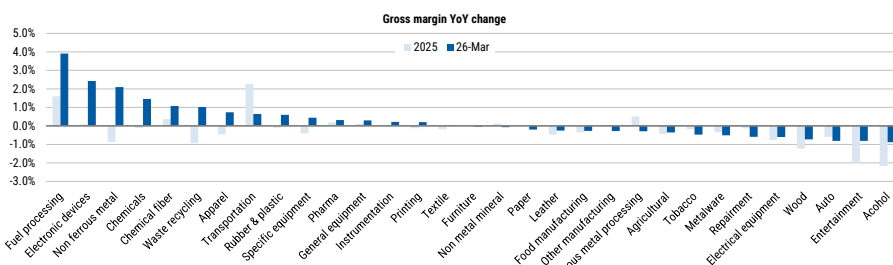
Gap between FAI and nominal IP: if the gap is wider than the top 25% percentile level between 2013 and 2022.

Interest bearing debt growth: if faster than overall loan growth suggested by TSF (5.8% YoY in Mar 2026).

Relative inventory level: if 1Q26 is higher than 4Q15.

PPI: if 1Q26 average price level is notably below 2025 average level.

Asset liabilities ratio: If March 2026 level is higher than the top 25% percentile level between 2013 and 2022.

Exhibit 15: Roughly half of the sectors saw YoY improving gross margin in 1Q26, compared to nine sectors that enjoyed better margin in 2025

Source: NBS, Morgan Stanley Research

Meanwhile, we think it will take more time for the pick up in PPI to fully translate into better profit growth at different sectors, as currently profitability still varies widely across subsectors. The overall manufacturing profit growth at 19.1% YoY in 1Q26 is driven by a sharp rebound in a few sectors: electronic devices up 120% YoY, non ferrous metal processing up 120% YoY, and chemicals up 55% YoY, while some sectors are weakening: steel manufacturing turned from a profit to a loss in 1Q26, while autos and non-metal mineral profit dropped 17.7% and 42% YoY in 1Q26, respectively.

Based on the scorecard, our latest estimate of potential manufacturing credit at risk drops to 7.1% from ~10% in our Nov-2025 estimate, helped by less high and medium risk sectors as well as a quicker return to positive PPI. This means future risk digestion pressure will be smaller than previously expected – likely adding 0.8% additional annual risk digestion needed on manufacturing credit to the banks, or ~Rmb470bn. We expect the number to further lower in the near future and see high risk credit further decline to around 5-6% of industrial credits as the trend of rational capex building, rebounding PPI and improving profit sustains. **Specifically, we see electrical equipment (including solar, batteries, etc.) will likely be the next ones to return to low risk sectors, as we expect the notably narrowing gap between capex and output growth should eventually pass through to better product pricing and profitability.**

In addition, we believe the resilient infrastructure-focused credit growth also supported revenue and EBIT generation in key industrial sectors, contributing to ongoing industrial upgrades, **despite a rising debt-to-GDP ratio.**

[China Financials: Does a rising debt-to-GDP ratio pose a risk to financials stocks? \(25 Feb 2026\)](#)

Exhibit 16: Sub sectors by risk profile and assumptions on high risk credit proportion

	Low risk	Medium risk	High risk	Potential % of credit at risk	% of manufacturing credit
Electronic devices				4.0%	15.4%
Electrical equipment				10.7%	11.0%
Auto				10.7%	9.5%
Chemicals				4.0%	8.5%
Ferrous metal processing				10.7%	6.3%
Non ferrous metal processing				4.0%	4.5%
Non metal mineral				10.7%	5.9%
Fuel processing				10.7%	3.7%
Agricultural product processing				10.7%	2.9%
Metalware				4.0%	3.2%
General equipment				4.0%	4.9%
Specific equipment				4.0%	4.5%
Rubber & plastic				4.0%	2.3%
Pharma				4.0%	2.7%
Textile				10.7%	1.8%
Food manufacturing				4.0%	1.6%
Alcohol				10.7%	1.4%
Paper				10.7%	1.3%
Apparel				4.0%	0.7%
Entertainment				4.0%	0.7%
Transportation equipment				4.0%	2.0%
Tobacco				4.0%	0.3%
Leather				4.0%	0.4%
Waste recycling				10.7%	0.6%
Chemical fiber				4.0%	1.0%
Wood				17.3%	0.4%
Instrumentation				4.0%	1.0%
Printing				4.0%	0.5%
Furniture				10.7%	0.5%
Other manufacturing				4.0%	0.1%
Repairment				4.0%	0.3%
Overall potential manufacturing credit at risk:					7.1%

Source: NBS, CEIC, PBOC, Morgan Stanley Research

Exhibit 17: NPLs could be digested over a three-year period at Rmb1.3tn per year, which would add Rmb470bn over the 2022-25 pace of digestion

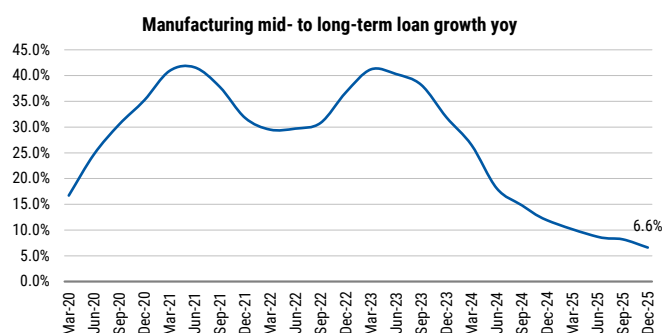
Potential high risk credit to be digested	7.1%
To be digested in:	3 years
Annual digestion	2.4%
Annual digestion in 2022-2025	1.5%
Annual digestion in excess of previous level	0.8%
Total manufacturing related loan size, 2025	56,951
Total annual risk digestion since 2025	1,341
Annual digestion in excess of previous level, bn	474
	0.10%

Source: NBS, NFRA, CEIC, PBOC, Morgan Stanley Research

We think the reduced industrial credit risk results from continued capex rationalization which started in 2H24 with the State Council's publication of Rules for Fair Competition Review and abating loan window guidance, and we have seen notable progress since then.

With moderation of industrial medium-/long-term growth and the [new funding control on payables reduction](#) in 2H25, industrial firms' total liability growth also slowed in late 2025. Notably, mid- to long-term manufacturing loan growth (a major support for capex) moderated continuously to 6.6% YoY in Dec 2025 from >30% YoY in 2023, due to reduced window guidance on loan growth.

Exhibit 18: Manufacturing mid- to long-term loan growth continued to moderate...



Source: NBS, CEIC, Morgan Stanley Research

Exhibit 19: Manufacturing profit growth was 19.1% YoY in 1Q26



Source: NBS, CEIC, Morgan Stanley Research

LGFV resolution stays in focus and is well on track

On May 9, premier of the State Council Li Qiang presided over an Executive Meeting, recognizing notable progress made on LGFV resolution. The central government has set a clear timetable for debt resolution, requiring all existing hidden local government debt to be fully resolved by the end of 2028.

Notably, a series of measures have been used from 2024 to 2026:

- Rmb2tn local government bond issuance annually for LGFV swap in 2024-2026;
- Allocation of Rmb800bn per year from new LGSB to swap hidden debt over five consecutive years starting from 2024;
- Rmb2tn of hidden debt related to shantytown redevelopment maturing in or after 2029 to be repaid in accordance with original contracts.

As a result, hidden local government debt contracted Rmb3.8tn in 2024 to Rmb10.5tn as of end-2024.

In addition, the meeting also pointed out that local repayment capability should be enhanced and stressed the importance of establishing sound long-term mechanisms to firmly prevent new LGFV debt. We think LGFV risks should be largely solved after years of resolution amid continued focus by policymakers.

Raise forecasts for major banks with some mixed adjustments for mid-sized banks

We are raising our forecasts for major SOE banks to factor in earlier than expected rebounding NIM trend and lower credit risks following reduced industrial credit risks.

We see stabilizing financial asset yields and continued funding costs decline to support earlier-than-expected NIM rebound, evidenced in sequentially higher NIM in 1Q26 at most banks we cover. This is in respect of the 10bps LPR cut that happened in 2025. In addition, our recent meetings with financial firms, policy makers and businesses in Zhejiang and discussion with banks signal more support on loan and financial asset yields by policymakers and banks, [especially new loan yield floors on both corporate and retail side](#). We revise up our forecasts on financial asset yields, expecting 50bps rebound gradually over 3 years (vs flat in our previous forecast). In our bull case scenario, we see potentially 70-80bps rebound in 3 years (vs 50-70bps rebound over 3-4 years previously). We now expect quicker stabilization followed by modest NIM rebound starting in 2026, which will support NII and revenue growth.

In addition, we expect NPL formation to remain relatively stable vs gradual pickup in our previous forecast, mainly due to reduced credit risks in industrial sectors as mentioned above. We cut NPL formation assumptions, and expect only ~5bps increase in banks' NPL formation during 2026-28 on average and more modest increase in credit costs in general. As a result, we revise up net profit for four SOE banks by 1.8% and 2.7% for 2026 and 2027, respectively, as they delivered strong revenue growth and NIM rebound in 1Q26, as well as indicating positive trends in loan yields.

Some mixed adjustments for mid-sized banks, but growth should improve for most banks. We continue to expect Bank of Ningbo to deliver double-digit profit growth in 2026-2028, with market share gains amid its unique competitive advantages in financial and non-financial services. However, we cut net profit forecasts for Minsheng, Everbright Bank and Bank of Beijing by 7-24% as these banks continue to catch up on provisions for some of their historical credit quality issues. Despite the near term pressure on these three banks, we expect net profit growth to improve for most banks under our coverage in coming years.

Exhibit 20: We raise our NPAT growth forecast for major banks (2026 and 2027) to factor in quicker NIM rebound and lower-than-expected credit risk with some mixed adjustments for mid-sized banks

					YoY	YoY	YoY	YoY	vs Published	vs Published	vs Published
Rmb mn	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	2025E	2026E	2027E
NPAT											
ICBC	368,562	387,170	409,194	433,434	0.7%	5.0%	5.7%	5.9%	0.0%	0.9%	1.5%
CCB	338,906	357,365	377,786	400,226	1.0%	5.4%	5.7%	5.9%	0.0%	1.7%	3.4%
ABC	291,041	302,595	318,278	337,905	3.2%	4.0%	5.2%	6.2%	1.7%	2.1%	2.4%
BOC	243,021	252,513	265,722	282,012	2.2%	3.9%	5.2%	6.1%	1.1%	2.3%	3.6%
BoCom	95,622	98,573	101,911	106,532	2.2%	3.1%	3.4%	4.5%	0.9%	2.1%	2.8%
CMB	150,181	154,774	162,698	173,211	1.2%	3.1%	5.1%	6.5%	0.3%	-0.7%	-3.2%
Citic	70,618	74,942	80,954	87,531	3.0%	6.1%	8.0%	8.1%	0.1%	-1.2%	-2.8%
Minsheng	30,563	30,713	33,176	38,085	-5.4%	0.5%	8.0%	14.8%	-5.4%	-9.8%	-12.5%
CRCB	12,128	12,671	13,269	14,021	5.3%	4.5%	4.7%	5.7%	2.0%	1.9%	1.6%
Ningbo	29,333	32,944	37,712	43,339	8.1%	12.3%	14.5%	14.9%	0.0%	0.6%	0.1%
Hangzhou	19,029	21,170	23,349	25,776	12.1%	11.2%	10.3%	10.4%	-1.1%	0.0%	0.0%
Industrial	77,469	82,062	88,632	94,802	0.3%	5.9%	8.0%	7.0%	-1.1%	-1.6%	-2.1%
PAB	42,833	44,112	46,686	49,712	-4.2%	3.5%	5.8%	6.5%	0.0%	-0.5%	0.0%
CEB	38,826	38,758	40,919	43,328	-6.9%	-0.2%	5.6%	5.9%	-6.1%	-6.9%	-6.5%
SPDB	50,017	52,202	56,047	60,266	10.5%	4.4%	7.4%	7.5%	1.1%	-3.7%	-5.8%
Huaxia	27,200	27,448	28,071	29,029	-1.7%	0.9%	2.3%	3.4%	1.7%	1.0%	-2.9%
PSBC	87,404	90,636	96,479	102,772	1.1%	3.7%	6.4%	6.5%	0.8%	0.0%	0.0%
Chengdu	13,283	14,130	15,405	16,626	3.3%	6.4%	9.0%	9.2%	0.0%	-0.6%	-1.5%
Beijing	20,086	20,444	21,209	22,241	-23.7%	1.8%	3.7%	4.9%	-23.4%	-24.2%	-23.6%
Average	105,575	110,275	116,710	124,268	0.8%	4.5%	6.5%	7.4%	-1.4%	-1.9%	-2.4%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 21: Raising EPS forecasts for most of our covered banks for 2026 and 2027

	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY	vs. Published	vs. Published	vs. Published
EPS, Rmb					2025	2026E	2027E	2028E	2025	2026E	2027E
ICBC	1.00	1.05 e	1.12 e	1.18 e	1.7%	5.2%	5.9%	6.1%	0.0%	0.9%	1.6%
CCB	1.30	1.35 e	1.42 e	1.51 e	-0.8%	3.2%	5.8%	6.0%	0.0%	1.8%	3.5%
ABC	0.78	0.82 e	0.86 e	0.92 e	4.2%	4.2%	5.5%	6.5%	3.6%	4.1%	4.2%
BOC	0.71	0.74 e	0.78 e	0.83 e	-5.5%	4.1%	5.5%	6.5%	2.3%	3.5%	4.8%
BoCom	1.08	1.04 e	1.09 e	1.13 e	-8.5%	4.1%	3.6%	4.9%	9.7%	3.1%	3.9%
CMB	5.70	5.89 e	6.20 e	6.62 e	0.7%	3.2%	5.3%	6.7%	-0.2%	-1.2%	-3.7%
Citic	1.20	1.28 e	1.39 e	1.50 e	2.3%	6.5%	8.5%	8.5%	1.6%	0.0%	-1.8%
Minsheng	0.63	0.63 e	0.69 e	0.80 e	-1.9%	0.5%	8.9%	16.3%	-2.0%	-7.2%	-10.6%
CRCB	1.07	1.12 e	1.17 e	1.23 e	5.3%	4.5%	4.7%	5.7%	2.0%	1.9%	1.6%
Ningbo	4.29	4.83 e	5.56 e	6.41 e	8.5%	12.8%	14.9%	15.3%	0.1%	0.6%	0.1%
Hangzhou	2.66	2.79 e	3.09 e	3.43 e	-2.9%	4.9%	10.8%	10.8%	-13.2%	-17.5%	-17.5%
Industrial	3.45	3.64 e	3.96 e	4.25 e	-1.7%	5.5%	8.5%	7.4%	-3.2%	-2.6%	-3.0%
PAB	2.07	2.14 e	2.28 e	2.43 e	-3.7%	3.7%	6.2%	6.9%	0.0%	-0.5%	0.0%
CEB	0.58	0.58 e	0.61 e	0.65 e	-7.3%	-0.5%	6.4%	6.7%	-6.9%	-7.8%	-7.3%
SPDB	1.48	1.46 e	1.57 e	1.70 e	8.7%	-1.5%	7.9%	8.1%	1.4%	-9.9%	-12.2%
Huaxia	1.62	1.63 e	1.67 e	1.73 e	0.1%	1.0%	2.4%	3.6%	3.9%	3.1%	-1.2%
PSBC	0.73	0.70 e	0.80 e	0.90 e	-11.3%	-4.3%	7.0%	7.0%	-2.2%	-2.2%	-2.0%
Chengdu	3.07	3.27 e	3.57 e	3.90 e	-6.4%	6.4%	9.2%	9.4%	0.0%	-0.7%	-1.5%
Beijing	0.79	0.81 e	0.84 e	0.89 e	-27.4%	2.1%	4.5%	5.8%	-26.5%	-27.4%	-26.6%
Average	1.80	1.88	2.03	2.21	-2.3%	3.0%	6.9%	7.8%	-1.6%	-3.4%	-3.6%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 22: We expect banks' ROE contraction to narrow and ROE to gradually stabilize

ROE	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	9.51%	9.41%	9.31%	9.24%	-4%	-10	-9	-8
CCB	10.07%	9.84%	9.73%	9.63%	-6%	-23	-10	-11
ABC	10.23%	10.00%	9.89%	9.85%	-2%	-5	-5	-5
BOC	8.99%	8.68%	8.70%	8.70%	-5%	-3	2	0
BoCom	8.42%	7.84%	7.72%	7.68%	-7%	-58	-12	-4
CMB	13.44%	12.97%	12.55%	12.32%	-10%	-47	-23	-23
Citic	9.49%	9.50%	9.63%	9.77%	-4%	1	13	53
Minsheng	4.94%	4.79%	5.02%	5.55%	-2%	-14	22	53
CRCB	9.02%	9.08%	9.02%	8.90%	-6%	-6	-12	-12
Ningbo	13.14%	13.61%	14.09%	14.58%	-4%	47	48	50
Hangzhou	14.94%	14.13%	13.65%	13.28%	-10%	-81	-48	-37
PAB	9.14%	9.05%	9.14%	9.13%	-7%	-9	9	-1
Industrial	9.16%	8.90%	8.82%	8.79%	-9%	-25	-8	-3
CEB	6.96%	6.63%	6.70%	6.79%	-9%	-32	9	9
SPDB	6.64%	6.63%	7.01%	7.16%	36%	-1	38	15
Huaxia	8.34%	7.94%	7.61%	7.35%	-5%	-40	-34	-26
PSBC	8.92%	8.60%	9.08%	9.12%	-11%	-32	47	4
Chengdu	15.46%	14.72%	14.09%	13.16%	-1%	-74	-62	-94
Beijing	6.18%	6.11%	6.13%	6.23%	-27%	-8	2	10
Average	9.63%	9.39%	9.36%	9.33%	-7%	-24	-3	-4

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 23: We expect ROA to stabilize as well

ROA	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	0.72%	0.70%	0.69%	0.68%	-6	-2	-1	-1
CCB	0.79%	0.76%	0.75%	0.75%	-6	-3	-1	0
ABC	0.63%	0.60%	0.59%	0.59%	-5	-3	-1	0
BOC	0.70%	0.68%	0.67%	0.68%	-5	-2	0	0
BoCom	0.63%	0.62%	0.61%	0.60%	-2	-1	-1	-1
Citic	1.19%	1.14%	1.11%	1.10%	-9	-5	-3	-1
CMB	0.73%	0.73%	0.73%	0.74%	-2	0	1	1
Minsheng	0.39%	0.38%	0.39%	0.42%	-3	-1	1	3
CRCB	0.76%	0.73%	0.72%	0.71%	-2	-3	-2	-1
Ningbo	0.87%	0.86%	0.86%	0.90%	-6	-1	2	2
Hangzhou	0.85%	0.86%	0.86%	0.88%	-1	1	1	1
Industrial	0.72%	0.72%	0.74%	0.75%	-3	0	2	1
PAB	0.72%	0.72%	0.72%	0.72%	-5	0	0	0
CEB	0.55%	0.53%	0.54%	0.54%	-6	-2	1	0
SPDB	0.51%	0.50%	0.51%	0.52%	2	-1	1	1
Huaxia	0.60%	0.56%	0.55%	0.54%	-4	-3	-2	-1
PSBC	0.46%	0.46%	0.45%	0.44%	-4	-3	-1	-1
Chengdu	1.00%	0.97%	0.96%	0.96%	-10	-4	0	0
Beijing	0.44%	0.40%	0.38%	0.38%	-22	-4	-1	-1
Average	0.70%	0.68%	0.68%	0.68%	-5	-2	0	0

Source: Company data, Morgan Stanley Research estimates (E)

We expect NIM to stabilize in 2026 and rebound in 2027 following the better-than-expected 1Q26 trend

We remain conservative and assume persisting yet moderating pressure on banks' asset yields in 2026 before some rebound in 2027 and 2028, along with more support on loan and financial asset yields based on market-oriented pricing. Nevertheless, we expect lower funding costs from several rounds of deposit rate cuts in the past 2-3 years will drive a stable NIM in 2026, followed by recovery in 2027 and 2028.

We expect flat NIM in 2026 on average, and 3bps and 4bps NIM pickup in 2027 and 2028, respectively. We see stable NIM trends at four SOE banks to support healthy NII growth. We expect CITIC, MSB and Bank of Ningbo to see greater NIM rebound, benefiting more from market-oriented competition. We expect double-digit NII growth in 2027 and 2028 at CITIC, Bank of Ningbo, Bank of Hangzhou and Bank of Chengdu.

Exhibit 24: We expect stable NIM in 2026 followed by 3bps and 4bp rebound in 2027 and 2028, respectively

NIM	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	1.28%	1.29%	1.32%	1.36%	-14	1	3	4
CCB	1.34%	1.35%	1.36%	1.44%	-17	1	4	5
ABC	1.28%	1.25%	1.28%	1.32%	-14	-3	3	4
BOC	1.26%	1.26%	1.27%	1.32%	-14	0	2	5
BoCom	1.20%	1.22%	1.24%	1.26%	-6	1	2	3
CMB	1.87%	1.81%	1.84%	1.88%	-11	-6	3	4
Citic	1.63%	1.61%	1.68%	1.76%	-13	-2	7	8
Minsheng	1.40%	1.43%	1.49%	1.52%	1	3	6	4
CRCB	1.60%	1.63%	1.67%	1.71%	-1	4	4	4
Ningbo	1.74%	1.75%	1.81%	1.86%	-12	1	5	6
Hangzhou	1.36%	1.37%	1.40%	1.44%	-6	1	3	4
Industrial	1.71%	1.68%	1.73%	1.75%	-11	-3	4	2
PAB	1.78%	1.77%	1.79%	1.84%	-9	-1	2	5
CEB	1.40%	1.40%	1.42%	1.46%	-14	0	2	3
SPDB	1.42%	1.43%	1.46%	1.49%	0	1	3	3
Huaxia	1.56%	1.59%	1.61%	1.65%	-3	2	3	3
PSBC	1.66%	1.65%	1.68%	1.72%	-20	-1	3	4
Chengdu	1.59%	1.62%	1.66%	1.69%	-7	3	4	4
Beijing	1.27%	1.24%	1.25%	1.27%	-20	-4	1	2
Average	1.49%	1.49%	1.53%	1.56%	-16	0	3	4

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 25: NII growth to accelerate in 2026-2028

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Net interest inc					2025	2026E	2027E	2028E
ICBC	635,126	662,918	761,482	839,822	-0.4%	9.1%	9.9%	10.3%
CCB	572,774	625,102	682,293	761,737	-2.9%	9.1%	9.1%	10.2%
ABC	569,594	611,733	667,793	737,568	-1.9%	7.4%	9.2%	10.4%
BOC	440,705	470,197	511,669	569,979	-1.8%	6.7%	8.8%	9.4%
BoCom	173,075	183,661	197,087	212,530	1.9%	6.1%	7.3%	7.8%
CMB	215,593	223,785	244,339	267,870	2.0%	3.8%	9.2%	9.6%
Citic	144,469	146,134	166,166	185,513	-1.5%	3.2%	11.4%	11.6%
Minsheng	100,126	105,820	116,531	128,979	1.5%	5.7%	10.1%	8.0%
CRCB	24,261	26,478	28,977	31,617	7.9%	9.1%	9.4%	9.1%
Ningbo	53,161	61,422	69,491	80,496	10.8%	15.5%	13.1%	15.8%
Hangzhou	27,592	30,865	34,469	38,669	12.8%	11.9%	11.7%	12.2%
Industrial	148,752	154,808	168,604	182,892	0.4%	4.1%	8.9%	8.5%
PAB	88,021	90,048	96,274	105,151	-5.8%	2.3%	6.9%	9.2%
CEB	92,101	94,492	99,647	106,558	-4.7%	2.6%	5.5%	6.9%
SPDB	120,463	126,501	140,538	152,512	5.0%	7.5%	8.5%	8.5%
Huaxia	62,948	68,501	73,955	79,662	1.4%	8.8%	8.0%	7.7%
PSBC	281,620	300,808	325,701	366,685	-1.6%	6.8%	8.3%	9.5%
Chengdu	20,006	22,839	25,537	28,648	8.4%	14.2%	11.8%	12.2%
Beijing	52,875	56,025	60,690	65,918	1.9%	6.0%	8.3%	8.6%
Average	201,225	215,691	235,329	258,463	1.8%	7.4%	9.2%	9.8%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 26: We expect asset yields to contract 11bps in 2026 and rebound 3bps in both 2027 and 2028

Asset Yield	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	2.68%	2.54%	2.55%	2.58%	-50	-13	1	3
CCB	2.70%	2.60%	2.64%	2.68%	-46	-10	4	4
ABC	2.69%	2.61%	2.65%	2.68%	-43	-8	5	2
BOC	2.85%	2.73%	2.75%	2.81%	-48	-12	2	5
BoCom	2.92%	2.81%	2.82%	2.84%	-45	-11	1	2
CMB	3.04%	2.87%	2.90%	2.97%	-46	-17	3	7
Citic	3.21%	3.09%	3.13%	3.22%	-51	-12	5	8
Minsheng	3.12%	3.02%	3.08%	3.07%	-43	-9	3	2
CRCB	3.06%	2.96%	2.99%	3.02%	-31	-9	3	2
Ningbo	3.44%	3.32%	3.38%	3.43%	-53	-12	6	5
Hangzhou	3.11%	3.00%	3.04%	3.08%	-52	-11	4	3
Industrial	3.25%	3.13%	3.15%	3.15%	-48	-12	3	0
PAB	3.43%	3.30%	3.29%	3.31%	-54	-14	0	2
CEB	3.21%	3.11%	3.11%	3.13%	-52	-11	0	2
SPDB	3.11%	3.00%	3.02%	3.04%	-46	-12	2	2
Huaxia	3.36%	3.26%	3.27%	3.29%	-41	-9	1	2
PSBC	2.84%	2.75%	2.78%	2.78%	-48	-9	3	1
Chengdu	3.46%	3.38%	3.43%	3.48%	-38	-8	5	5
Beijing	2.90%	2.79%	2.81%	2.82%	-59	-11	2	1
Average	3.07%	2.96%	2.99%	3.02%	-47	-11	3	3

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 27: We expect funding costs to decline 13bps in 2026 and 1bp in both 2027 and 2028

Funding cost	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	1.53%	1.37%	1.36%	1.35%	-41	-16	-1	-1
CCB	1.50%	1.38%	1.38%	1.37%	-35	-12	0	-1
ABC	1.53%	1.46%	1.44%	1.42%	-32	-7	-2	-2
BOC	1.75%	1.61%	1.61%	1.61%	-38	-14	0	0
BoCom	1.84%	1.72%	1.70%	1.70%	-41	-12	-2	0
CMB	1.26%	1.10%	1.07%	1.07%	-38	-16	-3	-1
Citic	1.61%	1.48%	1.46%	1.46%	-40	-13	-2	-2
Minsheng	1.81%	1.68%	1.65%	1.62%	-46	-13	-3	-2
CRCB	1.55%	1.40%	1.40%	1.39%	-31	-15	0	-1
Ningbo	1.68%	1.55%	1.54%	1.53%	-38	-13	-2	0
Hangzhou	1.75%	1.59%	1.58%	1.58%	-38	-16	-1	0
Industrial	1.74%	1.62%	1.60%	1.58%	-43	-12	-2	-3
PAB	1.67%	1.47%	1.44%	1.42%	-47	-21	-3	-2
CEB	1.89%	1.79%	1.76%	1.75%	-39	-10	-3	-2
SPDB	1.74%	1.70%	1.69%	1.70%	-45	-5	-1	2
Huaxia	1.73%	1.58%	1.58%	1.58%	-42	-15	0	0
PSBC	1.19%	1.09%	1.08%	1.05%	-28	-10	-1	-3
Chengdu	1.91%	1.79%	1.80%	1.82%	-32	-11	1	2
Beijing	1.64%	1.52%	1.52%	1.51%	-39	-12	0	-1
Average	1.65%	1.52%	1.51%	1.50%	-38	-13	-1	-1

Source: Company data, Morgan Stanley Research estimates (E)

Loan growth to moderate in 2026 and remain largely stable in 2027 and 2028

Our loan growth assumptions for most of the banks we cover are unchanged but this varies across banks. We believe infra credit will continue to act as the main driver for credit growth, while retail loan growth will remain depressed. We raise our loan growth forecasts for Bank of Hangzhou, CRCB and Huaxia following better-than-expected loan growth in 2025 and 1Q26; but cut forecasts for MSB , SPDB and CEB. We now expect average loan growth across our coverage of 7.1%/7.0%/7.0% for 2026/2027/2028.

Exhibit 28: We expect a slowdown in loan growth to 7.1% in 2026 and 7% YoY in each of 2027 and 2028

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Loan, gross								
ICBC	30,506,114	32,575,471	34,084,135	36,844,648	7.5%	6.8%	6.5%	6.2%
CCB	27,772,827	29,698,519	31,963,617	33,550,140	7.5%	6.9%	6.3%	6.3%
ABC	27,134,834	28,946,266	30,855,016	32,879,747	8.9%	6.7%	6.6%	6.6%
BOC	23,453,492	24,989,128	26,438,728	27,952,654	8.6%	6.5%	5.8%	5.7%
BoCom	9,143,362	9,680,878	10,186,200	10,711,341	6.6%	5.9%	5.2%	5.2%
CMB	7,258,374	7,525,921	8,004,968	8,604,115	5.4%	5.1%	6.2%	6.3%
Citic	5,892,172	6,205,510	6,558,298	6,934,855	2.5%	5.9%	5.7%	5.7%
Minsheng	4,467,526	4,623,396	4,890,700	5,174,744	-0.5%	3.5%	5.8%	5.8%
CRCB	797,287	862,797	922,777	986,601	11.6%	8.2%	7.0%	6.9%
Ningbo	1,733,314	1,997,029	2,287,690	2,612,545	17.4%	15.2%	14.6%	14.2%
Hangzhou	1,071,876	1,216,389	1,364,366	1,514,651	14.3%	13.5%	12.2%	11.0%
Industrial	5,948,938	6,319,387	6,704,666	7,114,247	3.7%	6.2%	6.1%	6.1%
PAB	3,390,840	3,521,793	3,736,121	3,971,834	0.5%	3.9%	6.1%	6.3%
CEB	3,999,448	4,112,956	4,259,197	4,418,602	1.1%	2.8%	3.6%	3.7%
SPDB	5,703,973	6,091,814	6,528,204	7,003,609	5.8%	6.8%	7.2%	7.3%
Huaxia	2,575,517	2,751,133	2,908,139	3,062,934	9.5%	6.8%	5.7%	5.3%
PSBC	9,648,316	10,417,481	11,121,115	11,873,143	8.2%	8.0%	6.8%	6.8%
Chengdu	858,395	949,592	1,051,915	1,167,707	15.8%	10.6%	10.8%	11.0%
Beijing	2,399,755	2,523,427	2,671,201	2,828,962	8.6%	5.2%	5.9%	5.9%
Average	9,143,493	9,742,572	10,359,350	11,010,899	7.5%	7.1%	7.0%	7.0%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 29: Deposit growth will be largely in line with loan growth in 2026e-2028e

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Deposits								
ICBC	37,311,778	39,865,412	42,286,798	44,997,327	7.1%	6.5%	6.6%	6.4%
CCB	30,835,574	32,834,296	34,830,685	36,948,504	7.4%	6.5%	6.1%	6.1%
ABC	32,649,947	34,927,809	37,302,474	39,843,473	7.7%	7.0%	6.8%	6.8%
BOC	26,182,431	27,767,105	29,317,084	30,953,985	8.2%	6.1%	5.6%	5.6%
BoCom	9,307,815	9,868,844	10,385,843	10,930,892	5.8%	6.0%	5.2%	5.2%
CMB	6,924,558	7,020,865	7,364,113	7,710,965	7.9%	7.0%	7.0%	7.1%
Citic	6,127,012	6,451,209	6,789,580	7,133,836	4.5%	6.0%	5.3%	5.4%
Minsheng	4,347,799	4,558,928	4,822,297	5,100,882	0.3%	4.9%	5.8%	5.8%
CRCB	1,028,728	1,097,983	1,166,717	1,239,753	9.2%	6.7%	6.3%	6.3%
Ningbo	2,058,755	2,314,648	2,600,519	2,922,620	10.1%	12.4%	12.4%	12.4%
Hangzhou	1,458,556	1,632,152	1,780,013	1,954,421	13.1%	10.4%	10.2%	9.8%
Industrial	6,020,806	6,282,153	6,661,788	7,066,381	6.9%	4.3%	6.0%	6.1%
PAB	3,633,569	3,775,485	3,984,971	4,206,289	1.1%	3.9%	5.5%	5.6%
CEB	4,102,458	4,202,786	4,365,117	4,533,720	1.7%	2.4%	3.9%	3.9%
SPDB	5,653,358	6,061,506	6,499,498	6,962,434	8.1%	7.2%	7.1%	7.1%
Huaxia	2,409,626	2,578,502	2,715,874	2,860,759	10.3%	7.0%	5.3%	5.3%
PSBC	16,541,716	17,884,102	19,233,460	20,699,340	8.2%	8.1%	7.5%	7.6%
Chengdu	988,557	1,075,032	1,185,065	1,309,532	11.6%	8.7%	10.2%	10.5%
Beijing	2,731,729	2,953,545	3,193,373	3,452,675	10.0%	8.1%	8.1%	8.1%
Average	10,700,801	11,395,541	12,129,761	12,908,884	7.3%	6.8%	6.9%	6.9%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 30: Asset growth to remain stable at ~7% in 2026e-2028e

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Asset								
ICBC	53,477,773	57,554,165	61,637,192	65,911,560	9.5%	7.6%	7.1%	6.9%
CCB	45,631,818	48,762,140	51,806,119	55,002,429	12.5%	6.9%	6.2%	6.2%
ABC	48,784,674	52,177,999	55,660,289	59,491,534	12.8%	7.0%	6.7%	6.9%
BOC	38,358,076	40,750,969	43,010,821	45,385,684	9.4%	6.2%	5.5%	5.5%
BoCom	15,548,388	16,447,852	17,355,562	18,343,700	4.3%	5.8%	5.5%	5.6%
CMB	13,070,523	14,074,549	15,118,293	16,244,094	7.6%	7.7%	7.4%	7.4%
Citic	10,131,028	10,795,053	11,536,604	12,343,730	6.3%	6.6%	6.9%	7.0%
Minsheng	7,632,567	8,257,223	8,772,697	9,336,835	9.2%	6.4%	6.2%	6.4%
CRCB	1,665,744	1,786,712	1,905,234	2,031,436	10.0%	7.3%	6.6%	6.6%
Ningbo	3,628,671	4,065,655	4,550,086	5,099,254	16.1%	12.0%	11.9%	12.1%
Hangzhou	2,362,806	2,583,115	2,815,907	3,065,486	11.9%	9.3%	9.0%	8.9%
Industrial	11,094,256	11,650,868	12,334,777	13,063,011	5.6%	5.0%	5.9%	5.9%
PAB	5,926,777	6,254,235	6,662,924	7,103,468	2.7%	5.5%	6.9%	6.6%
CEB	7,165,319	7,405,928	7,767,904	8,153,874	3.0%	3.4%	4.9%	5.0%
SPDB	10,081,746	10,622,215	11,275,183	11,958,929	6.6%	5.4%	6.1%	6.1%
Huaxia	4,737,619	5,012,628	5,266,919	5,533,696	6.3%	5.8%	5.1%	5.1%
PSBC	18,682,067	20,166,099	21,656,802	23,274,176	9.3%	7.9%	7.4%	7.5%
Chengdu	1,398,473	1,527,200	1,674,024	1,835,762	11.9%	9.2%	9.6%	9.7%
Beijing	4,938,273	5,320,393	5,705,465	6,106,959	17.0%	7.7%	7.2%	7.0%
Average	16,027,137	17,116,579	18,237,516	19,435,312	8.7%	6.9%	6.9%	7.0%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 31: IEA growth to remain steady at 7.3%/6.9%/7.1% in 2026e/2027e/2028e

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
IEA	49,619,219	53,571,115	57,744,613	61,869,566	10.5%	8.0%	7.8%	7.1%
ICBC	42,744,328	46,352,515	49,180,313	52,317,431	9.4%	8.4%	6.1%	6.4%
CCB	44,634,483	48,968,805	52,284,725	55,949,263	9.1%	9.7%	6.8%	7.0%
BOC	35,092,431	37,445,390	40,151,670	42,290,397	9.3%	6.7%	7.2%	5.3%
BoCom	14,370,823	15,115,082	15,925,119	16,803,012	7.2%	5.2%	5.4%	5.5%
CMB	11,559,688	12,384,527	13,268,668	14,237,805	8.2%	7.2%	7.1%	7.3%
Citic	8,856,221	9,250,323	9,894,006	10,568,448	6.6%	4.5%	7.0%	6.8%
Minsheng	7,148,910	7,400,202	7,842,066	8,346,065	1.0%	3.5%	6.0%	6.4%
CRCB	1,552,289	1,619,559	1,733,485	1,851,973	8.7%	6.5%	7.0%	6.8%
Ningbo	3,055,484	3,501,847	3,846,264	4,323,361	16.2%	14.6%	9.8%	12.4%
Hangzhou	2,029,998	2,259,338	2,460,256	2,682,899	17.4%	11.3%	8.9%	9.0%
Industrial	8,698,947	9,188,454	9,759,086	10,439,107	6.9%	5.6%	6.2%	7.0%
PAB	4,945,000	5,089,874	5,371,401	5,718,850	-1.0%	2.9%	5.5%	6.5%
CEB	6,570,137	6,727,685	6,993,089	7,313,084	4.8%	2.4%	3.9%	4.6%
SPDB	8,484,718	9,045,933	9,607,461	10,218,673	5.0%	6.6%	6.2%	6.4%
Huaxia	4,027,862	4,321,032	4,582,697	4,835,932	3.5%	7.3%	6.1%	5.5%
PSBC	16,925,952	18,192,538	19,380,492	20,786,960	10.4%	7.5%	6.5%	7.3%
Bank of China	1,260,340	1,411,658	1,518,658	1,603,332	13.3%	12.0%	9.2%	9.8%
Beijing	158,404	4,532,635	8,865,909	6,209,758	2,709.7%	7.0%	7.4%	7.1%
Average	14,510,564	15,597,816	16,584,380	17,760,791	7.9%	6.3%	6.9%	7.1%

growth. We remain conservative and slightly lower on our fee income forecasts. Nevertheless, we still expect fee income growth to accelerate on a yearly basis after 2026, led by continued quick growth in household financial assets and healthy capital markets. This, along with more stable investment income growth, should support non-interest income recovery.

Exhibit 32: We expect some pickup in fee income growth through 2026 to 2028

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Fee					2025	2026E	2027E	2028E
ICBC	111,171	117,401	123,978	130,246	1.6%	5.6%	7.3%	7.4%
CCB	110,307	116,784	123,504	130,505	5.1%	5.9%	5.8%	5.7%
ABC	88,085	92,677	98,593	105,123	16.6%	5.2%	6.4%	6.6%
BOC	82,237	86,853	92,560	99,267	7.4%	5.6%	6.0%	7.2%
BoCom	38,183	39,008	41,245	43,611	3.4%	2.2%	5.7%	5.7%
CMB	75,258	79,326	84,486	89,999	4.4%	5.4%	6.5%	6.5%
Citic	32,772	34,405	37,301	40,389	5.6%	5.0%	8.4%	8.3%
Minsheng	18,321	19,199	20,319	22,157	0.4%	4.8%	5.8%	9.0%
CRCB	1,294	1,347	1,404	1,478	-19.7%	4.0%	4.2%	5.3%
Ningbo	6,085	7,630	9,715	12,254	30.7%	25.4%	27.3%	26.1%
Hangzhou	4,207	4,356	4,672	5,007	13.1%	3.5%	7.3%	7.2%
Industrial	25,891	27,725	30,128	33,141	7.4%	7.1%	8.7%	10.0%
PAB	23,894	24,851	26,004	27,196	-0.9%	4.0%	4.6%	4.6%
CEB	20,252	20,708	21,597	22,641	6.2%	2.2%	4.3%	4.8%
SPDB	22,725	23,150	24,355	25,912	-0.4%	1.9%	5.2%	6.4%
Huaxia	5,578	5,750	6,042	6,369	2.4%	3.1%	5.1%	5.4%
PSBC	29,365	31,001	32,966	35,092	16.1%	5.6%	6.3%	6.4%
Chengdu	500	476	510	544	-29.6%	-4.7%	7.1%	6.7%
Beijing	3,825	3,937	4,130	4,337	10.6%	2.9%	4.9%	5.0%
Average	36,839	38,768	41,343	44,225	4.2%	5.0%	7.2%	7.6%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 33: We expect non-interest income to recover 2.1% in 2026 following 1.9% decline in 2025, and gradually pick up

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Non interest inc					2025	2026E	2027E	2028E
ICBC	203,144	216,790	230,393	244,526	10.2%	6.7%	6.3%	6.1%
CCB	168,097	175,685	183,606	192,191	21.2%	4.5%	4.5%	4.7%
ABC	155,537	165,414	176,079	187,557	19.0%	6.4%	6.4%	6.5%
BOC	219,161	228,159	238,368	249,580	19.2%	4.1%	4.5%	4.7%
BoCom	92,030	94,109	98,501	103,333	2.3%	2.3%	4.7%	4.9%
CMB	121,939	126,777	133,245	140,148	-3.4%	4.0%	5.1%	5.2%
Citic	67,067	72,020	78,488	84,932	0.2%	7.4%	9.0%	8.2%
Minsheng	42,739	43,376	45,472	48,326	13.7%	1.5%	4.8%	6.3%
CRCB	4,388	4,050	4,253	4,533	-23.9%	-7.7%	5.0%	6.6%
Ningbo	18,808	20,677	23,692	27,285	0.9%	9.9%	14.6%	15.2%
Hangzhou	11,207	11,443	12,084	12,698	-19.5%	2.1%	5.7%	5.0%
Industrial	63,368	66,619	70,689	75,471	0.0%	5.1%	6.1%	6.8%
PAB	43,421	45,678	47,774	49,936	-18.5%	5.2%	4.6%	4.5%
CEB	34,210	31,254	32,505	34,090	-11.7%	-8.6%	4.0%	4.9%
SPDB	52,778	49,925	52,612	55,465	-4.3%	-5.4%	5.4%	5.5%
Huaxia	25,859	28,582	29,929	31,378	-20.8%	10.5%	4.7%	4.8%
PSBC	74,246	76,965	80,677	84,672	17.8%	3.7%	4.8%	5.0%
Chengdu	3,597	2,886	3,090	3,254	-20.4%	-19.8%	7.1%	5.3%
Beijing	15,161	16,522	17,459	18,399	-18.1%	9.0%	5.7%	5.4%
Average	74,566	77,733	82,049	86,726	-1.9%	2.1%	5.9%	6.1%

Source: Company data, Morgan Stanley Research estimates (E)

Based on our new forecasts for NIM and fee income, our revenue forecasts remain largely unchanged vs previous estimates. We expect revenue growth to pick up to 6.3% in 2026 vs a flat 2025, and recover to 8.4% and 8.9% in 2027 and 2028, respectively. PPOP could slightly outpace revenue growth helped by banks' active cost management, at 6.7%/8.5%/8.9% for 2025e/2026e/2027e.

Exhibit 34: We expect 6.3% revenue growth in 2026 vs a flat 2025

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
Operating income					2025	2026E	2027E	2028E
ICBC	838,270	909,717	991,874	1,084,348	2.0%	8.5%	9.0%	9.3%
CCB	740,871	800,787	865,899	943,928	1.7%	8.1%	8.1%	9.0%
ABC	725,131	777,147	843,872	925,125	1.9%	7.2%	8.0%	9.6%
BOC	659,866	698,355	750,037	809,559	4.3%	5.8%	7.4%	7.9%
BoCom	265,105	277,770	295,588	315,863	2.1%	4.8%	6.4%	6.9%
CMB	337,532	350,562	377,584	406,018	0.0%	3.9%	7.7%	8.1%
Citic	211,536	221,154	244,654	270,445	-1.0%	4.5%	10.6%	10.5%
Minsheng	142,865	149,196	162,004	175,306	4.8%	4.4%	8.6%	8.2%
CRCB	28,648	30,528	33,229	36,150	1.4%	6.6%	8.8%	8.8%
Ningbo	71,969	82,099	93,183	107,781	8.0%	14.1%	13.5%	15.7%
Hangzhou	38,799	42,308	46,562	51,368	1.1%	9.0%	10.1%	10.3%
Industrial	212,120	221,427	239,293	258,362	0.3%	4.4%	8.1%	8.0%
PAB	131,442	135,726	144,049	155,087	-10.4%	3.3%	6.1%	7.7%
CEB	126,311	125,746	132,151	140,648	-6.7%	4.0%	5.1%	6.4%
SPDB	173,261	179,410	193,150	207,996	2.0%	3.5%	7.7%	7.7%
Huaxia	88,807	97,083	103,884	111,039	-6.2%	9.3%	7.0%	6.9%
PSBC	355,866	377,773	406,378	441,357	1.9%	6.2%	7.6%	8.6%
Chengdu	23,803	25,725	28,627	31,902	2.7%	9.0%	11.3%	11.4%
Beijing	68,036	72,548	78,149	84,317	-3.4%	6.6%	7.7%	7.9%
Average	275,791	293,424	317,377	345,189	0.3%	6.3%	8.4%	8.9%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 35: We expect PPOP growth to slightly outpace revenue growth from active cost management

Rmb mn	2025	2026E	2027E	2028E	YoY	YoY	YoY	YoY
PPOP					2025	2026E	2027E	2028E
ICBC	558,971	611,359	666,766	728,913	2.1%	9.4%	9.1%	9.3%
CCB	513,646	555,152	599,765	653,278	1.8%	8.1%	8.0%	8.9%
ABC	449,760	486,925	529,948	591,902	-0.1%	8.3%	8.9%	9.8%
BOC	403,243	423,413	454,626	490,751	1.6%	5.0%	7.4%	7.9%
BoCom	159,710	168,317	179,169	191,432	1.6%	5.4%	6.4%	6.8%
CMB	219,027	228,442	246,096	265,347	-0.4%	4.3%	7.7%	7.8%
Citic	142,215	148,641	164,416	181,865	0.2%	4.5%	10.6%	10.6%
Minsheng	87,554	92,047	99,947	108,086	9.1%	5.1%	8.6%	8.1%
CRCB	19,223	20,491	22,303	24,288	1.9%	6.6%	8.8%	8.9%
Ningbo	47,620	54,722	62,256	71,981	4.9%	13.8%	15.6%	15.6%
Hangzhou	26,723	29,369	32,405	35,779	0.1%	9.9%	10.3%	10.4%
Industrial	146,949	153,353	165,830	178,867	0.2%	4.4%	8.0%	8.0%
PAB	91,975	95,041	100,848	108,455	-12.1%	3.3%	6.1%	7.5%
CEB	86,590	86,188	90,817	96,745	-6.3%	4.0%	5.4%	6.5%
SPDB	118,806	123,472	132,985	143,019	2.4%	3.9%	7.7%	7.5%
Huaxia	59,590	65,770	70,367	75,124	-7.9%	10.4%	7.0%	6.8%
PSBC	131,151	141,894	154,417	169,657	6.6%	8.2%	8.8%	9.9%
Chengdu	17,715	19,258	21,422	23,629	3.0%	8.7%	11.2%	11.2%
Beijing	46,002	49,224	53,136	57,276	-6.3%	7.0%	7.9%	7.8%
Average	175,078	187,004	202,490	220,347	0.5%	6.7%	8.5%	8.9%

Source: Company data, Morgan Stanley Research estimates (E)

We expect relatively stable asset quality amid more notable progress made on industrial risk digestion, despite persisting retail risks

We revise down gross NPL formation ratio, but still expect moderate pickup to 0.95%/0.96%/0.97% in 2026/2027/2028 vs 0.92% in 2025 for banks we cover. We continue to expect a smooth risk digestion at China's banks despite pressure on retail side given that industrial risk digestion is well on track with improving PPI and profitability trend. In addition, NIM rebound and fee income recovery could also support banks' risk digestion. We believe the risk is manageable, and we expect NPL ratio to remain largely flat at 1.15%-1.16% on average for banks we cover in 2026-2028, with proactive risk digestion at banks.

Exhibit 36: We expect NPL ratios to remain largely stable in 2026-2028

NPL ratio	2025	2026E	2027E	2028E
ICBC	1.31%	1.31%	1.32%	1.32%
CCB	1.31%	1.30%	1.31%	1.31%
ABC	1.27%	1.25%	1.26%	1.26%
BOC	1.23%	1.22%	1.23%	1.23%
BoCom	1.28%	1.32%	1.33%	1.34%
CMB	0.94%	0.94%	0.94%	0.94%
Citic	1.15%	1.16%	1.18%	1.18%
Minsheng	1.49%	1.49%	1.52%	1.51%
CRCB	1.08%	1.07%	1.07%	1.07%
Ningbo	0.76%	0.76%	0.76%	0.76%
Hangzhou	0.76%	0.76%	0.76%	0.76%
Industrial	1.08%	1.10%	1.10%	1.08%
PAB	1.05%	1.05%	1.05%	1.05%
CEB	1.27%	1.33%	1.34%	1.34%
SPDB	1.26%	1.24%	1.23%	1.23%
Huaxia	1.54%	1.56%	1.56%	1.56%
PSBC	0.95%	0.98%	0.98%	0.98%
Chengdu	0.68%	0.68%	0.70%	0.70%
Beijing	1.29%	1.32%	1.31%	1.31%
Average	1.14%	1.15%	1.16%	1.15%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 37: We expect NPL formation to slightly go up amid continued retail risk digestion

NPL formation ratio	2025	2026E	2027E	2028E
ICBC	0.50%	0.54%	0.58%	0.61%
CCB	0.23%	0.31%	0.38%	0.42%
ABC	0.40%	0.46%	0.49%	0.51%
BOC	0.49%	0.52%	0.56%	0.58%
BoCom	0.56%	0.62%	0.65%	0.66%
CMB	0.83%	0.88%	0.89%	0.90%
Citic	1.20%	1.24%	1.26%	1.26%
Minsheng	1.21%	1.26%	1.29%	1.26%
CRCB	0.90%	0.93%	0.95%	0.95%
Ningbo	0.95%	0.99%	1.00%	1.00%
Hangzhou	0.71%	0.74%	0.75%	0.81%
Industrial	1.20%	1.32%	1.35%	1.33%
PAB	2.42%	2.22%	2.21%	2.21%
CEB	1.25%	1.26%	1.27%	1.27%
SPDB	1.11%	1.13%	1.14%	1.15%
Huaxia	1.46%	1.46%	1.47%	1.46%
PSBC	0.98%	0.95%	0.89%	0.89%
Chengdu	0.20%	0.25%	0.28%	0.28%
Beijing	0.89%	0.90%	0.91%	0.91%
Average	0.92%	0.95%	0.96%	0.97%

Source: Company data, Morgan Stanley Research estimates (E)

We think banks will still reduce NPL coverage ratios in 2026 and 2027 but at a more modest pace than previous years, before some provision buildup from 2028. We forecast NPL coverage to decline by 10ppts and 3ppts in 2026 and 2027, respectively, followed by 1ppt increase in 2028. We expect MSB to build up its coverage ratio earlier than others from a relatively low level after years of risk digestion. We expect some increase in credit costs as banks digest retail NPLs and build up provisions.

Exhibit 38: We expect banks' coverage ratios to decline 10ppts and 3ppts YoY in 2026 and 2027, before pickup in 2028

NPL coverage	2025	2026E	2027E	2028E
ICBC	214%	209%	207%	213%
CCB	233%	235%	235%	235%
ABC	293%	281%	283%	286%
BOC	200%	185%	186%	193%
BoCom	208%	208%	211%	216%
CMB	392%	370%	360%	364%
Citic	204%	200%	200%	205%
Minsheng	142%	150%	158%	165%
CRCB	366%	352%	346%	345%
Ningbo	373%	370%	365%	361%
Hangzhou	502%	453%	430%	400%
Industrial	228%	219%	219%	220%
PAB	221%	215%	215%	220%
CEB	174%	160%	156%	155%
SPDB	201%	211%	219%	224%
Huaxia	143%	146%	152%	162%
PSBC	228%	194%	180%	175%
Chengdu	426%	420%	406%	404%
Beijing	200%	175%	168%	173%
Average	260%	250%	247%	248%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 39: We expect provisions to increase in 2026-2028

Provision	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	134,860	164,136	194,713	230,287	6.5%	21.7%	18.6%	18.3%
CCB	133,359	153,982	175,695	204,071	10.2%	15.5%	14.1%	16.2%
ABC	127,207	147,683	171,127	201,251	-3.0%	16.1%	15.9%	17.6%
BOC	103,087	111,563	125,506	141,476	0.4%	8.2%	12.5%	12.7%
BoCom	56,442	61,324	68,685	76,386	4.1%	8.6%	12.0%	11.2%
CMB	39,775	42,324	50,455	57,099	-2.6%	6.4%	19.2%	13.2%
Citic	58,172	59,117	68,057	77,930	-4.8%	1.6%	15.1%	14.5%
Minsheng	54,711	59,607	65,004	67,977	19.1%	9.1%	8.9%	4.6%
CRCB	5,486	6,323	7,545	8,695	-8.9%	15.3%	19.3%	15.2%
Ningbo	15,279	18,405	20,452	24,010	43.1%	20.5%	11.1%	17.4%
Hangzhou	5,513	5,975	6,586	7,321	-26.0%	8.4%	10.2%	11.2%
Industrial	57,622	61,361	66,243	72,548	-4.3%	6.5%	8.0%	9.5%
PAB	40,567	41,903	44,662	48,655	-17.9%	3.3%	6.6%	8.9%
CEB	36,431	36,674	38,167	41,058	-10.2%	0.7%	4.1%	7.6%
SPDB	65,700	69,359	74,752	80,207	-5.4%	5.6%	7.8%	7.3%
Huaxia	25,416	31,176	34,876	38,371	-11.7%	22.7%	11.9%	10.0%
PSBC	32,930	39,486	44,015	52,840	15.8%	19.9%	11.5%	20.1%
Chengdu	2,031	2,675	3,310	4,059	3.0%	31.7%	23.7%	22.6%
Beijing	25,250	26,959	29,863	32,850	25.6%	6.8%	10.8%	10.0%
Average	53,676	60,007	67,880	77,214	1.7%	12.0%	12.7%	13.1%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 40:

We expect credit costs to slightly increase as banks digest retail NPLs and build up provision, largely stable in 2026 and up 4bps each in 2027 and 2028

Credit cost	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
ICBC	0.46%	0.50%	0.56%	0.62%	-1	5	6	6
CCB	0.50%	0.54%	0.57%	0.63%	1	4	4	5
ABC	0.49%	0.53%	0.57%	0.63%	-6	4	5	6
BOC	0.46%	0.46%	0.49%	0.52%	-4	0	3	3
BoCom	0.64%	0.65%	0.69%	0.73%	-2	1	4	4
CMB	0.60%	0.60%	0.68%	0.72%	-5	0	7	4
Citic	1.00%	0.98%	1.07%	1.16%	-9	-2	9	9
Minsheng	1.23%	1.32%	1.37%	1.35%	19	9	5	-2
CRCB	0.73%	0.76%	0.85%	0.91%	-14	4	8	7
Ningbo	0.95%	0.99%	0.95%	0.98%	17	3	-3	3
Hangzhou	0.73%	0.45%	0.44%	0.41%	-22	-28	0	-3
Industrial	0.99%	0.97%	0.99%	1.02%	-9	-2	2	3
PAB	1.20%	1.21%	1.23%	1.26%	-26	1	2	3
CEB	0.92%	0.90%	0.91%	0.95%	-13	-1	1	3
SPDB	1.18%	1.18%	1.18%	1.19%	-15	-1	1	0
Huaxia	1.02%	1.17%	1.23%	1.29%	-20	15	6	5
PSBC	0.35%	0.39%	0.41%	0.46%	2	4	2	5
Chengdu	0.25%	0.29%	0.33%	0.36%	-19	4	3	3
Beijing	0.76%	0.49%	0.66%	0.83%	-13	-27	17	17
Average	0.76%	0.76%	0.80%	0.84%	-7	0	4	4

Raising price targets; amid a more balanced and sustainable growth environment for banks

We raise price targets for our covered Chinese banks amid higher earnings forecasts and higher target P/B multiples: We believe tech and industrial upgrades supported the earlier-than-expected positive development loop for China financials following the cycle bottom in 2024. This, along with moderating credit risks at industrial sectors, should support NIM rebound and thus banks' re-rating. We also believe the current growth model in China that focuses on industrial and tech upgrades with more market oriented industrial capacity expansion and rational pace of fiscal stimulus is a more sustainable growth model that will support a continued positive development loop for China Financials.

As a result, we modestly further reduce our beta assumption for most of our covered banks and keep our long-term ROE assumptions unchanged. **Bank of Ningbo** remains our Top Pick with double-digit loan and profit growth amid market share gains with more rational competition and superior product/services. Among SOE banks, we prefer **BOC-H** and **CCB-H** with stable profit growth, still attractive dividend yield (5.3%-5.4% 2026E) and less uncertainty from dilution of capital injection. We also like **Industrial Bank** and **CITIC Bank-H** given attractive dividends, healthy profit growth and tapering of national team selling. As a result, price targets and P/B multiples for our covered banks are raised by ~2.5% and ~0.03x on average, respectively. Despite the continued near term headwinds related to historical credit quality issues, we still expect **Minsheng** to do well over the medium term given the improvement in core client franchise and very low valuation.

Exhibit 41: Summary of changes to price targets and ratings

		Rating	Price target			Last close	Upside	Target PB		
			New	Old	Change			New	Old	Change
H share			(HKD)	(HKD)		(HKD)		2026E	2026E	
ABC	1288.HK	OW	7.40	6.90	7.2%	6.07	22%	0.77	0.72	0.05
ICBC	1398.HK	OW	8.70	8.00	8.7%	6.88	26%	0.66	0.62	0.04
CCB	0939.HK	OW	11.30	9.90	14.1%	8.73	29%	0.70	0.63	0.07
BOC	3988.HK	OW	6.70	6.30	6.3%	5.23	28%	0.68	0.64	0.04
PSBC	1658.HK	OW	6.30	6.50	-3.1%	5.06	25%	0.68	0.63	0.05
CMB	3968.HK	OW	60.40	63.40	-4.7%	46.10	31%	1.12	1.14	(0.02)
CITIC	0998.HK	OW	10.30	9.20	12.0%	7.77	33%	0.65	0.58	0.07
Minsheng	1988.HK	OW	5.30	6.10	-13.1%	3.48	52%	0.35	0.39	(0.04)
BoCom	3328.HK	UW	6.50	6.10	6.6%	7.19	-10%	0.42	0.39	0.03
Everbright	6818.HK	UW	2.70	2.70	0.0%	3.07	-12%	0.26	0.26	0.00
CRCB	3618.HK	UW	5.10	4.00	27.5%	6.85	-26%	0.36	0.27	0.10
			Price target			Last close	Upside	Target PB		
			New	Old	Change			New	Old	Change
A share			(RMB)	(RMB)		(RMB)		2026E	2026E	
PingAn	000001.SZ	OW	15.30	15.20	0.7%	10.77	42%	0.62	0.60	0.01
Minsheng	600016.SS	OW	5.20	6.00	-13.3%	3.56	46%	0.39	0.44	(0.05)
Industrial	601166.SS	OW	26.40	30.50	-13.4%	17.33	52%	0.63	0.78	(0.15)
CMB	600036.SS	OW	53.00	56.10	-5.5%	37.17	43%	1.12	1.14	(0.02)
Ningbo	002142.SZ	OW	48.30	45.00	7.3%	31.31	54%	1.29	1.20	0.09
Chengdu	601838.SS	OW	26.70	24.60	8.5%	18.68	43%	1.14	1.03	0.11
ABC	601288.SS	EW	7.20	6.80	5.9%	6.46	11%	0.86	0.81	0.06
ICBC	601398.SS	EW	8.50	7.90	7.6%	7.13	19%	0.73	0.69	0.04
CCB	601939.SS	EW	11.00	9.80	12.2%	9.85	12%	0.78	0.70	0.08
BOC	601988.SS	EW	6.50	6.20	4.8%	5.70	14%	0.75	0.71	0.04
CITIC	601998.SS	EW	10.00	9.10	9.9%	7.86	27%	0.72	0.65	0.07
SPDB	600000.SS	EW	10.90	13.80	-21.0%	8.94	22%	0.50	0.57	(0.07)
Beijing	601169.SS	EW	6.20	6.70	-7.5%	5.14	21%	0.46	0.48	(0.02)
Hangzhou	600926.SS	EW	18.90	18.30	3.3%	16.19	17%	0.89	0.83	0.06
BoCom	601328.SS	UW	6.30	6.00	5.0%	6.57	-4%	0.47	0.43	0.03
Everbright	601818.SS	UW	2.60	2.60	0.0%	3.13	-17%	0.29	0.29	0.01
Hua Xia	600015.SS	UW	6.10	5.90	3.4%	6.67	-9%	0.29	0.28	0.01

Source: Morgan Stanley Research estimate. Closing prices as of May 20, 2026.

In addition, we believe China Securities Finance Corp (CSF), who owns shares widely across major banks in the A-share market, has already sold some portion of its holdings in 1Q26, indicating smaller overhang for Chinese bank stocks.

Exhibit 42: China Securities Finance Corp - owns shares in many Chinese banks and has sold some portion of its holdings in 1Q26

China Securities Finance Corporation holdings as % of A share float	4Q25	1Q26	QoQ
CCB	22.82	22.82	0.00
BOCOM	7.26	7.26	0.00
BOC	3.77	3.77	0.00
SPDB	3.76	2.68	-1.08
Industrial	2.94	NA	NA
CMB	2.54	NA	NA
CITIC	2.50	2.37	-0.13
PAB	2.21	1.75	-0.46
CEB	2.13	NA	NA
HXB	1.31	NA	NA
ICBC	0.90	0.90	0.00
ABC	0.58	0.58	0.00

Source: WIND

We continue to use a three-stage dividend discount methodology (DDM) to value China's banks, and apply different base, bull and bear case scenarios. In our view, the DDM approach is a suitable valuation method given the steady dividend streams at China's banks. We continue to apply a 10% discount when deriving our target P/B for the H shares

given the discrepancy between A share and H share valuations. We also revise up RMB/HKD assumptions from 1.13 previously to 1.14 now.

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. We expect a rebound in loan and financial asset yields in a more market-oriented environment with less push for quantitative growth. This, along with lower deposit cost, will support banks' NIM rebound. With more notable progress made on industrial sectors and continued efforts on anti-involution, we see lower credit risks for China's banks. We assume 5-year second-stage DDM growth and keep long-term ROE and dividend payout ratio forecasts unchanged for most of our covered banks.

Exhibit 43: We cut beta for most banks to factor in a more beneficial environment for banks

(Base case)	Beta change		
	New	Old	Chg
ICBC	0.70	0.71	(0.01)
CCB	0.70	0.79	(0.09)
BOC	0.68	0.71	(0.03)
ABC	0.66	0.69	(0.03)
BoCom	0.75	0.78	(0.03)
CMB	1.05	1.03	0.02
CITIC	0.80	0.83	(0.03)
Minsheng	1.16	1.06	0.10
CRCB	1.16	1.47	(0.31)
Everbright	1.15	1.25	(0.10)
Industrial	1.08	0.91	0.17
PingAn	1.18	1.24	(0.06)
SPDB	0.85	0.85	0.01
Huaxia	1.00	1.01	(0.01)
PSBC	1.08	1.15	(0.07)
Chengdu	1.10	1.27	(0.17)
Ningbo	1.00	1.02	(0.02)
Hangzhou	1.10	1.16	(0.06)
Beijing	1.10	1.11	(0.00)
Average	0.96	1.00	(0.04)

Source: Morgan Stanley Research estimates.

Exhibit 44: We keep sustainable ROE forecast unchanged

(Base case)	Sustainable ROE change		
	New	Old	Chg - ppt
ICBC	8.2%	8.2%	0.0%
CCB	8.3%	8.3%	0.0%
BOC	8.2%	8.2%	0.0%
ABC	8.2%	8.2%	0.0%
BoCom	7.2%	7.2%	0.0%
CMB	12.8%	12.8%	0.0%
CITIC	8.8%	8.8%	0.0%
Minsheng	9.0%	9.0%	0.0%
CRCB	7.5%	7.5%	0.0%
Everbright	6.5%	6.5%	0.0%
Industrial	9.5%	9.5%	0.0%
PingAn	10.0%	10.0%	0.0%
SPDB	7.2%	7.2%	0.0%
Huaxia	6.5%	6.5%	0.0%
PSBC	10.0%	10.0%	0.0%
Chengdu	12.0%	12.0%	0.0%
Ningbo	13.0%	13.0%	0.0%
Hangzhou	11.5%	11.5%	0.0%
Beijing	9.0%	9.0%	0.0%
Average	9.1%	9.1%	0.0%

Source: Morgan Stanley Research estimates.

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. We factor in a shorter risk digestion period for banks and a quicker recovery of manufacturing firms' profitability, as well as quicker NIM rebound at banks. We keep our sustainable ROE and dividend payout ratios largely unchanged, at 10.5% and 49%, respectively, to factor in a better outlook for banks.

Our bear case assumes slower than expected capacity control and risk digestion, and a reduced loan rate. We assume slower than expected capacity control that leads to material industrial credit risk. We also assume slower credit growth with limited support from infra as well as slow loan yield recovery to weigh on banks' NIM and revenue. We assume a shorter second-stage growth period of two years and keep our sustainable ROE and dividend payout ratios forecasts at 7.0% and 25%, respectively.

We continue to apply weightings of 60%, 20% and 20% to our base, bear and bull

scenario values, respectively, reflecting our view of higher probability of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, as well as an equally likely polarity for credit risks and global demand.

Exhibit 45: Summary of scenario value revisions in our bull/base/bear cases

	BVPB		BVPB	Bull	Base	Bear	Rating	Current PT	Price target		Bull	Base	Bear	Target PB	Last close	Upside
									Old	Change						
	25	26E	Implied target P/B	Implied target P/B	Implied target P/B	price				price	price	2026E				
H-share (HKD)																
ABC	7.91	8.41	1.25	0.80	0.23	OW	7.40 HKD	ABC	7.2%	\$11.96	\$7.64	\$2.34	0.77x	6.07	22%	
ICBC	10.83	11.57	1.00	0.71	0.18	OW	8.70 HKD	8.00 HKD	8.7%	\$13.17	\$9.34	\$2.37	0.66x	6.88	26%	
CCB	13.24	14.12	1.08	0.74	0.20	OW	11.30 HKD	9.90 HKD	14.1%	\$17.43	\$11.91	\$3.29	0.70x	8.73	29%	
BOC	8.36	8.71	1.00	0.73	0.18	OW	6.70 HKD	6.30 HKD	6.3%	\$9.90	\$7.27	\$1.82	0.68x	5.23	28%	
PSBC	9.04	8.09	1.21	0.64	0.06	OW	6.30 HKD	6.50 HKD	-3.1%	\$11.19	\$5.90	\$2.41	0.68x	5.06	25%	
CMB	43.43	47.32	1.74	1.14	0.43	OW	60.40 HKD	63.40 HKD	-4.7%	\$94.09	\$61.72	\$22.94	1.12x	46.10	31%	
CITIC	14.05	13.90	1.01	0.71	0.10	OW	10.30 HKD	9.20 HKD	12.0%	\$16.05	\$11.22	\$1.61	0.65x	7.77	33%	
Minsheng	13.67	13.41	0.46	0.40	0.09	OW	5.30 HKD	6.10 HKD	-13.1%	\$6.97	\$6.06	\$1.41	0.35x	3.45	82%	
BoCom	12.93	13.59	0.75	0.41	0.12	UW	6.50 HKD	6.10 HKD	6.6%	\$11.57	\$6.32	\$1.92	0.42x	7.19	-10%	
Everbright	6.46	8.90	0.97	0.23	0.07	UW	2.70 HKD	2.70 HKD	0.0%	\$5.75	\$2.33	\$0.69	0.28x	3.07	-12%	
CRCB	12.07	12.51	0.71	0.33	0.11	UW	5.10 HKD	4.00 HKD	27.5%	\$10.15	\$4.68	\$1.55	0.36x	6.85	-26%	
A-share (RMB)																
PingAn	25.13	24.90	1.09	0.56	0.30	OW	15.30	15.20	0.7%	27.04	14.01	7.56	0.62x	10.77	42%	
Minsheng	13.67	13.41	0.51	0.44	0.10	OW	5.20	6.00	-13.3%	6.79	5.91	1.38	0.39x	3.56	46%	
Industrial	39.15	41.72	1.06	0.59	0.32	OW	26.40	30.50	-13.4%	44.21	24.77	13.27	0.63x	17.33	62%	
CMB	43.43	47.32	1.74	1.14	0.43	OW	53.00	56.10	-5.6%	82.53	54.14	20.12	1.12x	37.17	43%	
Ningbo	37.56	37.35	2.00	1.33	0.57	OW	48.30	45.00	7.3%	70.97	49.72	21.20	1.29x	31.31	94%	
Chengdu	23.54	23.54	2.08	1.00	0.60	OW	26.70	24.60	8.5%	48.97	23.53	14.15	1.14x	18.68	42%	
ABC	7.91	8.41	1.39	0.88	0.26	EW	7.20	6.80	5.9%	11.66	7.45	2.18	0.86x	6.46	11%	
ICBC	10.83	11.57	1.11	0.79	0.20	EW	8.50	7.90	7.6%	12.84	9.11	2.31	0.73x	7.13	19%	
CCB	13.24	14.12	1.20	0.82	0.23	EW	11.80	9.80	12.2%	16.98	11.80	3.21	0.78x	9.85	12%	
BOC	8.36	8.71	1.11	0.81	0.20	EW	6.50	6.00	4.8%	9.65	7.09	1.77	0.75x	5.70	14%	
CITIC	14.05	13.90	1.13	0.79	0.11	EW	10.00	9.10	9.9%	15.65	10.94	1.57	0.72x	7.86	27%	
SPDB	24.15	21.78	0.92	0.48	0.14	EW	10.90	13.80	-21.0%	20.14	10.39	3.02	0.90x	8.94	22%	
Beijing	12.97	13.50	0.72	0.46	0.21	EW	6.20	6.70	-7.9%	9.78	6.19	2.78	0.44x	5.14	21%	
Hangzhou	18.37	21.12	1.27	0.92	0.45	EW	18.90	18.30	3.3%	26.85	19.36	9.43	0.89x	16.19	17%	
BoCom	12.93	13.59	0.83	0.45	0.14	UW	6.30	6.00	5.0%	11.28	6.16	1.87	0.47x	6.57	-4%	
Everbright	6.46	8.90	0.93	0.25	0.08	UW	2.60	2.60	0.0%	5.40	2.27	0.67	0.29x	3.13	-17%	
Hua Xia	19.84	21.33	0.72	0.22	0.07	UW	6.10	5.90	3.4%	15.43	4.59	1.95	0.29x	6.67	-9%	
Average									2.5%		21.2%					

Source: Morgan Stanley Research estimates. Closing prices as of May 20, 2026.

Exhibit 46: Summary of the key assumptions in the DDM methodology

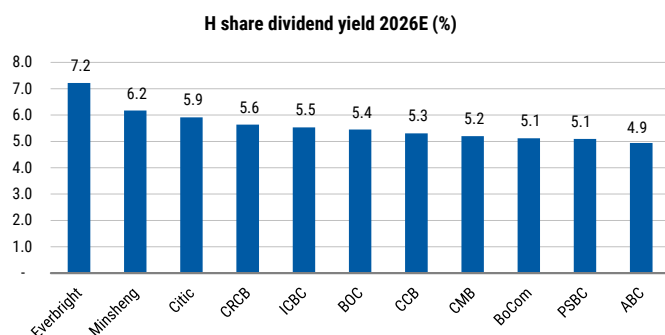
	Risk-free rates	Mkt. Risk Prem.	Beta	Mkt risk premium	Discount Rate	Average ROE	1st stage Div Payout	Div. CAGR	No. of Yrs	Average ROE	2nd Stage Avg Div Payout	Avg Div. Div.	No. of Yrs	Long-term growth Div. Payout	Div. growth	Implied target P/B	Implied target P/E
Base case																	
ICBC	3.75%	7.50%	0.70x	5.3%	9.0%	9.20%	32%	5.3%	3	8.7%	32%	4.8%	6	8.2%	33%	5.5%	0.79x
CCB	3.75%	7.50%	0.70x	5.3%	9.0%	9.73%	30%	7.2%	3	8.9%	32%	5.3%	6	8.3%	34%	5.5%	0.82x
BOC	3.75%	7.50%	0.68x	5.1%	8.9%	8.69%	34%	5.5%	3	8.4%	34%	5.3%	6	8.2%	35%	5.3%	0.81x
ABC	3.75%	7.50%	0.66x	5.0%	8.7%	9.91%	32%	6.2%	3	8.9%	33%	4.5%	6	8.2%	35%	5.4%	0.89x
BoCom	3.75%	7.50%	0.75x	5.6%	9.4%	7.75%	32%	4.5%	3	7.4%	27%	-1.7%	6	7.2%	22%	5.6%	0.46x
CMB	3.75%	7.50%	1.05x	7.9%	11.6%	12.62%	36%	6.1%	3	12.6%	46%	16.8%	6	12.8%	57%	5.5%	1.14x
CITIC	3.75%	7.50%	0.80x	6.0%	9.8%	9.70%	31%	8.1%	3	9.2%	35%	7.9%	6	8.6%	39%	5.4%	0.79x
Minsheng	3.75%	7.50%	1.16x	8.7%	12.5%	5.36%	30%	14.7%	3	7.5%	40%	23.2%	6	9.0%	50%	4.5%	0.44x
CRCB	3.75%	7.50%	1.16x	8.7%	12.5%	9.00%	30%	4.9%	3	8.1%	28%	1.1%	6	7.5%	27%	5.5%	0.33x
Everbright	3.75%	7.50%	1.15x	8.6%	12.4%	6.71%	34%	5.0%	3	6.8%	30%	-0.4%	6	6.5%	26%	4.8%	0.25x
Industrial	3.75%	7.50%	1.08x	8.1%	11.9%	9.42%	31%	6.2%	3	9.3%	36%	12.3%	6	9.5%	42%	5.5%	0.69x
PingAn	3.75%	7.50%	1.18x	8.9%	12.6%	8.84%	29%	5.9%	3	9.5%	37%	16.8%	6	10.0%	45%	5.5%	0.56x
SPDB	3.75%	7.50%	0.85x	6.4%	10.1%	7.12%	30%	6.7%	3	7.2%	35%	10.3%	6	7.2%	40%	4.3%	0.48x
Huaxia	3.75%	7.50%	1.00x	7.5%	11.3%	7.59%	25%	2.1%	3	6.9%	20%	-3.0%	7	6.5%	15%	5.5%	0.21x
PSBC_8	3.75%	7.50%	1.08x	8.1%	11.9%	8.57%	32%	5.2%	3	9.5%	38%	14.8%	6	10.0%	45%	5.5%	0.64x
Chengdu	3.8%	7.50%	1.10x	8.3%	12.0%	13.99%	30%	2.6%	3	12.5%	43%	15.7%	7	12.0%	54%	5.5%	1.00x
Ningbo	3.8%	7.50%	1.00x	7.5%	11.3%	14.25%	26%	14.0%	3	13.7%	42%	20.5%	6	13.0%	58%	5.5%	1.33x
Hangzhou	3.8%	7.50%	1.10x	8.3%	12.0%	13.56%	25%	6.8%	3	12.2%	38%	16.4%	7	11.5%	48%	6.0%	0.92x
Beijing	3.75%	7.50%	1.10x	8.3%	12.0%	6.16%	35%	5.7%	3	7.8%	37%	12.0%	7	9.0%	39%	5.5%	0.46x
Bull case																	
ICBC	3.8%	7.50%	0.64x	4.8%	8.6%	9.20%	32%	5.3%	3	9.1%	37%	10.8%	6	9.0%	42%	5.2%	1.11x
CCB	3.8%	7.50%	0.63x	4.7%	8.5%	9.73%	30%	7.2%	3	9.3%	37%	11.7%	6	9.2%	43%	5.2%	1.20x
BOC	3.8%	7.50%	0.62x	4.7%	8.4%	8.69%	34%	5.5%	3	8.8%	38%	10.6%	6	8.9%	43%	5.0%	1.11x
ABC	3.8%	7.50%	0.58x	4.4%	8.1%	9.91%	32%	6.2%	3	9.5%	38%	11.7%	6	9.3%	46%	5.1%	1.39x
BoCom	3.75%	7.50%	0.65x	4.9%	8.6%	7.75%	32%	4.5%	3	7.9%	34%	8.3%	6	8.2%	36%	5.3%	0.83x
CMB	3.75%	7.50%	0.90x	6.8%	10.5%	12.62%	36%	6.1%	3	13.7%	50%	22.8%	6	15.0%	65%	5.2%	1.74x
CITIC	3.75%	7.50%	0.68x	5.1%	8.9%	9.70%	31%	8.1%	3	9.5%	38%	12.1%	6	9.4%	46%	5.1%	1.13x
Minsheng	3.75%	7.50%	1.20x	9.0%	12.8%	5.36%	30%	14.7%	3	8.0%	43%	28.6%	6	10.0%	58%	4.2%	0.51x
CRCB	3.75%	7.50%	0.80x	6.0%	9.8%	9.00%	30%	4.9%	3	8.6%	34%	9.7%	6	8.5%	39%	5.2%	0.71x
Everbright	3.75%	7.50%	0.70x	5.3%	9.0%	6.71%	34%	5.0%	3	7.1%	37%	9.4%	6	7.5%	40%	4.5%	0.63x
Industrial	3.8%	7.50%	0.90x	6.8%	10.5%	9.42%	31%	6.2%	3	10.3%	42%	21.3%	6	11.5%	55%	5.2%	1.06x
PingAn	3.8%	7.50%	1.02x	7.5%	11.3%	8.84%	29%	5.9%	3	11.0%	44%	28.4%	6	10.2%	60%	5.2%	1.09x
SPDB	3.8%	7.50%	0.55x	4.1%	7.9%	7.12%	30%	6.7%	3	7.5%	39%	15.4%	6	7.80%	49%	4.0%	0.92x
Huaxia	3.8%	7.50%	0.60x	4.5%	8.3%	7.59%	25%	2.1%	3	7.4%	28%	8.8%	7	7.50%	31%	5.2%	0.72x
PSBC_8	3.75%	7.50%	0.82x	6.1%	9.9%	8.57%	32%	5.2%	3	10.2%	42%	20.9%	6	11.5%	53%	5.4%	1.21x
Chengdu	3.75%	7.50%	0.80x	6.0%	9.8%	13.99%	30%	2.6%	3	13.8%	48%	21.7%	7	14.5%	63%	5.4%	2.08x
Ningbo	3.75%	7.50%	0.90x	6.8%	10.5%	14.25%	26%	14.0%	3	14.7%	48%	25.8%	6	15.0%	64%	5.4%	1.90x
Hangzhou	3.75%	7.50%	1.00x	7.5%	11.3%	13.56%	25%	6.8%	3	13.0%	44%	21.9%	7	13.0%	58%	5.4%	1.27x
Beijing	3.8%	7.50%	0.92x	6.9%	10.7%	6.16%	35%	5.7%	3	8.3%	42%	17.3%	7	10.0%	48%	5.2%	0.72x
Bear case																	
ICBC	3.8%	7.50%	1.05x	7.9%	11.6%	9.20%	32%	5.3%	3	7.6%	25%	-18.6%	2	6.0%	13%	5.2%	0.20x
CCB	3.8%	7.50%	1.05x	7.9%	11.6%	9.73%	30%	7.2%	3	7.8%	25%	-15.7%	2	6.2%	16%	5.2%	0.23x
BOC	3.8%	7.50%	1.05x	7.9%	11.6%	8.69%	34%	5.5%	3	7.3%	26%	-17.9%	2	5.9%	15%	5.0%	0.20x
ABC	3.8%	7.50%	1.00x	7.5%	11.3%	9.91%	32%	6.2%	3	7.9%	27%	-14.6%	2	6.2%	18%	5.1%	0.26x
BoCom	3.8%	7.50%	1.09x	8.2%	11.9%	7.75%	32%	4.5%	3	7.4%	24%	-22.2%	2	5.2%	10%	4.7%	0.14x
CMB	3.8%	7.50%	1.80x	13.5%	17.3%	12.62%	36%	6.1%	3	11.2%	40%	11.0%	2	10.0%	48%	5.2%	0.43x
CITIC	3.8%	7.50%	1.70x	12.8%	16.5%	9.70%	31%	8.1%	3	10.2%	22%	-28.8%	2	4.8%	6%	4.5%	0.13x
Minsheng	3.8%	7.50%	1.78x	13.4%	17.1%	5.36%	30%	14.7%	3	5.5%	26%	-7.6%	2	5.0%	20%	4.0%	0.10x
CRCB	3.8%	7.50%	1.78x	13.4%	17.1%	9.00%	30%	4.9%	3	7.1%	21%	-26.5%	2	5.5%	5%	5.2%	0.11x
Everbright	3.8%	7.50%	1.45x	10.9%	14.6%	6.71%	34%	5.0%	3	5.4%	21%	-33.5%	2	4.0%	1%	4.0%	0.08x
Industrial	3.8%	7.50%	1.60x	12.0%	15.8%	9.42%	31%	6.2%	3	8.8%	34%	10.6%	2	8.5%	39%	5.2%	0.32x
PingAn	3.8%	7.50%	2.18x	16.4%	20.1%	8.84%	29%	5.9%	3	9.7%	37%	30.4%	2	10.5%	50%	5.2%	0.30x
SPDB	3.8%	7.50%	1.20x	9.0%	12.8%	7.12%	30%	6.7%	3	7.5%	25%	-15.4%	2	4.5%	18%	3.7%	0.14x
Huaxia	3.8%	7.50%	1.60x	12.0%	15.8%	7.59%	25%	2.1%	3	7.5%	13%	-43.5%	3	4.5%	4%	4.3%	0.07x
PSBC_8	3.8%	7.50%	1.84x	12.3%	16.1%	8.57%	32%	5.2%	3	8.5%	32%	4.2%	2	8.0%	33%	5.4%	0.26x
Chengdu	3.8%	7.50%	1.47x	11.0%	14.8%	13.99%	30%	2.6%	3	12.0%	42%	21.5%	3	11.0%	51%	5.4%	0.60x
Ningbo	3.8%	7.50%	1.55x	11.6%	15.4%	14.25%	26%	14.0%	3	12.7%	37%	22.1%	2	11.0%	51%	5.4%	0.57x
Hangzhou	3.8%	7.50%	1.50x	11.3%	15.0%	13.56%	25%	6.8%	3	11.2%	36%	16.6%	3	9.5%	43%	5.4%	0.48x
Beijing	3.8%	7.50%	1.46x	11.0%	14.7%	6.16%	35%	5.7%	3	6.8%	30%	-2.2%	3	7.0%	26%	5.2%	0.21x

Bank of Ningbo remains our top pick with double-digit revenue and profit growth, which should support higher ROE and valuation. We believe the bank should benefit the most from more market-oriented risk-based pricing and more rational credit growth, where it could leverage its competitiveness in both financial and non-financial services, as well as gain market shares as it is getting back to its bread and butter private corporate loans (see [Bank of Ningbo Co. Ltd: Small Gem Shines Big Again \(17 Mar 2026\)](#)).

Still attractive dividend yield at SOE banks and some mid-sized banks:

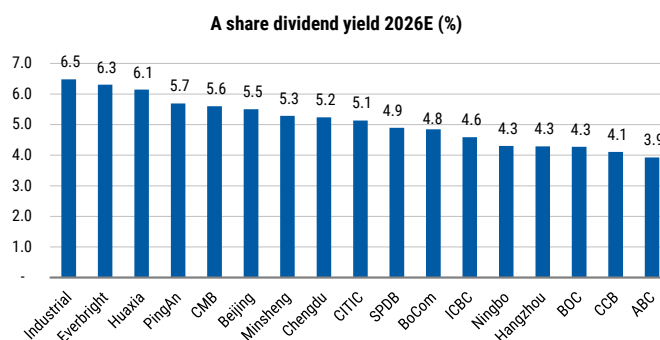
- **BOC-H** and **CCB-H**: stable profit growth, still attractive dividend yield (5.3%-5.4% 2026E) and less uncertainty from dilution of capital injection.
- **Industrial Bank**: offering an attractive 6.5% dividend yield, which is among the highest in our covered A-share banks, after the national team sold its shares.
- **CITIC Bank-H**: asset quality improvement, a strengthening client franchise to support stable profit growth, as well as 5.9% dividend yield.

Exhibit 47: H share dividend yield



Source: Morgan Stanley Research estimates (E). Close price as of May 19, 2026.

Exhibit 48: A share dividend yield



Source: Morgan Stanley Research estimates (E). Close price as of May 19, 2026.

Risk Reward – Industrial and Commercial Bank of China (1398.HK)

Well positioned for earnings growth on strong balance sheet liquidity

PRICE TARGET HK\$8.70

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.0% discount rate, 8.7% second-stage ROE, 8.2% long-term ROE, 33% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

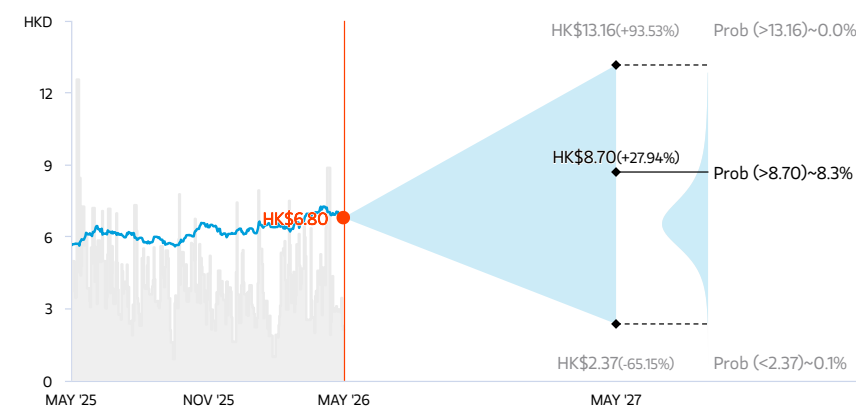
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

- Infrastructure-related credit risks to improve amid pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth.
- Consistent improvement in asset quality.
- Emphasis on Fintech investment, providing more room for operating efficiency improvement.
- Valuation looks attractive for ICBC-H at current levels, based on 2026E target P/B of 0.66x from a three-stage DDM model.

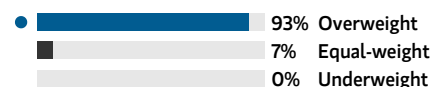
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$13.16

Implies 1.0x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 9% and dividend payout ratio of 42%.

BASE CASE

HK\$9.34

Implies 0.71x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE of 8.2% and dividend payout ratio of 33%.

BEAR CASE

HK\$2.37

Implies 0.18x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate: Bank NIM is under pressure for longer. Higher NPL formation in industrial sectors weighs on asset quality. Long-term ROE of 6% and dividend payout ratio of 13%.

Risk Reward – Industrial and Commercial Bank of China (1398.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.28	1.29	1.32	1.36
Total asset growth (%)	9.5	7.6	7.1	6.9
Credit cost (%)	0.46	0.50	0.56	0.62
Cost-income ratio (%)	33.3	32.8	32.8	32.8
Deposit growth (%)	7.1	6.3	6.6	6.4

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to healthy net interest income growth.
- Efficiency improvement from fintech investment, and potentially better pricing capability from a comprehensive database.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% North America
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention, amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could pressure credit quality and asset yield.

OWNERSHIP POSITIONING

Inst. Owners, % Active 33.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 797,444.3 856,476.9 909,716.9

EBITDA (Rmb, mn) 470,969
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 356,247.4 375,406 385,956.0
372,322.6

EPS (Rmb) 1.0 1.1 1.2
1.0

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Industrial and Commercial Bank of China (601398.SS)

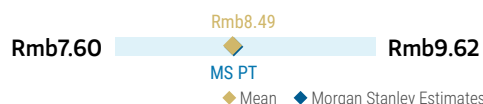
Well positioned for earnings growth on strong balance sheet liquidity

PRICE TARGET Rmb8.50

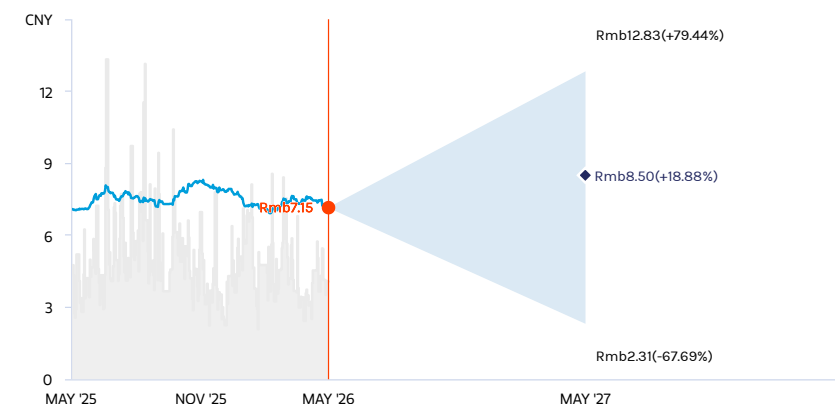
We continue to use a 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 9.0% in the base case, and we assume 8.7% for second-stage and 8.2% long-term ROE, with a 33% long-term dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



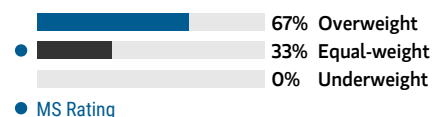
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Infrastructure-related credit risks to improve amid pressure on local governments to boost infrastructure cash flow and ongoing partial swap.
- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth.
- Consistent improvement in asset quality.
- Emphasis on Fintech investment, providing more room for operating efficiency improvement.
- Valuation looks fair for ICBC-A at current levels, based on 2026E target P/B of 0.73x from a three-stage DDM model.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

Rmb12.83

Implies 1.11x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 9% and dividend payout ratio of 42%.

BASE CASE

Rmb9.10

Implies 0.79x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE of 8.2% and dividend payout ratio of 33%.

BEAR CASE

Rmb2.31

Implies 0.20x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate: Bank NIM is under pressure for longer. Higher NPL formation in industrial sectors weighs on asset quality. Long-term ROE of 6% and dividend payout ratio of 13%.

Risk Reward – Industrial and Commercial Bank of China (601398.SS)

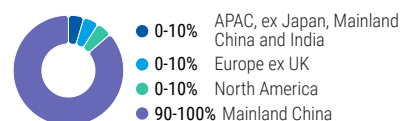
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.28	1.29	1.32	1.36
Total asset growth (%)	9.5	7.6	7.1	6.9
Credit cost (%)	0.46	0.50	0.56	0.62
Cost-income ratio (%)	33.3	32.8	32.8	32.8
Deposit growth (%)	7.1	6.3	6.6	6.4

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to healthy net interest income growth.
- Efficiency improvement from fintech investment, and potentially better pricing capability from a comprehensive database.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy interference, amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Social responsibilities to continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could pressure credit quality and asset yield.

OWNERSHIP POSITIONING

Inst. Owners, % Active 53.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 797,444.3 854,107.5 909,716.9

EBITDA (Rmb, mn) 470,969
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 356,247.4 375,406 371,493.4 383,373.0

EPS (Rmb) 1.0 1.1 1.0 1.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 49: ICBC Financial Summary

ICBC					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg. Earning Assets	49,730,513	53,571,115	57,744,613	61,869,566	ROAA (%)*	0.72	0.70	0.69	0.68
Net Interest Margin (%)	1.28%	1.29%	1.32%	1.36%	ROAE (%)*	9.5	9.4	9.3	9.2
Interest Income	1,331,831	1,362,700	1,473,982	1,597,664	Book Value Per Share (Rmb)	10.8	11.6	12.4	13.2
Interest Expense	(696,705)	(669,782)	(712,500)	(757,842)	EPS (Rmb)	1.00	1.05	1.12	1.18
Net Interest Income	635,126	692,918	761,482	839,822	Gross Dividends	110,593	118,661	125,411	132,840
Provision Expense	(134,860)	(164,136)	(194,713)	(230,267)	DPS (Rmb)	0.31	0.33	0.35	0.37
Net Interest Income a/f LLP	500,266	528,781	566,769	609,555	Payout Ratio (%)	31	32	32	32
Non-interest Income					Issued Shares (mil)	356,407	356,407	356,407	356,407
Net Fees and Commissions	111,171	117,401	125,978	135,246	Performance Ratios				
Forex gains	(490)	16	15	15	Growth (%)				
Other investment gains	63,797	70,199	73,760	77,415	Net Interest Income	-0.4	9.1	9.9	10.3
Other Income	28,666	29,183	30,640	31,851	Non-interest Income	10.2	6.7	6.3	6.1
Total Non-interest Income	203,144	216,799	230,393	244,526	Non-interest Expense	1.8	6.8	9.0	9.3
Non-interest Expense					Net Profit	0.7	5.0	5.7	5.9
Salaries & Benefits	146,449	157,084	173,027	192,128	Loans	8	7	6	6
Other Expenses	132,850	141,274	152,081	163,306	deposits	7	6	7	6
Total Non-interest Expense	279,299	298,358	325,108	355,435	Earning Assets	10	8	7	7
Profit Before Tax	424,435	447,708	472,782	499,739	Interest-bearing Liab.	10	8	7	7
Effective Tax	(53,669)	(58,334)	(61,383)	(64,101)	Risk-weighted Assets	10	8	7	7
PAT	370,766	389,374	411,398	435,638	Revenue Breakdown (%)				
Minorities	(2,204)	(2,204)	(2,204)	(2,204)	Net Int Inc/Op Inc	75.8	76.2	76.8	77.4
NPAT	368,562	387,170	409,194	433,434	Net fee-based Inc/Op Inc	13.3	12.9	12.7	12.5
BALANCE SHEET DATA					Efficiency (%)				
Total Assets	53,477,773	57,554,165	61,637,192	65,911,560	Cost/Income	33.3	32.8	32.8	32.8
Total Interbank assets	1,794,756	2,047,978	2,204,848	2,377,623	Expenses/Avg Assets	0.55	0.54	0.55	0.56
Total Loans (Gross)	30,506,114	32,575,471	34,684,135	36,844,648	Liquidity (%)				
Total Deposits	37,311,778	39,665,412	42,286,798	44,997,327	Avg Loan/Avg Earn. Asts	60.1	59.2	58.6	58.1
Total Interbank liabilities	7,496,847	8,222,101	9,152,136	10,184,809	Avg Loans/Avg Deposit	82.8	82.5	82.5	82.4
Shareholders' Equity, EOY	3,859,602	4,122,829	4,410,968	4,719,473	Avg Loans/Avg Dep. & Eq'ty	75.0	74.7	74.8	74.6
Avg Loans (Gross)	29,873,346	31,734,533	33,819,370	35,953,712	Period-End Loans/Dep.	81.8	82.1	82.0	81.9
Avg Deposits	36,074,376	38,488,595	40,976,105	43,642,062	Capital Information (%)				
Avg Shareholders' Equity	3,775,145	4,019,421	4,295,986	4,595,189	Tier 1 Ratio	14.9	14.7	14.6	14.5
Avg Loan/AEA (%)	60	59	59	58	Tier 2 Ratio	3.8	3.0	3.2	3.4
ASSET QUALITY					Total CAR	18.8	17.7	17.8	17.9
Non-performing Loans	399,013	427,484	457,753	486,320	IGCR	6.6	6.4	6.4	6.3
NPL/Total Gross Loans(%)	1.31	1.31	1.32	1.32					
Loan Loss Reserve	851,750	891,304	947,549	1,035,861					
Coverage (LLR/NPL; %)	213.60	208.50	207.00	213.00					
LLR/Total Gross Loans(%)	2.79	2.74	2.73	2.81					
Credit cost (%)	0.46	0.50	0.56	0.62					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Agricultural Bank of China Limited (1288.HK)

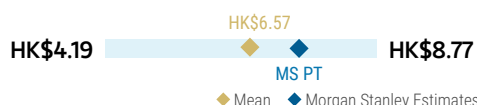
Play on government's economic rebalancing

PRICE TARGET HK\$7.40

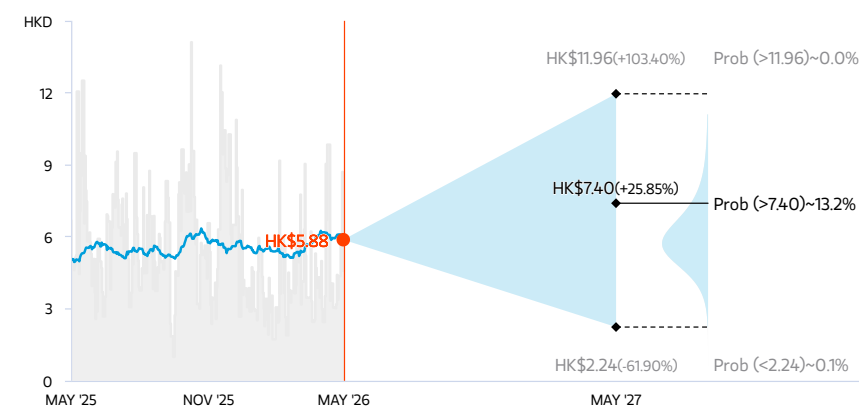
3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 8.7% discount rate, 8.9% second-stage ROE, 8.2% long-term ROE, 35% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



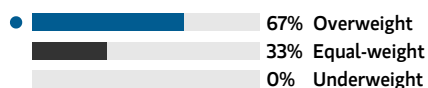
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Infrastructure related credit risks to improve amid the pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- Continuously improving asset quality, with the highest NPL coverage ratio among the Big 5 banks.
- Strong deposit franchise, especially in county/rural areas, resulting in a stable funding structure. Deposits accounted for 72% of total liabilities in F2025.
- Attractive valuation, with 2026E dividend yield of 4.9% compared to 3.9% for ABC-A.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$11.96

Implies 1.25x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.3% and 46%, respectively.

BASE CASE

HK\$7.64

Implies 0.80x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.2% and 35%, respectively.

BEAR CASE

HK\$2.24

Implies 0.23x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) Long-term ROE and dividend payout ratio of 6.2% and 18%, respectively.

Risk Reward – Agricultural Bank of China Limited (1288.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.28	1.25	1.28	1.32
Total asset growth (%)	12.8	7.0	6.7	6.9
Credit cost (%)	0.49	0.53	0.57	0.63
Cost-income ratio (%)	38.0	37.3	37.2	37.1

CATALYST CALENDAR

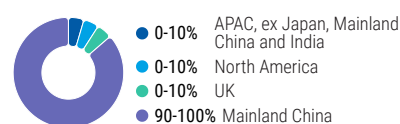
Date	Event
26 Jun 2026 - 30 Jun 2026	Agricultural Bank of China Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Focus on risk control under financial supply-side reform.
- Better deposit franchise with higher presence in rural areas, and relatively less competition.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST	3 Month Horizon
-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could put pressure on credit quality and asset yields.

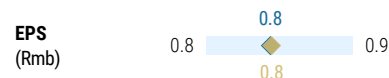
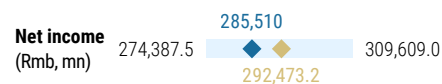
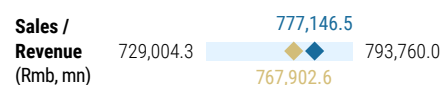
OWNERSHIP POSITIONING

Inst. Owners, % Active 70.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Agricultural Bank of China Limited (601288.SS)

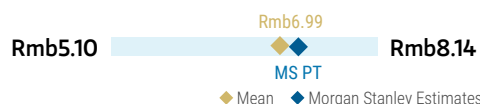
Play on government's economic rebalancing

PRICE TARGET Rmb7.20

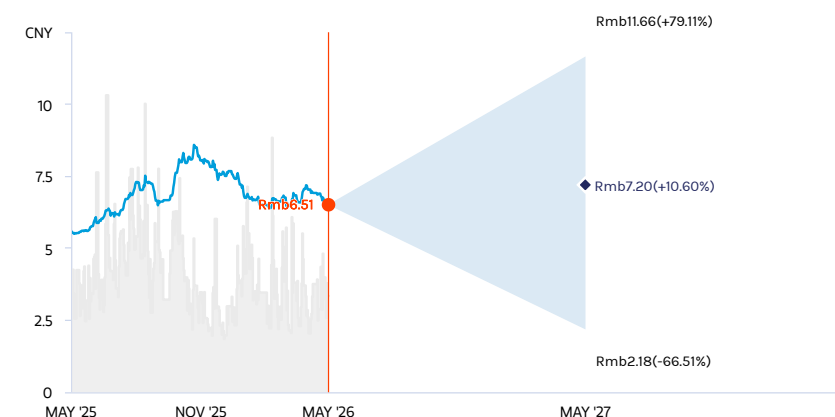
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 8.7% in the base case, and we assume 8.9% for second-stage and 8.2% for long-term ROE with a 35% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



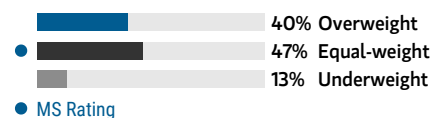
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Infrastructure-related credit risks to improve amid pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- Continuously improving asset quality with the highest - and rising - NPL coverage ratio among the Big 5 banks.
- Strong deposit franchise, especially in county/rural areas, resulting in a stable funding structure. Deposits accounted for 72% of total liabilities in FY2025.
- Limited upside potential for the A share at current levels; hence, we are EW on ABC-A.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb11.66

Implies 1.39x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.3% and 46%, respectively.

BASE CASE

Rmb7.45

Implies 0.89x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.2% and 35%, respectively.

BEAR CASE

Rmb2.18

Implies 0.26x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) Long-term ROE and dividend payout ratio of 6.2% and 18%, respectively.

Risk Reward – Agricultural Bank of China Limited (601288.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.28	1.25	1.28	1.32
Total asset growth (%)	12.8	7.0	6.7	6.9
Credit cost (%)	0.49	0.53	0.57	0.63
Cost-income ratio (%)	38.0	37.3	37.2	37.1

CATALYST CALENDAR

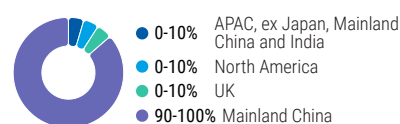
Date	Event
26 Jun 2026 - 30 Jun 2026	Agricultural Bank of China Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Focus on risk control under financial supply-side reform.
- Better deposit franchise with higher presence in rural areas, and relatively less competition.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could put pressure on credit quality and asset yield.

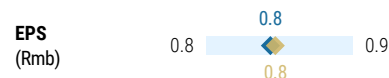
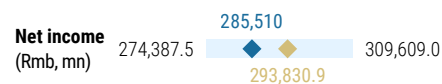
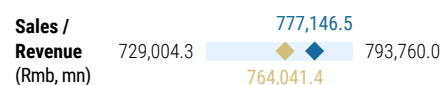
OWNERSHIP POSITIONING

Inst. Owners, % Active 66.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 50: ABC Financial Summary

Agricultural Bank of China					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg. Earning Assets	44,634,483	48,968,805	52,284,725	55,949,263	ROAA (%)*	0.63	0.60	0.59	0.59
Net Interest Margin (%)	1.28	1.25	1.28	1.32	ROAE (%)*	10.2	10.0	9.9	9.8
Interest Income	1,201,338	1,276,904	1,387,489	1,497,045	Book Value Per Share (Rmb)	7.91	8.41	8.99	9.63
Interest Expense	(631,744)	(665,171)	(719,696)	(759,476)	EPS (Rmb)	0.78	0.82	0.86	0.92
Net Interest Income	569,594	611,733	667,793	737,568	Gross Dividends	87,321	91,004	96,003	102,258
Provision Expense	(127,207)	(147,683)	(171,127)	(201,251)	DPS (Rmb)	0.25	0.26	0.27	0.29
Net Interest Income a/f LLP	442,387	464,049	496,666	536,318	Payout Ratio (%)	32	32	32	32
Non-interest Income					Issued Shares (mil)	349,983	349,983	349,983	349,983
Net Fees and Commissions	88,085	92,677	98,593	105,123	Performance Ratios				
Other investment gains	55,705	61,385	62,700	64,968	Growth (%)				
Other Income	11,747	11,352	14,787	17,466	Net Interest Income	-1.9	7.4	9.2	10.4
Total Non-interest Income	155,537	165,414	176,079	187,557	Non-interest Income	19.0	6.4	6.4	6.5
Non-interest Expense					Non-interest Expense	5.4	5.4	8.2	9.3
Salaries & Benefits	169,377	181,021	197,776	218,659	Net Profit	3.2	4.0	5.2	6.2
Net Occupancy & Equip	23,495	24,677	26,295	28,025	Earning Assets	12.7	7.2	7.1	6.9
Other Expenses	82,499	84,524	89,853	96,539	Interest-bearing Liab.	13.6	7.1	6.8	7.0
Total Non-interest Expense	275,371	290,222	313,924	343,223	Risk-weighted Assets	9.8	7.5	6.7	6.9
Profit Before Tax	323,689	340,378	359,957	381,787	Revenue Breakdown (%)				
Effective Tax	(31,686)	(36,724)	(40,516)	(42,602)	Net Int Inc/Op Inc	78.6	78.7	79.1	79.7
PAT	292,003	303,653	319,442	339,185	Net fee-based Inc/Op Inc	12.1	11.9	11.7	11.4
Minorities	(962)	(1,058)	(1,164)	(1,280)	Efficiency (%)				
NPAT	291,041	302,595	318,278	337,905	Cost/Income	38.0	37.3	37.2	37.1
BALANCE SHEET DATA					Expenses/Avg Assets	0.60	0.57	0.58	0.60
Total Assets	48,784,674	52,177,999	55,660,289	59,491,534	Liquidity (%)				
Total Interbank assets	2,570,255	2,675,733	2,831,841	2,999,334	Avg Loan/Avg Earn. Asts	58.6	57.3	57.2	57.0
Total Loans (Gross)	27,134,834	28,946,266	30,855,016	32,879,747	Avg Liquid Assets/AEA	11.2	11.3	11.3	11.2
Total Deposits	32,649,947	34,927,809	37,302,474	39,843,473	Avg Loans/Avg Deposit	85.2	85.3	83.4	83.0
Total Interbank liabilities	7,843,162	8,491,756	9,113,807	9,875,479	Avg Loans/Avg Dep. & Eq'ty	78.1	78.3	76.7	76.3
Shareholders' Equity, EOY	2,767,182	2,943,074	3,144,850	3,370,375	Period-End Loans/Dep.	82.9	82.9	82.7	82.5
	83.1%	82.9%	82.7%	82.5%	Capital Information (%)				
ASSET QUALITY					Core Tier 1 Ratio	11.08	10.97	10.99	11.02
Non-performing Loans	343,456	362,889	388,439	414,268	Tier 1 Ratio	12.97	12.94	12.93	12.93
NPL/Total Gross Loans(%)	1.27	1.25	1.26	1.26	Tier 2 Ratio	4.96	4.67	4.52	4.36
Loan Loss Reserve	956,480	1,019,719	1,099,282	1,195,164	Total CAR	17.93	17.61	17.44	17.28
Coverage (LLR/NPL; %)	292.6	281.0	283.0	286.0	IGCR	6.97	6.81	6.74	6.71
LLR/Total Gross Loans(%)	3.71	3.52	3.56	3.63					
Credit cost (%)	0.49	0.53	0.57	0.63					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – China Construction Bank Corp. (0939.HK)

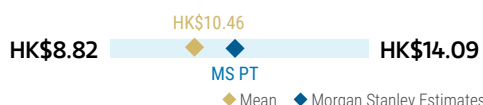
Well positioned for profit rebound with prudent balance sheet

PRICE TARGET HK\$11.30

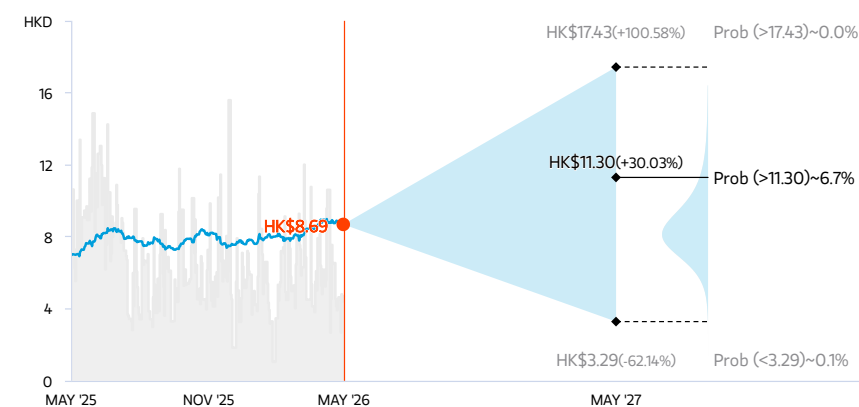
3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.0% discount rate, 8.9% second-stage ROE, 8.3% long-term ROE, 34% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



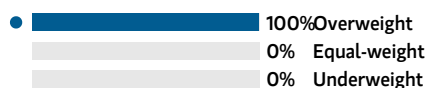
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Infrastructure-related credit risks to improve amid the pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- CCB has a strong track record in bond trading to support non-interest income growth.
- Well-managed asset quality and solid positioning amid regulation restoration for long-term stability.
- Attractive valuation of 5.3% 2026E dividend yield for CCB-H compared to 4.1% for CCB-A.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$17.43

Implies 1.08x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.2% and 43%, respectively.

BASE CASE

HK\$11.91

Implies 0.74x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.3% and 34%, respectively.

BEAR CASE

HK\$3.29

Implies 0.20x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. Bank NIM is under pressure for longer. Higher NPL formation in industrial sectors weighs on banks' asset quality. Long-term ROE and dividend payout ratio of 6.2% and 16%, respectively.

Risk Reward – China Construction Bank Corp. (0939.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.34	1.35	1.39	1.44
Total asset growth (%)	12.5	6.9	6.2	6.2
Credit cost (%)	0.50	0.54	0.57	0.63
Cost-income ratio (%)	30.7	30.7	30.7	30.8
Deposit growth (%)	7.4	6.5	6.1	6.1

CATALYST CALENDAR

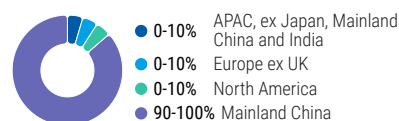
Date	Event
26 Jun 2026 - 30 Jun 2026	China Construction Bank Corp Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth.
- Potentially more room for cost control and operating efficiency improvement.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity market.

RISKS TO DOWNSIDE

- Further slowdown in China's macro economy.
- Accelerated deposit rate deregulation.
- Potential higher credit risk of SME loans as CCB shifts loan allocation to inclusive finance.
- Large social responsibility as state-owned bank.

OWNERSHIP POSITIONING

Inst. Owners, % Active 45.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 735,056.6 800,787.2 832,430.0
778,588.7

EBITDA (Rmb, mn) 407,698
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 333,452.3 351,945 355,129.7
346,363.0

EPS (Rmb) 1.3 1.3 1.4
1.3

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – China Construction Bank Corp. (601939.SS)

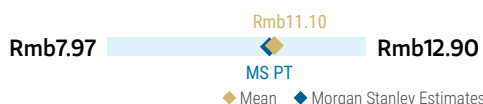
Well positioned for profit rebound on prudent balance sheet

PRICE TARGET Rmb11.00

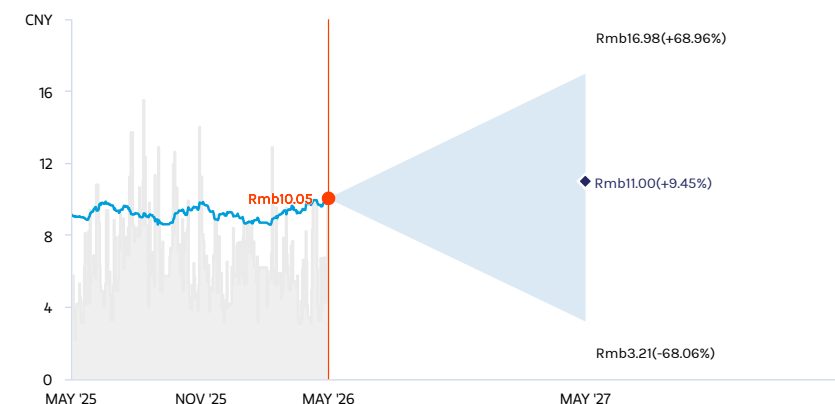
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 9.0% in the base case, and we assume 8.9% for second-stage and 8.3% long-term ROE with a long-run dividend payout ratio of 34%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



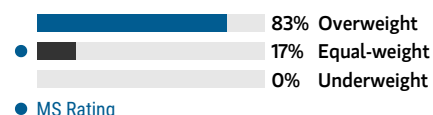
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Infrastructure-related credit risks to improve amid the pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- CCB has a strong track record in bond trading to support non-interest income growth.
- Well-managed asset quality and solid positioning amid regulation restoration for long-term stability.
- Valuation premium to H-share remains; hence, we are EW on CCB-A.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb16.98

Implies 1.20x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.2% and 43%, respectively.

BASE CASE

Rmb11.60

Implies 0.82x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.3% and 34%, respectively.

BEAR CASE

Rmb3.21

Implies 0.23x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. Bank NIM is under pressure for longer. Higher NPL formation in industrial sectors weighs on banks' asset quality. Long-term ROE and dividend payout ratio of 6.2% and 16%, respectively.

Risk Reward – China Construction Bank Corp. (601939.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.34	1.35	1.39	1.44
Total asset growth (%)	12.5	6.9	6.2	6.2
Credit cost (%)	0.50	0.54	0.57	0.63
Cost-income ratio (%)	30.7	30.7	30.7	30.8
Deposit growth (%)	7.4	6.5	6.1	6.1

CATALYST CALENDAR

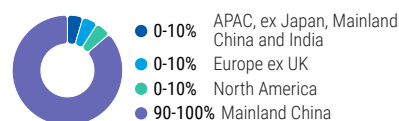
Date	Event
26 Jun 2026 - 30 Jun 2026	China Construction Bank Corp Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth
- Potentially more room for cost control and operating efficiency improvement.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity market.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could put pressure on credit quality and asset yields.

OWNERSHIP POSITIONING

Inst. Owners, % Active 63.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 725,787.0 800,787.2 832,430.0
776,527.3

EBITDA (Rmb, mn) 407,698
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 333,452.3 351,945 355,129.7
345,966.4

EPS (Rmb) 1.3 1.3 1.4
1.3

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Exhibit 51: CCB financial Summary

PROFIT & LOSS ACCOUNT					SHARE RATIOS				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	Year end 31 December	2025	2026E	2027E	2028E
Avg. Earning Assets	42,766,211	46,332,515	49,180,313	52,317,431	ROAA (%)	0.79	0.76	0.75	0.75
Net Interest Margin (%)	1.34	1.35	1.39	1.44	ROAE (%)	10.07	9.84	9.73	9.63
Interest Income	1,153,262	1,202,405	1,296,306	1,400,092	Book Value Per Share (Rmb)	13.24	14.12	15.13	16.22
Interest Expense	(580,488)	(577,303)	(614,012)	(648,355)	EPS (Rmb)	1.30	1.35	1.42	1.51
Net Interest Income	572,774	625,102	682,293	751,737	DPS (Rmb)	0.39	0.41	0.43	0.46
Provision Expense	(133,359)	(153,982)	(175,695)	(204,071)	Payout Ratio (%)	30	30	30	31
Net Interest Income a/f LLPE	439,415	471,121	506,598	547,666	Issued Shares (m)	261,600	261,600	261,600	261,600
Non-interest Income					PERFORMANCE RATIOS				
Fees and Commissions	110,307	116,784	123,504	130,505	Growth (%)				
Dividend Income	5,969	8,294	9,518	10,921	Net Interest Income	-2.9	9.1	9.1	10.2
Forex Income	14,504	17,623	19,033	19,830	Non-interest Income	21.2	4.5	4.5	4.7
Other Income	37,317	32,984	31,551	30,834	Non-interest Expense	1.5	8.1	8.3	9.2
Total Non-interest Income	168,097	175,685	183,606	192,191	Net Profit	1.0	5.4	5.7	5.9
Non-interest Expense					Avg Earning Assets	9.4	8.3	6.1	6.4
Salaries & Benefits	136,646	147,054	159,326	174,003	Interest-bearing Liab.	9.9	6.9	6.2	6.2
Net Occupancy & Equipment	9,916	9,622	10,425	11,386	Risk-weighted Assets	8.4	7.1	6.1	6.1
Other Expenses	80,663	88,958	96,382	105,261	Revenue Breakdown (%)				
Total Non-interest Expense	227,225	245,635	266,134	290,650	Net Int Inc/Op Inc	77.3	78.1	78.8	79.6
Profit Before Tax	380,623	401,506	424,406	449,543	Fee-based Inc/Op Inc	14.9	14.6	14.3	13.8
Effective Tax	(40,833)	(43,240)	(45,700)	(48,379)	Forex Income/Op Inc	2.0	2.2	2.2	2.1
Net Profit	339,790	358,267	378,706	401,164	Efficiency (%)				
Net Profit (after minority)	338,906	357,365	377,786	400,226	Cost/Income	30.7	30.7	30.7	30.8
BALANCE SHEET DATA					Expenses/Avg Assets	0.5	0.5	0.5	0.5
Total Assets	45,631,818	48,762,140	51,806,119	55,002,429	Liquidity (%)				
Total Liquid Assets	1,915,851	1,723,952	1,819,126	1,943,571	Avg Loan/Avg Earn. Asts	62.7	62.0	62.3	62.2
Total Loans (Gross)	27,772,827	29,698,519	31,563,617	33,550,140	Avg Liquid Assets/AEA	10.5	10.5	9.8	9.4
Total Deposits	30,835,574	32,834,256	34,830,685	36,948,504	Avg Loans/Avg Deposit	90.0	90.3	90.5	90.7
Other Interest Bearing Liab	8,372,234	9,387,570	10,075,828	10,778,902	Avg Loans/Avg Dep. & Eq'ty	81.0	81.1	81.3	81.4
Shareholders' Equity, EOY	3,463,434	3,693,539	3,956,748	4,243,701	Period-End Loans/Dep.	90.1	90.4	90.6	90.8
ASSET QUALITY					Capital Information (%)				
Non-performing Loans	363,982	385,553	412,378	438,526	Tier 1 Ratio	15.5	15.4	15.5	15.6
NPL/Total Loans (Gross) (%)	1.31%	1.30%	1.31%	1.31%	Tier 2 Ratio	4.2	4.0	3.9	3.9
Loan Loss Reserve	846,037	904,122	969,089	1,030,536	Total CAR	19.7	19.4	19.4	19.5
Coverage (LLR/NPL; %)	233.15	234.50	235.00	235.00	IGCR	7.1	6.9	6.8	6.7
LLR/Total Loans (Gross) (%)	3.05	3.04	3.07	3.07					
Credit cost	148,156	169,518	192,786	222,871					
Credit cost (%)	0.50	0.54	0.57	0.63					
Credit cost /Net Int Inc (%)	25.87	27.12	28.26	29.65					

Source: Company data, Morgan Stanley Research (E) estimate

Risk Reward – Bank of China Limited (3988.HK)

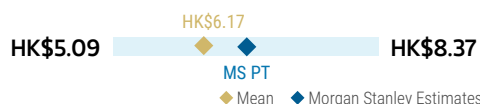
Good progress with business transition and attractive valuation

PRICE TARGET HK\$6.70

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 8.4% second-stage ROE, 8.2% long-term ROE, 35% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

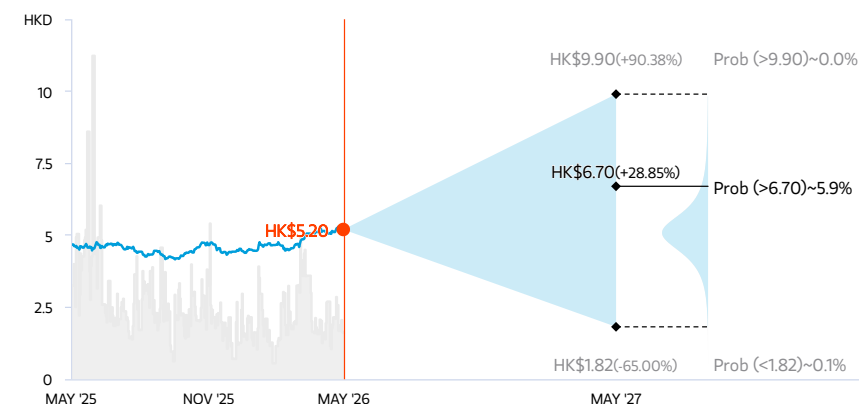
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

- Infrastructure related credit risks to improve amid the pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- We view BOC as a stable investment amid uncertainties on investment growth and consumption recovery in China.
- We see good progress in the transition of its wealth and asset management business.
- The H-shares offer an 5.4% 2026e dividend yield and attractive valuation.

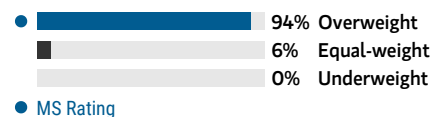
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$9.90

Implies 1.0x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 8.9% and 43%, respectively.

BASE CASE

HK\$7.27

Implies 0.73x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.2% and 35%, respectively.

BEAR CASE

HK\$1.82

Implies 0.18x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) Long-term ROE and dividend payout ratio of 5.9% and 15%, respectively.

Risk Reward – Bank of China Limited (3988.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.26	1.26	1.27	1.32
Total asset growth (%)	9.4	6.2	5.5	5.5
Credit cost (%)	0.46	0.46	0.49	0.52
Cost-income ratio (%)	38.9	39.4	39.4	39.4

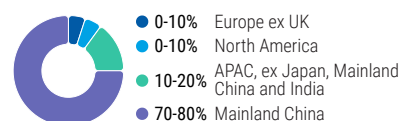
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
26 Jun 2026 - 30 Jun 2026	Bank of China Ltd Annual Shareholders Meeting	

INVESTMENT DRIVERS

- Transition of wealth business in the right direction with a comprehensive platform-style strategy
- Healthy growth of BOC's asset management business (bank WMP) amid business reform of NAV products

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST	3 Month Horizon
-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

RISKS TO DOWNSIDE

- Social responsibilities coupled with a market downturn.
- Further economic slowdown in overseas markets, which could put pressure on credit quality and asset yield.

OWNERSHIP POSITIONING

Inst. Owners, % Active 27.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 611,439.0 698,355.4 706,808.0
674,363.9

EBITDA (Rmb, mn) 330,253
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 227,939.8 252,513 268,393.9
245,490.3

EPS (Rmb) 0.7 0.7 0.8
0.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Bank of China Limited (601988.SS)

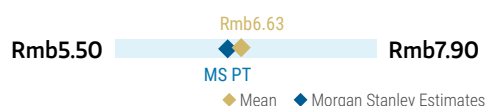
Good progress in business transition, but less attractive valuation than BOC-H

PRICE TARGET Rmb6.50

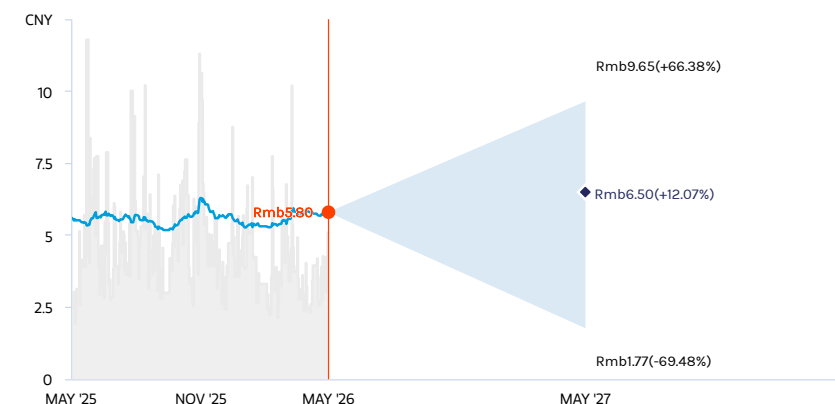
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. Key assumptions for base case: 8.4% second-stage ROE, 8.2% long-run ROE, 35% long-run dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



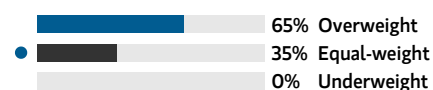
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Infrastructure related credit risks to improve amid the pressure on local governments to improve infrastructure cash flow and ongoing partial swap.
- We view BOC as a stable investment amid uncertainties on investment growth and consumption recovery in China.
- We see good progress in the transition of its wealth and asset management business.
- However, we see limited upside potential for the A-shares given the relatively high A/H premium at current levels. Therefore, we are EW on BOC-A.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Positive*
 Secular Growth: *Positive*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb9.65

Implies 1.11x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 8.9% and 43%, respectively.

BASE CASE

Rmb7.09

Implies 0.81x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.2% and 35%, respectively.

BEAR CASE

Rmb1.77

Implies 0.20x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) Long-term ROE and dividend payout ratio of 5.9% and 15%, respectively.

Risk Reward – Bank of China Limited (601988.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.26	1.26	1.27	1.32
Total asset growth (%)	9.4	6.2	5.5	5.5
Credit cost (%)	0.46	0.46	0.49	0.52
Cost-income ratio (%)	38.9	39.4	39.4	39.4

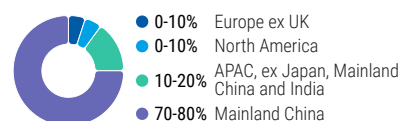
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
26 Jun 2026 - 30 Jun 2026	Bank of China Ltd Annual Shareholders Meeting	

INVESTMENT DRIVERS

- Transition of wealth business in the right direction with a comprehensive platform-style strategy
- Healthy growth of BOC's asset management business (bank WMP) amid business reform to NAV products.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 MOST	3 Month Horizon
-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

RISKS TO DOWNSIDE

- Social responsibilities coupled with a market downturn.
- Further economic slowdown in overseas markets, which could put pressure on credit quality and asset yield.

OWNERSHIP POSITIONING

Inst. Owners, % Active 51%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 611,439.0 698,355.4 706,808.0
673,840.9

EBITDA (Rmb, mn) 330,253
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 225,793.0 252,513 268,393.9
244,657.3

EPS (Rmb) 0.7 0.7 0.8

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Exhibit 52: BOC Financial Summary

Bank of China									
PROFIT & LOSS ACCOUNT					SHARE RATIOS				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	Year end 31 December	2025	2026E	2027E	2028E
Avg. Earning Assets	35,092,431	37,445,390	40,151,670	42,290,397	ROAA (%)*	0.70	0.68	0.67	0.68
Net Interest Margin (%)	1.26	1.26	1.27	1.32	ROAE (%)*	9.0	8.7	8.7	8.7
Interest Income	1,000,907	1,022,543	1,105,508	1,187,157	Book Value Per Share (Rmb)	8.36	8.71	9.27	9.87
Interest Expense	(560,202)	(552,347)	(593,839)	(627,178)	EPS (Rmb)	0.71	0.74	0.78	0.83
Net Interest Income	440,705	470,197	511,669	559,979	Gross Dividends	72,917	80,343	84,719	89,936
Provision Expense	(103,087)	(111,563)	(125,506)	(141,475)	DPS (Rmb)	0.23	0.25	0.26	0.28
Net Interest Income a/f LLP	337,618	358,633	386,163	418,504	Payout Ratio (%)	32	34	34	34
Non-interest Income					Issued Shares (mil)	322,212	322,212	322,212	322,212
Net Fees and Commissions	82,237	86,853	92,560	99,267	Performance Ratios				
Net trading income	52,064	10,262	10,663	11,268	Growth (%)				
Net gains/investment securities	14,667	33,015	35,279	36,345	Net Interest Income	-1.8	6.7	8.8	9.4
Other operating income	70,203	98,028	99,866	102,701	Non-interest Income	19.2	4.1	4.5	4.7
Total Non-interest Income	219,161	228,159	238,368	249,580	Non-interest Expense	8.8	7.1	7.4	7.9
Non-interest Expense					Net Profit	2.2	3.9	5.2	6.1
Salaries & Benefits	115,830	124,150	133,860	145,371	Earning Assets	9.4	6.3	5.6	5.6
Depreciation and amortization	22,375	23,248	24,355	25,665	Interest-bearing Liab.	8.5	5.9	5.6	5.6
Other Expenses	118,418	127,544	137,197	147,772	Risk-weighted Assets	8.9	5.8	5.6	5.4
Total Non-interest Expense	256,623	274,942	295,411	318,808	Revenue Breakdown (%)				
Profit Before Tax	301,288	312,982	330,251	350,408	Net Int Inc/Op Inc	66.8	67.3	68.2	69.2
Effective Tax	(43,352)	(44,808)	(48,085)	(51,130)	Net fee-based Inc/Op Inc	12.5	12.4	12.3	12.3
PAT	257,936	268,174	282,166	299,278	Efficiency (%)				
Minorities	(14,915)	(15,661)	(16,444)	(17,266)	Cost/Income	38.9	39.4	39.4	39.4
NPAT	243,021	252,513	265,722	282,012	Expenses/Avg Assets	0.7	0.7	0.7	0.7
BALANCE SHEET DATA					Liquidity (%)				
Total Assets	38,358,076	40,750,969	43,010,821	45,395,684	Avg Loan/Avg Earn. Assts	64.7	64.1	64.4	64.7
Total Interbank assets	2,005,917	2,106,605	2,201,638	2,257,280	Avg Liquid Assets/AEA	13.6	13.3	13.2	13.2
Total Loans (Gross)	23,453,492	24,989,128	26,438,728	27,952,654	Avg Loans/Avg Deposit	92.0	92.3	92.4	92.5
Total Deposits	26,182,431	27,767,105	29,317,084	30,953,985	Avg Loans/Avg Dep. & Eq'ty	83.4	83.5	83.7	83.8
Total Interbank liabilities	5,475,044	5,953,725	6,255,722	6,573,840	Period-End Loans/Dep.	89.6	90.0	90.2	90.3
Shareholders' Equity, EOY	2,694,091	2,806,427	2,987,431	3,179,506	Capital Information (%)				
ASSET QUALITY					Tier 1 Ratio	14.3	14.0	14.0	14.1
Non-performing Loans	288,036	304,405	324,795	344,268	Tier 2 Ratio	4.5	4.5	4.6	4.6
NPL/Total Gross Loans(%)	1.23	1.22	1.23	1.23	Total CAR	18.9	18.6	18.6	18.7
Loan Loss Reserve	577,144	563,150	604,119	664,437	JGCR	6.1	5.8	5.8	5.8
Coverage (LLR/NPL: %)	200.4	185.0	186.0	193.0					
LLR/Total Gross Loans(%)	2.46	2.25	2.28	2.38					
Credit cost	107,185	116,408	132,486	151,443					
Credit cost (%)	0.46	0.46	0.49	0.52					
Credit cost /Net Int Inc (%)	24.3	24.8	25.9	27.0					

Source: Company data, Morgan Stanley Research (E) estimates

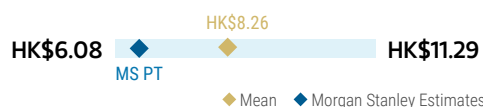
Risk Reward – Bank of Communications (3328.HK)

Weak deposit franchise and more concerns on asset quality

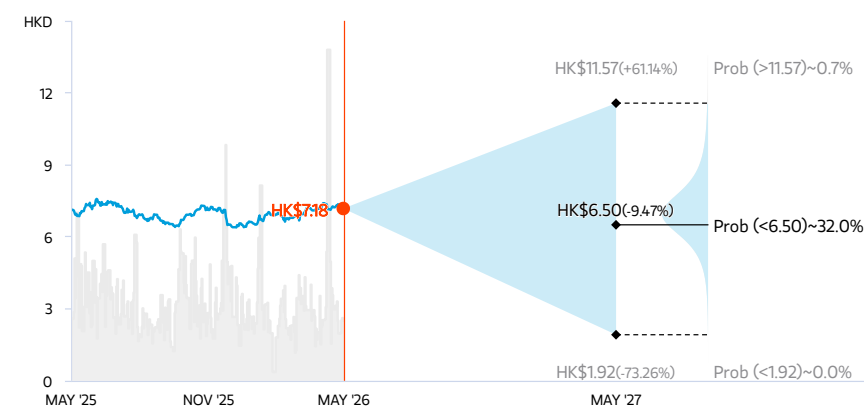
PRICE TARGET HK\$6.50

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.4% discount rate, 7.4% second-stage ROE, 7.2% long-term ROE, 22% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

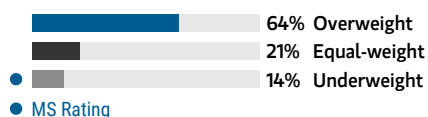


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- We believe BoCom may face more downside risks to NIM due to weaker loan demand and rising funding competition in the Yangtze River Delta region.
- Its credit card business, one of its core strengths, has faced more notable asset quality pressure.
- We view valuation as unattractive at current levels.

Consensus Rating Distribution



Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$11.57

Implies 0.75x 2026E BVPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratios of 8.2% and 35%, respectively.

BASE CASE

HK\$6.32

Implies 0.41x 2026E BVPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratios of 7.2% and 22%, respectively.

BEAR CASE

HK\$1.92

Implies 0.12x 2026E BVPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rates. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) long-term ROE and dividend payout ratios of 5.2% and 10%, respectively.

Risk Reward – Bank of Communications (3328.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.20	1.22	1.24	1.26
Total asset growth (%)	4.3	5.8	5.5	5.6
Credit cost (%)	0.64	0.65	0.69	0.73
Cost-income ratio (%)	39.8	39.4	39.4	39.4

CATALYST CALENDAR

Date	Event
26 Jun 2026 - 30 Jun 2026	Bank of Communications Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth.
- Potentially more room for cost control and operating efficiency improvement.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% North America
- 0-10% UK
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Further economic slowdown could put pressure on credit quality and asset yield.

OWNERSHIP POSITIONING

Inst. Owners, % Active 26.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 249,426.3 277,769.6 281,377.0
271,320.9

EBITDA (Rmb, mn) 109,462
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 89,078.0 91,871 94,514.0 102,101.8

EPS (Rmb) 1.0 1.1 1.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Bank of Communications (601328.SS)

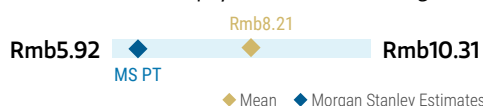
Weak deposit franchise and more concerns on asset quality

PRICE TARGET Rmb6.30

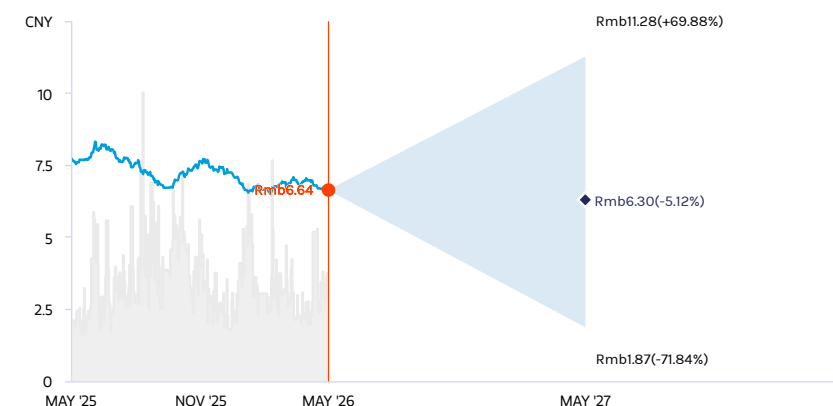
We continue to apply a 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 9.4% in our base case, and we assume 7.4% for second-stage and 7.2% for long-term ROE with a 22% dividend payout ratio for the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



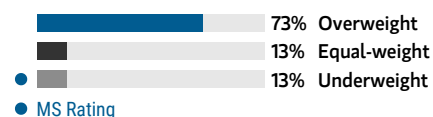
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We believe BoCom may face more downside risks to NIM due to weaker loan demand and rising funding competition in the Yangtze River Delta region.
- Its credit card business, one of its core strengths, has faced more notable asset quality pressure.
- We view valuation as unattractive in the A-share market at current levels.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb11.28

Implies 0.83x 2026E BVPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. long-term ROE and dividend payout ratios of 8.2% and 35%, respectively.

BASE CASE

Rmb6.16

Implies 0.45x 2026E BVPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. long-term ROE and dividend payout ratios of 7.2% and 22%, respectively.

BEAR CASE

Rmb1.87

Implies 0.14x 2026E BVPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) long-term ROE and dividend payout ratios of 5.2% and 10%, respectively.

Risk Reward – Bank of Communications (601328.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.20	1.22	1.24	1.26
Total asset growth (%)	4.3	5.8	5.5	5.6
Credit cost (%)	0.64	0.65	0.69	0.73
Cost-income ratio (%)	39.8	39.4	39.4	39.4

CATALYST CALENDAR

Date	Event
26 Jun 2026 - 30 Jun 2026	Bank of Communications Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Good balance sheet mix and growth trend, providing support to a likely resilient NIM and healthy net interest income growth.
- Potentially more room for cost control and operating efficiency improvement.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% North America
- 0-10% UK
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity markets.

RISKS TO DOWNSIDE

- Prolonged weak demand would further weigh on NIM.
- Further economic slowdown could pressure credit quality and asset yield.
- Social responsibilities continue to weigh in, coupled with market downturn, eroding the bottom line.

OWNERSHIP POSITIONING

Inst. Owners, % Active **68%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) **277,769.6**
249,426.3 281,377.0
270,997.0

EBITDA (Rmb, mn) **109,462**
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) **91,871**
89,078.0 102,101.8
94,783.1

EPS (Rmb) **1.0**
1.0 1.1
1.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 53: Bocom Financial Summary

Bank of Communications					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 Dec. (Rmb mil)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg. Earning Assets	14,370,823	15,115,082	15,925,119	16,803,012	ROAA (%)	0.63	0.62	0.61	0.60
Net Interest Margin (%)	1.20	1.22	1.24	1.26	ROAE (%)	8.4	7.8	7.7	7.7
Interest Income	419,447	424,469	448,642	476,862	Book Value Per Share (Rmb)	12.93	13.59	14.32	15.09
Interest Expense	(246,372)	(240,808)	(251,556)	(264,332)	EPS (Rmb)	1.08	1.04	1.08	1.13
Net Interest Income	173,075	183,661	197,087	212,530	Gross Dividends (Rmb mil)	28,441	29,235	30,373	31,791
Loan Loss Provision Exp.	(56,442)	(61,324)	(68,685)	(76,386)	Gross DPS (Rmb)	0.35	0.33	0.34	0.36
Net Interest Inc. after LLPE	116,633	122,337	128,401	136,144	PPOP	1.8	1.8	1.9	2.0
Non-interest Income					Payout Ratio (%)	32	32	32	32
Fees and Commissions	38,183	39,008	41,245	43,611	Issued Shares (mil)	74,263	74,263	74,263	74,263
Net gains: trading activities	19,693	20,214	21,427	22,712	PERFORMANCE RATIOS				
Other Income	34,154	34,887	35,830	37,010	Growth (%)				
Total Non-interest Income	92,030	94,109	98,501	103,333	Net Interest Income	1.9	6.1	7.3	7.8
					Non-interest Income	2.3	2.3	4.7	4.9
Non-interest Expense	(105,395)	(109,452)	(116,419)	(124,431)	Non-interest Expense	2.7	3.8	6.4	6.9
Pre-tax Operating Profit	103,763	106,993	110,484	115,046	Net Profit	2.2	3.1	3.4	4.5
Exceptional/Others					Avg Earning Assets	7.2	5.2	5.4	5.5
Profit Before Tax	103,763	106,993	110,484	115,046	Avg Interest-bearing Liab.	7.0	4.8	5.4	5.4
Effective Tax	(7,249)	(7,529)	(7,680)	(7,622)	Risk-weighted Assets	5.7	6.0	5.6	5.6
NET PROFIT	96,514	99,465	102,803	107,424	Revenue Breakdown (%)				
Minority Interest	892	892	892	892	Net Interest Inc./Op Income	65.3	66.1	66.7	67.3
NPAT	95,622	98,573	101,911	106,532	Fee-based Inc./Op Income	14.4	14.0	14.0	13.8
BALANCE SHEET DATA					Efficiency (%)				
Total Assets	15,548,388	16,447,852	17,355,562	18,319,000	Cost/Income	39.8	39.4	39.4	39.4
Total Liquid Assets	894,540	1,004,633	1,052,196	1,124,396	Expenses/Avg Assets	0.7	0.7	0.7	0.7
Gross Loans to Customers	9,143,362	9,680,878	10,186,200	10,711,341	Liquidity (%)				
Total Customer Deposits	9,307,815	9,868,844	10,385,843	10,930,892	Avg Loans/Avg Earning Assets	62.0	62.2	62.2	62.0
Other Interest Bearing Liab	3,559,086	3,785,486	4,050,011	4,333,875	Avg Liquid Assets/AEA	6.5	6.3	6.5	6.5
Shareholders' Equity	1,142,782	1,200,767	1,265,604	1,333,643	Avg Loans/Avg Deposits	100.1	99.9	100.0	100.1
ASSET QUALITY					Avg Loan/Avg Deposit&Equity	89.5	88.9	88.9	89.0
Non-performing Loans	116,983	128,244	135,368	143,151	Loans/Customer Deposits	98.2	98.1	98.1	98.0
Impaired Loan/Gross Loan(%)	1.28	1.32	1.33	1.34	Capital Information (%)				
Loan Loss Reserve	244,594	266,107	285,626	309,206	Tier 1 Ratio	12.7	12.6	12.6	12.6
LLR/Impaired Loan (%)	208	208	211	216	Tier 2 Ratio	3.3	3.3	3.3	3.3
LLR/Gross Loans(%)	2.68	2.75	2.80	2.89	Total CAR	16.0	15.9	15.9	15.9
Credit cost	56,442	61,324	68,685	76,386					
Credit cost (%)	0.64	0.65	0.69	0.73					
Credit cost /Net Int Inc (%)	32.6	33.4	34.9	35.9					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Postal Savings Bank of China Co Ltd (1658.HK)

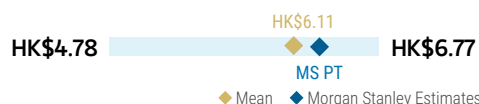
Best positioned for potentially higher asset yields and lower deposit rates

PRICE TARGET HK\$6.30

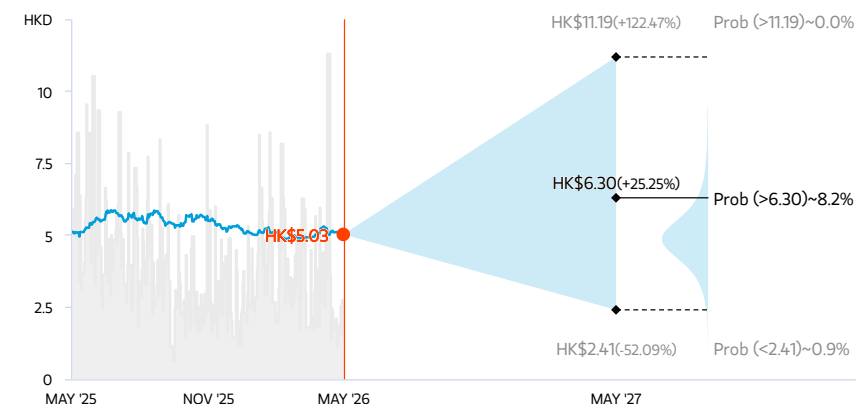
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 11.9% discount rate, 9.5% second-stage ROE, 10.0% long-term ROE, 45% long-term dividend payout. We use an exchange rate of 1.14 for RMB/HKD.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



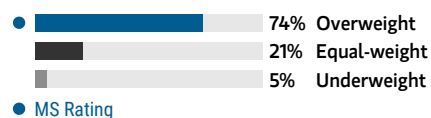
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- The bank is in a unique position to serve rural credit demand thanks to widest branch network and increasing tech empowerment.
- More significant profit impact from NII recovery with high cost-income ratio.
- Faster repricing of deposit rate cuts with largest proportion of short-term deposits.
- Benefiting more from a steeper yield curve with relatively larger exposure to bond investments.
- Less exposure to manufacturing loans than peers, leaving less pressure in risk digestion in coming years.
- A leading position in rapidly growing consumer lending markets and leading retail market share in higher-growth central China and county/rural regions.
- Valuation looks attractive at current levels.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$11.19

Implies 1.21x 2026E BVPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 11.5% and 53%, respectively.

BASE CASE

HK\$5.90

Implies 0.64x 2026E BVPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 10.0% and 45%, respectively.

BEAR CASE

HK\$2.41

Implies 0.26x 2026E BVPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) lower long-term ROE and dividend payout ratio of 8% and 33%, respectively.

Risk Reward – Postal Savings Bank of China Co Ltd (1658.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.66	1.65	1.68	1.72
Total asset growth (%)	9.3	7.9	7.4	7.5
Credit cost (%)	0.35	0.39	0.41	0.46
Cost-income ratio (%)	63.1	62.4	62.0	61.6
Retail loan balance (Rmb, mn)	4,844,585	5,027,420	5,365,257	5,726,199

CATALYST CALENDAR

Date	Event
18 May 2026 - 28 May 2026	Postal Savings Bank of China Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Still-solid net interest income growth, combined with improving fee income and operating efficiency, that helps support solid PPOP growth
- Superior asset quality

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals
- Evidence of better asset quality trend in consumer, micro and SME lending
- Improvement in operating efficiency

RISKS TO DOWNSIDE

- Long-term profitability remaining low for PSBC's agency branch network client base
- More social responsibilities that lower fees for its agriculture-related or SME clients on policy guidance

OWNERSHIP POSITIONING

Inst. Owners, % Active 79.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 348,480.5 377,772.7 383,677.2
368,675.7

EBITDA (Rmb, mn) 109,654
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 80,138.1 83,475 86,156.6 90,741.6

EPS (Rmb) 0.7 0.7 0.8

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Exhibit 54: PSBC Financial Summary

Postal Savings Bank of China									
Profit and Loss Statement					Share Ratios				
(Rmb mil except ratios)	2025	2026E	2027E	2028E	(Rmb mil except ratios)	2025	2026E	2027E	2028E
Avg Earning Assets	16,925,952	18,192,538	19,380,492	20,786,080	ROAA (%)	0.49	0.47	0.46	0.46
Net Interest Margin, (%)	1.66	1.65	1.68	1.72	ROCE (%)	8.7	8.4	8.9	8.9
Interest Income	480,903	500,397	538,092	578,888	Book Value Per Share (Rmb)	8.41	8.10	8.62	9.18
Interest Expense	(199,283)	(199,589)	(212,391)	(222,203)	EPS (Rmb)	0.73	0.70	0.74	0.80
Net Interest Income	281,620	300,808	325,701	356,685	Gross Dividends (Rmb mn)	26,217	27,191	28,944	30,832
Loan Loss Provision Expense	(32,434)	(44,386)	(51,215)	(60,040)	Gross DPS (Rmb)	0.22	0.23	0.24	0.26
Net Interest Income After LLPPE	249,186	256,422	274,486	296,645	Payout Ratio (%)	33	33	32	32
Non-interest Income	74,246	76,965	80,677	84,672	Issued Shares (m)	120,095	120,095	120,095	120,095
Fees and Commissions	29,365	31,001	32,966	35,092	Performance Ratios				
Trading gains	25,335	25,582	26,209	27,071	Growth (%)				
Other Income	19,546	20,382	21,502	22,509	Net Interest Income	-1.6	6.8	8.3	9.5
Non-interest Expense	(224,715)	(235,878)	(251,962)	(271,700)	Fees and Commissions	16.1	5.6	6.3	6.4
Salaries & Benefits	(64,827)	(68,616)	(73,200)	(79,019)	Non-interest Expense	-0.6	5.0	6.8	7.8
Depreciation and amortization	(11,605)	(12,146)	(12,848)	(13,723)	Net Profit	1.1	3.7	6.4	6.5
Other Expenses	(148,283)	(155,116)	(165,914)	(178,958)	Total Assets	9.3	7.9	7.4	7.5
Profit Before Tax	98,221	102,408	110,402	116,817	Total Customer Deposits	8.2	8.1	7.5	7.6
Income Tax	(10,598)	(11,521)	(13,634)	(13,712)	Total Loans	8.2	8.0	6.8	6.8
NET PROFIT after MI	87,404	90,636	96,479	102,772	Revenue Breakdown (%)				
Selected Balance Sheet Data					Net Interest Income/Op Income	79.1	79.6	80.1	80.8
Total Assets	18,682,067	20,167,169	21,660,568	23,281,347	Fee-based Income/Op Income	8.3	8.2	8.1	8.0
Total Liquid Assets	1,710,579	1,747,293	1,826,900	1,932,721	Efficiency (%)				
Loans to Customers (Gross)	9,648,316	10,417,481	11,121,115	11,873,143	Cost/Income	63.1	62.4	62.0	61.6
Total Customer Deposits	16,541,716	17,884,102	19,233,460	20,699,340	Cost/Income (excluding agent fee)	31.3	31.1	30.8	30.6
Total liability and equity	18,682,067	20,017,173	21,510,572	23,131,351	Expenses/Avg Assets	1.26	1.21	1.20	1.21
Shareholders' equity	1,010,150	973,157	1,035,283	1,101,951	Liquidity (%)				
Avg Earning Assets	16,925,952	18,192,538	19,380,492	20,786,080	Avg Loans/Avg Earning Assets	55.8	55.6	55.8	55.5
Avg Loans	9,437,811	10,118,340	10,813,188	11,544,201	Avg Liquid Assets/AEA	9.7	9.5	9.2	9.0
Avg Deposits	15,924,490	17,266,369	18,529,771	19,939,040	Avg Loans/Avg Deposits	59.3	58.6	58.4	57.9
Avg liability and equity	285,342	300,242	333,425	369,261	Avg Loans/Avg Deposit & Equity	58.2	57.6	57.3	56.8
Period-End Loans/Deposits	58.3	58.2	57.8	57.4	Capital (%)				
Asset Quality					Tier 1 Ratio	12.10	10.89	10.73	10.57
Non-performing Loans	91,524	102,385	108,810	116,636	Tier 2 Ratio	2.42	3.42	3.26	3.18
NPL/Total Loans (Gross) (%)	0.95	0.98	0.98	0.98	Total CAR	14.52	14.31	13.98	13.75
Loan Loss Reserve	207,442	198,626	195,859	204,113	Internally-generate Capital Ratio	8.72	8.42	8.89	8.95
LLR/Total Loans (Gross) (%)	2.15	1.91	1.76	1.72					
Credit cost (bps)	35	39	41	46					
Coverage (%)	228	194	180	175					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – China Merchants Bank (3968.HK)

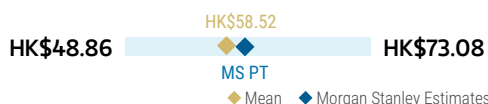
Well-balanced, commercially driven bank

PRICE TARGET HK\$60.40

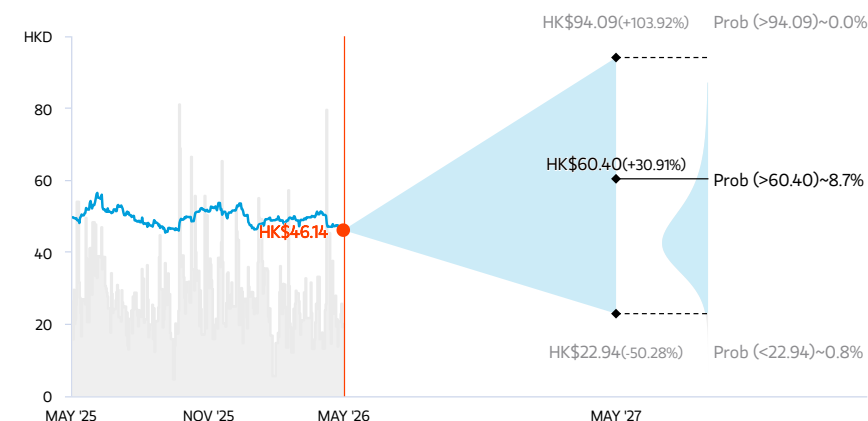
We continue to use 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 11.6% discount rate, 12.6% second-stage ROE, 12.8% long-term ROE, 57% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate for H share price target.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



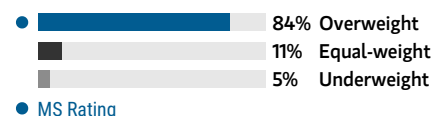
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Well-established retail franchise and strong brand name. Retail business contributed over ~56% of CMB's revenue in F2025.
- High transparency in WMP and investment NSCA.
- Superior risk management and prudent NPL recognition. Its NPL/overdue over 90 days ratio remains well above that of other shareholding banks. Its relatively high NPL coverage ratio also leaves room for a profit growth buffer.
- Short-term pressure on fee income from fee rate cut and insurance sales.
- Valuations at current levels look attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$94.09

Implies 1.74x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 15% and 65%, respectively.

BASE CASE

HK\$61.72

Implies 1.14x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 12.8% and 57%, respectively.

BEAR CASE

HK\$22.94

Implies 0.43x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rates. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) lower long-term ROE and dividend payout ratio of 10% and 48%, respectively.

Risk Reward – China Merchants Bank (3968.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.87	1.81	1.84	1.88
Total asset growth (%)	7.6	7.7	7.4	7.4
Credit cost (%)	0.60	0.60	0.68	0.72
Cost-income ratio (%)	35.1	34.8	34.8	35.0
Credit card loan balance (Rmb, mn)	938,993	919,462	965,987	1,014,866

CATALYST CALENDAR

Date	Event
25 Jun 2026 - 29 Jun 2026	China Merchants Bank Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Strong internal capital generation capacity providing high sustainable growth rate.
- Less pressure in deposit costs owing to good retail liability franchise.
- Good execution and product innovation capability.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% North America
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Rising risk appetite that could lead to unexpected NIM improvement and share price outperformance.
- Faster-than-expected recovery.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Competition from Internet finance negatively affecting retail businesses.
- Further asset quality pressure on retail loans.
- Social responsibilities continue to weigh in.

OWNERSHIP POSITIONING

Inst. Owners, % Active 76.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 344,181.0 **350,561.7** 378,158.0
350,658.3

EBITDA (Rmb, mn) **187,710**
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 146,637.6 **148,467** 159,635.7
152,729.6

EPS (Rmb) 5.8 **5.9** 6.3
6.0

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – China Merchants Bank (600036.SS)

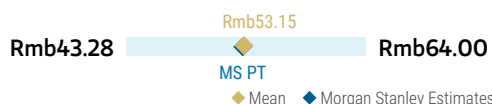
Well-balanced, commercially driven bank

PRICE TARGET Rmb53.00

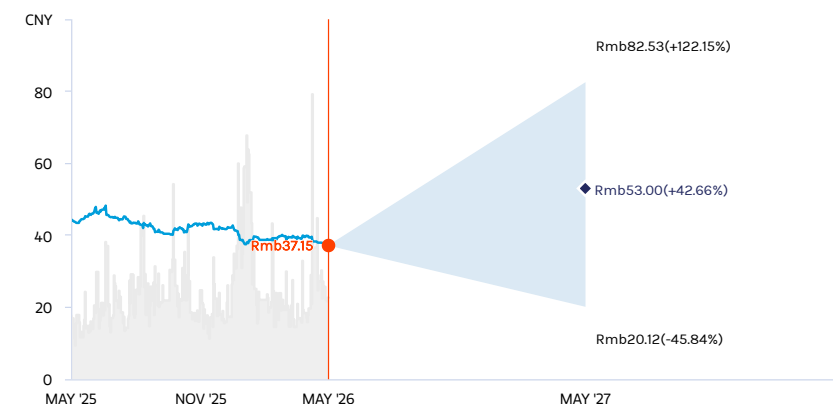
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.6% in the base case, and we assume 12.6% for second-stage and 12.8% long-term ROE, with a 57% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



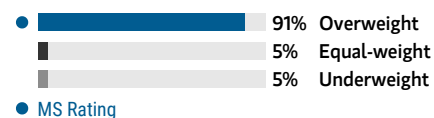
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Well-established retail franchise and strong brand name. Retail business contributed over ~60% of CMB's revenue in F2023.
- High transparency in WMP and investment NSCA.
- Superior risk management and prudent NPL recognition. Its NPL/overdue over 90 days ratio remains well above that of other shareholding banks. Its relatively high NPL coverage ratio also leaves room for a profit growth buffer.
- Short-term pressure on fee income from fee rate cut and insurance sales.
- Valuations at current levels look attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb82.53

Implies 1.74x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 15% and 65%, respectively.

BASE CASE

Rmb54.14

Implies 1.14x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 12.8% and 57%, respectively.

BEAR CASE

Rmb20.12

Implies 0.43x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rates. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) lower long-term ROE and dividend payout ratio of 10% and 48%, respectively.

Risk Reward – China Merchants Bank (600036.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.87	1.81	1.84	1.88
Total asset growth (%)	7.6	7.7	7.4	7.4
Credit cost (%)	0.60	0.60	0.68	0.72
Cost-income ratio (%)	35.1	34.8	34.8	35.0
Credit card loan balance (Rmb, mn)	938,993	919,462	965,987	1,014,866

CATALYST CALENDAR

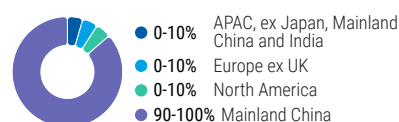
Date	Event
25 Jun 2026 - 29 Jun 2026	China Merchants Bank Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Strong internal capital generation capacity providing higher sustainable growth rate.
- Less pressure in deposit costs owing to good retail liability franchise.
- Good execution and product innovation capability.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Rising risk appetite that could lead to unexpected NIM improvement and therefore share outperformance.
- Faster-than-expected retail loan recovery after COVID-19.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Competition from Internet finance negatively affecting retail banking businesses.
- Further asset quality pressure on retail loans.
- Social responsibilities continue to weigh in.

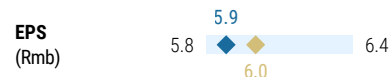
OWNERSHIP POSITIONING

Inst. Owners, % Active 90.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Exhibit 55: CMB Financial Summary

China Merchants Bank									
Profit and Loss Statements					Per Share Data				
Year end 31 December (Rmb mn)	2025	2026E	2027E	2028E	Year end 31 December	2025	2026E	2027E	2028E
Avg Earning Assets	11,558,068	12,384,527	13,268,668	14,237,803	ROAA (%)	1.19	1.14	1.11	1.10
Net Interest Margin (%)	1.87	1.81	1.84	1.88	ROCE (%)	13.4	13.0	12.6	12.3
Interest Income	351,351	355,381	384,512	422,159	Book Value Per Share (Rmb)	43.4	47.3	51.5	55.9
Interest Expense	135,758	131,596	140,173	154,289	EPS (Rmb)	5.70	5.89	6.20	6.62
Net Interest Income	215,593	223,785	244,339	267,870	Gross Dividends (Rmb mn)	50,843	52,810	55,628	59,367
Loan Loss Provision Expense	42,582	44,865	53,096	59,830	Gross DPS (Rmb)	2.02	2.09	2.21	2.35
Net Interest Income After LLPE	173,011	178,920	191,243	208,040	Payout Ratio (%)	35	36	36	36
					Issued Shares (m)	25,220	25,220	25,220	25,220
Non-Interest Income					Performance Ratios				
Fees and Commissions	75,258	79,326	84,486	89,999	Growth (%)				
Forex Dealing Income	3,228	3,732	3,958	4,117	Net Interest Income	2.0	3.8	9.2	9.6
Trading gains	19,956	20,775	21,684	22,210	Non-interest Income	-3.4	4.0	5.1	5.2
Other Income	23,497	22,944	23,116	23,822	Non-interest Expense	0.7	3.0	7.7	8.5
Total Non-interest Income	121,939	126,777	133,245	140,148	Net Profit	1.0	3.1	5.1	6.5
Non-Interest Expense					Avg Earning Assets	8.2	7.2	7.1	7.3
Salaries & Benefits	68,689	74,685	82,410	90,343	Total Interest-bearing Liabilities	8.1	7.7	7.4	7.4
Net Occupancy & Equipment	7,841	8,205	8,764	9,363	Risk-weighted Assets	9.5	7.7	7.4	7.0
Other Expenses	41,975	39,230	40,314	42,965					
Total Non-interest Expense	118,505	122,119	131,488	142,671	Revenue Breakdown (%)				
Profit Before Tax	178,993	185,859	195,383	207,989	Net Interest Income/Op Income	63.9	63.8	64.7	65.7
Effective Tax	27,867	30,112	31,661	33,689	Fee-based Income/Op Income	22.3	22.6	22.4	22.1
NET PROFIT	151,126	155,748	163,722	174,301					
Minority interest	(945)	(974)	(1,024)	(1,090)	Efficiency (%)				
NPAT	150,181	154,774	162,698	173,211	Cost/Income	35.1	34.8	34.8	35.0
Selected Balance Sheet Data					Expenses/Avg Assets	0.9	0.9	0.9	0.9
Total Assets	13,070,523	14,074,549	15,118,293	16,244,094					
Total Liquid Assets	760,606	900,342	1,067,364	1,157,823	Liquidity (%)				
Loans to Customers (Gross)	7,258,374	7,625,921	8,094,968	8,604,115	Avg Loans/Avg Earning Assets	61.2	60.1	59.2	58.6
Total Customer Deposits	9,924,558	10,620,865	11,364,113	12,170,965	Avg Liquid Assets/AEA	6.7	6.1	6.8	7.5
Other Interest Bearing Liab	1,632,825	1,824,956	2,002,680	2,189,355	Avg Loans/Avg Deposits	74.0	72.4	71.5	71.0
Shareholders' Equity	1,095,418	1,193,513	1,298,084	1,410,834	Avg Loans/Avg Deposits & Equity	66.5	65.2	64.2	63.6
Avg Loans	7,073,734	7,442,148	7,860,445	8,349,541	Period-End Loans/Deposits	73.1	71.8	71.2	70.7
Avg Deposits	9,559,944	10,272,711	10,992,489	11,767,539					
Avg Shareholders' Equity	1,070,493	1,144,466	1,245,789	1,354,449	Capital Information (%)				
Avg Loans/Avg Eam. Assets (%)	61	60	59	59	Tier 1 Ratio	16.5	16.5	16.6	16.8
Asset Quality					Tier 2 Ratio	1.7	1.5	1.4	1.4
Non-performing Loans	68,206	71,487	76,374	80,871	Total CAR	18.2	18.0	18.1	18.2
Impaired/Total Loans (Gross) (%)	0.94	0.94	0.94	0.94	Internally-generate Capital Ratio	8.7	8.4	8.1	7.9
Loan Loss Reserve	267,222	264,501	274,948	294,370	Dividend Payout Ratio	35.3	35.6	35.6	35.6
LLR/Non-performing Loans (%)	392	370	360	364					
LLR/Total Loans (Gross) (%)	3.68	3.47	3.40	3.42					
Credit cost	39,775	42,324	50,455	57,099					
Credit cost (%)	0.60	0.60	0.68	0.72					
Credit cost /Net int inc (%)	18.4	18.9	20.6	21.3					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Industrial Bank Co. Ltd. (601166.SS)

Long-term beneficiary amid transformation of China's financial markets

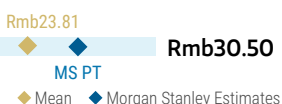
PRICE TARGET Rmb26.40

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 10.6% in the base case; we assume 9.3% for second-stage ROE and 9.5% for long-term ROE, with a 42% dividend payout ratio in the long run

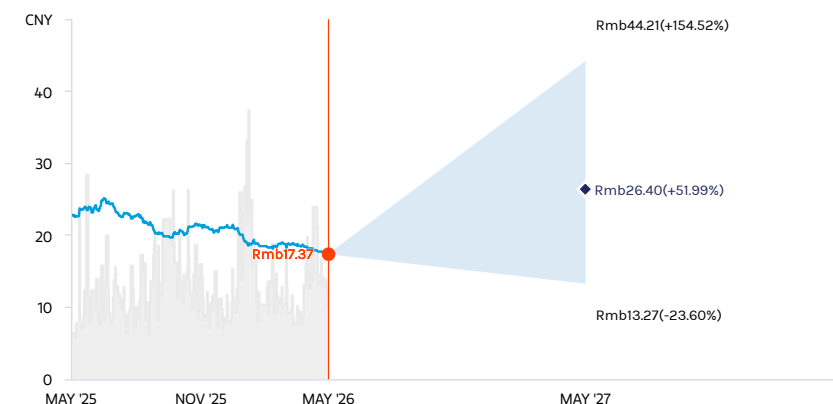
Consensus Price Target Distribution

Rmb17.89 Rmb23.81 Rmb30.50

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



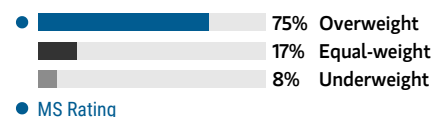
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- The ongoing swap should reduce market concerns on Industrial Bank's LGFV credit risk, as well as the bank's differentiated offerings to work with various local SOEs. Higher flexibility and more diversified service capability to meet infrastructure credit demand.
- Good progress on balance sheet risk reduction and prudent risk control.
- Strong asset sourcing capability, supported by the bank's strong corporate client base, unique research coverage model, more commercial incentive structure and close intra-department collaboration.
- Valuation looks attractive for Industrial Bank at current levels, based on 2026E target P/B of 0.63x from a three-stage DDM model.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb44.21

Implies 1.06x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 11.5% and 55%, respectively.

BASE CASE

Rmb24.77

Implies 0.59x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 9.5% and 42%, respectively.

BEAR CASE

Rmb13.27

Implies 0.32x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) lower long-term ROE and dividend payout ratio of 8.5% and 39%, respectively.

Risk Reward – Industrial Bank Co. Ltd. (601166.SS)

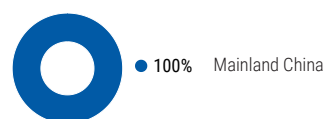
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.71	1.68	1.73	1.75
Total asset growth (%)	5.6	5.0	5.9	5.9
Credit cost (%)	0.99	0.97	0.99	1.02
Cost-income ratio (%)	30.7	30.7	30.8	30.8

INVESTMENT DRIVERS

- Large amount of bond underwriting, providing ample high-quality investment assets for selection.
- Large WMP AUM, providing economies of scale and liquidity support.
- Right investment strategy, leveraging its strength in the investment banking business.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected bond market development.
- More resilient credit demand leading to stronger NIM.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Slower-than-expected retail AUM growth, resulting in less support for the sale of asset management products.
- Worse-than-expected asset quality.
- Slower build-up of regulatory system for asset management that delays consolidation.

OWNERSHIP POSITIONING

Inst. Owners, % Active 76.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 209,546.5 215,083.2 221,427.0

EBITDA (Rmb, mn) 101,765
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 71,713.1 77,133 77,151.5 80,085.0

EPS (Rmb) 3.5 3.6 3.6 3.8

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 56: Industrial Financial Summary

Industrial Bank									
Profit and Loss Statements					Share Ratios				
(Rmb mil except ratios)	2025	2026E	2027E	2028E	(Rmb mil except ratios)	2025	2026E	2027E	2028E
Avg Earning Assets	9,611,138	10,151,609	10,735,524	11,398,239	ROA (%)	0.72	0.72	0.74	0.75
Net Interest Margin, (%)	1.71%	1.68%	1.73%	1.75%	ROE (%)	9.1	9.0	9.1	9.1
Interest Income	312,406	317,326	338,377	358,858	Book Value Per Share (Rmb)	38.83	41.72	44.84	48.16
Interest Expense	(163,654)	(162,518)	(169,773)	(175,966)	EPS (Rmb)	3.46	3.64	3.96	4.25
Net Interest Income	148,752	154,808	168,604	182,892	Gross Dividends (Rmb mn)	22,560	23,989	26,032	27,951
Loan Loss Provision Expense	(53,866)	(58,785)	(63,992)	(70,362)	Gross DPS (Rmb)	1.07	1.13	1.23	1.32
Net Interest Income After LLPE	94,886	96,023	104,612	112,529	Payout Ratio (%)	31	31	31	31
Non-interest Income	63,368	66,619	70,689	75,471	Issued Shares (m)	21,163	21,163	21,163	21,163
Fees and Commissions	25,891	27,725	30,128	33,141	Performance Ratios				
Trading gains	912	1,200	1,200	1,200	Growth (%)				
Other Income	35,698	37,188	38,855	40,623	Net Interest Income	0.4	4.1	8.9	8.5
Non-interest Expense	(65,171)	(68,074)	(73,663)	(79,495)	Non-interest Income	0.0	5.1	6.1	6.8
Salaries & Benefits	(38,909)	(40,308)	(43,936)	(47,629)	Non-interest Expense	0.5	4.5	8.2	7.9
Depreciation and amortization	(16,990)	(17,946)	(19,247)	(20,645)	Net Profit	0.3	5.9	8.0	7.0
Other Expenses	(9,272)	(9,820)	(10,480)	(11,221)	Avg Earning Assets	4.3	5.6	5.8	6.2
Profit Before Tax	89,973	93,117	100,522	107,463	Avg Interest-bearing Liabilities	3.8	7.0	5.6	5.5
Income Tax	(12,119)	(10,662)	(11,490)	(12,253)	Avg Loans	4.2	4.0	5.7	6.0
NET PROFIT after MI	77,469	82,062	88,632	94,802	Revenue Breakdown (%)				
Selected Balance Sheet Data					Net Interest Income/Op Income	70.1	69.9	70.5	70.8
Total Assets	11,094,256	11,650,868	12,334,777	13,063,011	Fee-based Income/Op Income	12.2	12.5	12.6	12.8
Total Liquid Assets	592,773	560,309	589,668	620,272	Efficiency (%)				
Loans to Customers (Gross)	5,948,938	6,319,387	6,704,666	7,114,247	Cost/Income	30.7	30.7	30.8	30.8
Total Customer Deposits	6,020,806	6,282,153	6,661,788	7,066,381	Expenses/Avg Assets	1.3	1.5	2.0	2.7
Total liability and equity	11,094,256	11,650,868	12,334,777	13,063,011	Liquidity (%)				
Shareholders' equity	821,716	882,986	948,934	1,019,259	Avg Loans/Avg Earning Assets	61.0	60.1	60.0	59.9
Avg Earning Assets	9,611,138	10,151,609	10,735,524	11,398,239	Avg Liquid Assets/AEA	5.7	5.7	5.4	5.3
Avg Loans	5,861,646	6,096,525	6,446,090	6,830,009	Avg Loans/Avg Deposits	103.0	101.4	101.4	101.8
Avg Deposits	5,691,443	6,012,618	6,358,959	6,712,131	Avg Loans/Avg Deposit & Equity	93.7	91.9	91.7	91.7
Avg liability and equity	566,612	617,917	673,565	733,576	Period-End Loans/Deposits	98.8	100.6	100.6	100.7
Asset Quality					Capital (%)				
Non-performing Loans	64,251	69,606	73,531	76,991	Tier 1 Ratio	10.6	10.6	10.7	10.7
NPL/Total Loans (Gross) (%)	1.08	1.10	1.10	1.08	Tier 2 Ratio	2.9	2.9	2.9	2.9
Loan Loss Reserve	146,240	152,437	161,033	169,380	Total CAR	13.6	13.6	13.6	13.6
LLR/Total Loans (Gross) (%)	2.46	2.41	2.40	2.38	Internally-generate Capital Ratio	6.3	6.2	6.3	6.3
Credit cost (bps)	99	97	99	102					
Coverage (%)	228	219	219	220					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Ping An Bank (000001.SZ)

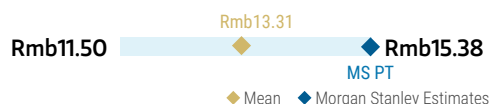
Continued de-risking efforts should stabilize asset quality and support profit

PRICE TARGET Rmb15.30

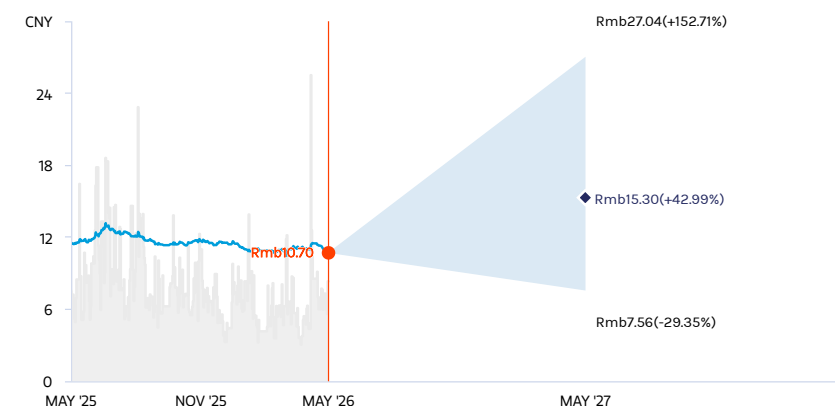
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. Discount rate is 12.6% in the base case, and we assume 9.5% for second-stage and 10% long-term ROE with a 45% long-term dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



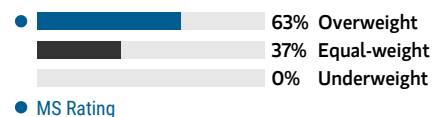
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Strengthening client franchise to support continued growth in wealth management business and funding base optimization.
- More independent loan planning with less policy impact and prudent moderation of retail credit growth to a more rational level.
- Notably cleaned up balance sheet. Most risks have been digested.
- Valuations look attractive at current levels, as we believe PAB is on the right path to higher ROE among peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb27.04

implying 1.09x 2026E P/B

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 13.0% and 60%, respectively.

BASE CASE

Rmb14.01

Implying 0.56x 2026E P/B

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 10% and 45%, respectively.

BEAR CASE

Rmb7.56

Implying 0.30x 2026E P/B

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) lower long-term ROE and dividend payout ratio of 10.5% and 50%, respectively.

Risk Reward – Ping An Bank (000001.SZ)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.78	1.77	1.79	1.84
Total asset growth (%)	2.7	5.5	6.5	6.6
Credit cost (%)	1.20	1.21	1.23	1.26
Cost-income ratio (%)	30.0	30.0	30.0	30.1
Credit card loan balance (Rmb, mn)	405,442	405,442	417,686	430,300

INVESTMENT DRIVERS

- New corporate banking strategy via comprehensive products and tech-enhanced services.
- Synergy with the Group that helps on several fronts (technology, fees and clients).
- Rising leadership in IT development from a fully licensed financial platform.

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention and stronger-than-expected consumption activity recovery.
- More resilient NIM trend than expected.

RISKS TO DOWNSIDE

- Slower-than-expected deposit improvement.
- Worse-than-expected asset quality from new corporate lending business.
- Social responsibilities continue to weigh on the bank.

OWNERSHIP POSITIONING

Inst. Owners, % Active 49.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 127,691.0 135,726.1 141,200.0
133,621.8

EBITDA (Rmb, mn) 50,538
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 40,713.7 41,593 44,293.0
42,797.3

EPS (Rmb) 2.1 2.1 2.3
2.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 57: PAB Financial Summary

Ping An Bank					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg. Earning Assets	4,948,396	5,089,874	5,371,401	5,718,850	ROAA (%)	0.73	0.72	0.72	0.72
Net Interest Margin (%)	1.78%	1.77%	1.79%	1.84%	ROAE (%)	9.16	8.90	8.82	8.79
Interest Income	169,863	167,734	176,761	189,367	Book Value Per Share	23.25	24.90	26.71	28.62
Interest Expense	(81,842)	(77,686)	(80,487)	(84,216)	EPS	2.07	2.14	2.28	2.43
Net Interest Income	88,021	90,048	96,274	105,151	Gross Dividends	11,566	11,992	12,734	13,607
Provision Expense	(40,567)	(41,903)	(44,662)	(48,655)	DPS (Rmb)	0.60	0.62	0.66	0.70
Net Interest Income a/f LLP	47,454	48,145	51,612	56,497	Payout Ratio (%)	28.83	28.83	28.83	28.83
Non-interest Income					Issued Shares (mil)	19,406	19,406	19,406	19,406
Net Fees and Commissions	23,894	24,851	26,004	27,196	Performance Ratios				
Forex gains	20,474	19,500	20,400	21,300	Growth (%)				
Other investment gains	(1,306)	986	975	993	Net Interest Income	-6	2	7	9
Other Income	359	341	396	446	Non-interest Income	-18	5	5	5
Total Non-interest Income	43,421	45,678	47,774	49,936	Non-interest Expense	-6	3	6	8
Non-interest Expense					Net Profit	-4	3	6	6
Salaries & Benefits	19,081	19,532	20,918	22,787	Earning Assets	0	0	0	0
Net Occupancy & Equip	849	885	941	1,019	Interest-bearing Liab.	1	4	6	6
Other Expenses	19,537	20,269	21,343	22,826	Risk-weighted Assets	5	5	7	7
Total Non-interest Expense	39,467	40,685	43,203	46,631	Revenue Breakdown (%)				
Profit Before Tax	51,159	52,926	56,003	59,647	Net Int Inc/Op Inc	67.0	66.3	66.8	67.8
Effective Tax	(8,526)	(8,814)	(9,318)	(9,935)	Net fee-based Inc/Op Inc	18.2	18.3	18.1	17.5
PAT	42,633	44,112	46,686	49,712	Efficiency (%)				
Minorities	-	-	-	-	Cost/Income	30.0	30.0	30.0	30.1
NPAT	42,633	44,112	46,686	49,712	Expenses/Avg Assets	0.67	0.67	0.67	0.68
BALANCE SHEET DATA					Liquidity (%)				
Total Assets	5,925,777	6,254,235	6,662,924	7,103,468	Avg Loan/Avg Earn. Asts	68.1	67.8	67.3	67.2
Total Interbank assets	477,022	495,210	521,769	552,406	Avg Liquid Assets/AEA	14.9	15.5	15.6	15.5
Total Loans (Gross)	3,390,840	3,521,793	3,736,121	3,971,834	Avg Loans/Avg Deposit	93.3	93.2	93.2	93.8
Total Deposits	3,633,569	3,775,485	3,984,971	4,206,289	Avg Loans/Avg Dep. & Eq'ty	83.2	82.7	82.5	82.9
Total Interbank liabilities	1,109,161	1,232,222	1,361,904	1,505,781	Period-End Loans/Dep.	93.3	93.3	93.8	94.4
Shareholders' Equity, EOY	451,231	483,159	518,426	555,370	Capital Information (%)				
ASSET QUALITY					Tier 1 Ratio	11.5	11.6	11.5	11.4
Non-performing Loans	35,703	37,007	39,242	41,694	Tier 2 Ratio	2.3	2.4	2.3	2.1
NPL/Total Gross Loans(%)	1.05	1.05	1.05	1.05	Total CAR	13.8	14.0	13.8	13.5
Loan Loss Reserve	78,445	79,565	84,371	91,728	IGCR	6.5	6.3	6.3	6.3
Coverage (LLR/NPL: %)	221	215	215	220					
LLR/Total Gross Loans(%)	2.33	2.26	2.26	2.31					
Credit cost	47,156	47,156	49,383	52,897					
Credit cost (%)	1.20	1.21	1.23	1.26					
Credit cost /Net Int Inc (%)	53.57	52.37	51.29	50.31					

Source: Company data, Morgan Stanley Research estimates

Risk Reward – China CITIC Bank Corporation Limited (0998.HK)

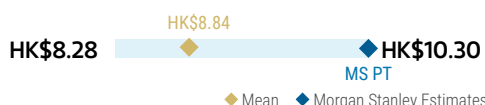
Stable business growth with improved risk profile and business restructure

PRICE TARGET HK\$10.30

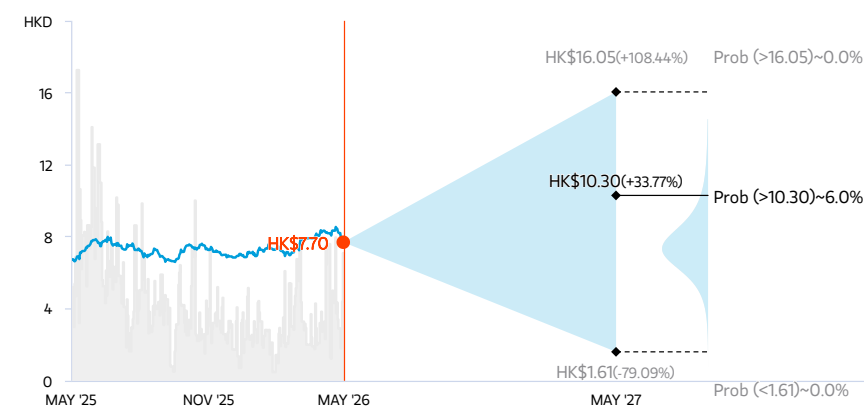
3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.8% discount rate, 9.2% second-stage ROE, 8.8% long-term ROE, 39% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



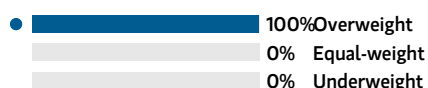
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Significant asset quality improvement following years of risk digestion, especially in focused areas, such as the property market and credit cards.
- We believe the bank could see some business growth with its cleaner and healthier balance sheet, thanks to more rational asset expansion over the past several years.
- Business shifting to retail-focused should support revenue growth, as evidenced in healthy retail AUM and WMP balance growth.
- Current valuation looks attractive with resumed growth potential, based on 2026E target P/B of 0.65x.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$16.05

Implies 1.01x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.4% and 46%, respectively.

BASE CASE

HK\$11.22

Implies 0.71x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.8% and 39%, respectively.

BEAR CASE

HK\$1.61

Implies 0.10x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) lower long-term ROE and dividend payout ratio of 4.8% and 6%, respectively.

Risk Reward – China CITIC Bank Corporation Limited (0998.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.63	1.61	1.68	1.76
Total asset growth (%)	6.3	6.6	6.9	7.0
Credit cost (%)	1.00	0.98	1.07	1.16
Cost-income ratio (%)	32.8	32.8	32.8	32.8

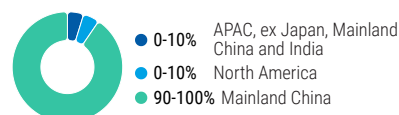
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
19 Jun 2026 - 23 Jun 2026	China Citic Bank Corp Ltd Annual Shareholders Meeting	

INVESTMENT DRIVERS

- Retail banking and innovative online products.
- Gradual improvement in asset quality.
- Better cooperation within the Citic Group.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected fee growth.
- Better-than-expected asset quality.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Asset quality could deteriorate if economic trends worsen.
- Unexpected decrease/slowdown in fee income.
- Social responsibilities continue to weigh in.

OWNERSHIP POSITIONING

Inst. Owners, % Active **39.3%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)

216,584.4	221,154.0	223,549.0
	218,961.4	

EBITDA (Rmb, mn)

90,124

Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn)

65,380.2	71,108	73,500.0
	70,880.7	

EPS (Rmb)

1.2	1.3	1.3
	1.3	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – China CITIC Bank Corporation Limited (601998.SS)

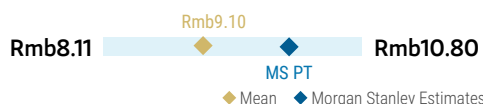
Stable business growth, but expensive vs. H shares

PRICE TARGET Rmb10.00

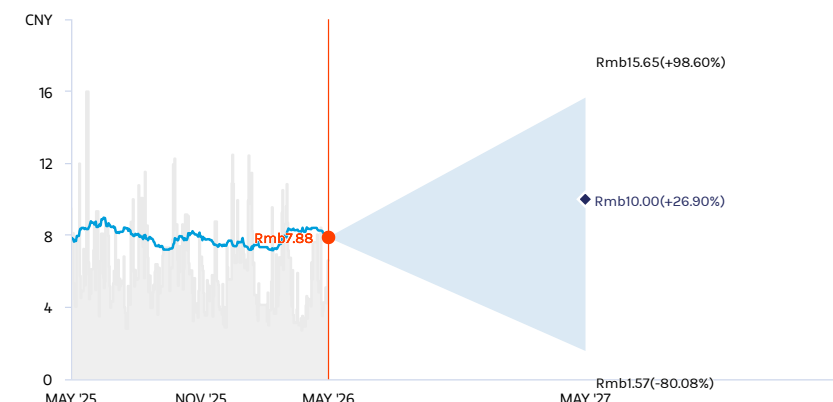
We continue to use a 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 9.8% in the base case, and we assume 9.2% for second-stage and 8.8% for long-term ROE, with a 39% long-term dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



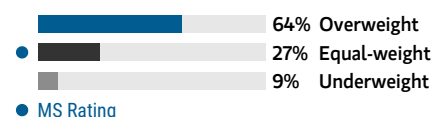
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Significant asset quality improvement following years of risk digestion, especially in focused areas, such as the property market and credit cards.
- We believe the bank could see some business growth with its cleaner and healthier balance sheet, thanks to more rational asset expansion over the past several years.
- Business shifting to retail-focused should support revenue growth, as evidenced in healthy retail AUM and WMP balance growth.
- Current valuation looks fair with resumed growth potential, based on 2026E target P/B of 0.65x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

Rmb15.65

Implies 1.13x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 9.4% and 46%, respectively.

BASE CASE

Rmb10.94

Implies 0.79x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 8.8% and 39%, respectively.

BEAR CASE

Rmb1.57

Implies 0.11x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and a reduced loan rate. 1) NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on asset quality; 3) lower long-term ROE and dividend payout ratio of 4.8% and 6%, respectively.

Risk Reward – China CITIC Bank Corporation Limited (601998.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.63	1.61	1.68	1.76
Total asset growth (%)	6.3	6.6	6.9	7.0
Credit cost (%)	1.00	0.98	1.07	1.16
Cost-income ratio (%)	32.8	32.8	32.8	32.8

CATALYST CALENDAR

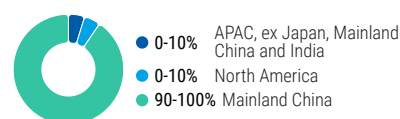
Date	Event
19 Jun 2026 - 23 Jun 2026	China Citic Bank Corp Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Retail banking and innovative online products.
- Better cooperation within the Citic Group.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected fee growth.
- Better-than-expected asset quality.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Moderating economic growth may lead to more pressure for loans to SME and private firms.
- Unexpected decrease/slowdown in fee income.
- Social responsibilities continue to weigh in.

OWNERSHIP POSITIONING

Inst. Owners, % Active **51.5%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)

216,584.4	221,154.0	224,236.0
	219,052.7	

EBITDA (Rmb, mn)

90,124

Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn)

65,380.2	71,108	73,500.0
	70,865.1	

EPS (Rmb)

1.2	1.3	1.4
	1.3	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 58: CITIC Bank Financial Summary

CITIC BANK									
Profit and Loss Statements					Data and Valuations				
	2025	2026E	2027E	2028E		2025	2026E	2027E	2028E
(Rmb mil except ratios)					(Rmb mil except ratios)				
Avg Earning Assets	8,856,226	9,250,323	9,894,000	10,568,442	ROAA (%)	0.73	0.73	0.73	0.74
Net Interest Margin, (%)	1.63	1.61	1.68	1.76	ROCE (%)	9.49	9.50	9.63	9.77
Interest Income	284,588	285,783	310,154	339,981	Book Value Per Share (Rmb)	13.01	13.90	14.87	15.93
Interest Expense	(140,119)	(136,649)	(143,988)	(154,469)	EPS (Rmb)	1.20	1.28	1.39	1.50
Net Interest Income	144,469	149,134	166,166	185,513	Gross Dividends (Rmb mn)	21,201	22,574	24,482	26,570
Loan Loss Provision Expense	(51,030)	(58,517)	(67,457)	(77,330)	Gross DPS (Rmb)	0.38	0.41	0.44	0.48
Net Interest Income After LLPE	93,439	90,617	98,709	108,183	Payout Ratio (%)	32	32	32	32
Non-interest Income	67,067	72,020	78,488	84,932	Issued Shares (m)	55,645	55,645	55,645	55,645
Fees and Commissions	32,772	34,405	37,301	40,389	Performance Ratios				
Forex Dealing Income	2,126	2,518	2,236	2,395		2025	2026E	2027E	2028E
Trading gains	29,222	32,149	36,003	39,202	Growth (%)				
Other Income	2,947	2,947	2,947	2,947	Net Interest Income	(1.5)	3.2	11.4	11.6
Non-interest Expense	(76,463)	(73,113)	(80,839)	(89,180)	Non-interest Income	0.2	7.4	9.0	8.2
Salaries & Benefits	(40,236)	(42,540)	(48,797)	(55,551)	Non-interest Expense	(3.2)	4.6	10.7	10.4
Net Occupancy & Equipment	(11,730)	(11,811)	(12,851)	(13,982)	Net Profit	3.0	6.1	8.0	8.1
Other Expenses	(24,497)	(18,762)	(19,191)	(19,647)	Avg Earning Assets	5.5	(2.5)	(1.6)	(1.9)
Profit Before Tax	84,043	89,524	96,358	103,935	Total Interest-bearing Liabilities	5.6	6.6	6.8	7.0
Income Tax	(12,553)	(13,667)	(14,443)	(15,395)	Risk-weighted Assets	8.7	6.5	6.9	6.9
NET PROFIT after MI	70,618	74,942	80,954	87,531	Revenue Breakdown (%)				
Selected Balance Sheet Data									
	2025	2026E	2027E	2028E	Net Interest Income/Op Income	68.3	67.4	67.9	68.6
Total Assets	10,131,028	10,795,053	11,536,604	12,343,730	Fee-based Income/Op Income	15.5	15.6	15.2	14.9
Total Liquid Assets	1,143,892	1,224,375	1,293,229	1,364,494	Efficiency (%)				
Loans to Customers (Gross)	5,862,172	6,205,519	6,558,298	6,934,855					
Total Customer Deposits	6,127,012	6,431,209	6,769,580	7,133,836	Cost/Income	32.8	32.8	32.8	32.8
Other Interest Bearing Liab	2,991,551	3,288,449	3,623,019	3,991,651	Expenses/Avg Assets	0.7	0.7	0.7	0.7
Shareholders' Equity	723,865	773,451	827,634	886,274	Liquidity (%)				
Avg Earning Assets	10,339,259	10,078,823	9,915,734	9,725,081					
Avg Loans	5,762,800	5,890,621	6,230,707	6,588,729	Avg Loans/Avg Earning Assets	55.7	58.4	62.8	67.7
Avg Deposits	5,995,662	6,279,110	6,600,394	6,951,708	Avg Liquid Assets/AEA	10.4	11.7	12.7	13.7
Avg Shareholders' Equity	704,091	748,658	800,543	856,954	Avg Loans/Avg Deposits	96.1	93.8	94.4	94.8
Asset Quality					Avg Loans/Avg Deposit & Equity	86.0	83.8	84.2	84.4
	2025	2026E	2027E	2028E	Period-End Loans/Deposits	95.7	96.5	96.9	97.2
Non-performing Loans	67,216	71,835	77,259	81,771	Capital (%)				
NPL/Total Loans (Gross) (%)	1.15	1.16	1.18	1.18					
Loan Loss Reserve	139,188	143,670	154,518	167,222	Tier 1 Ratio	10.9	10.9	10.9	10.9
LLR/Total Loans (Gross) (%)	2.37	2.32	2.36	2.41	Tier 2 Ratio	1.9	2.0	2.1	2.1
Credit cost (%)	1.00	0.98	1.07	1.16	Total CAR	12.8	12.9	13.0	13.1
Coverage (%)	204	200	200	205	Internally-generate Capital Ratio	6.5	6.5	6.6	6.7

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – China Minsheng Banking Corp. (1988.HK)

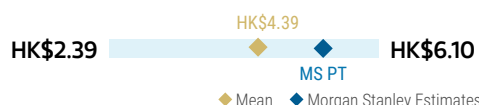
A re-rating opportunity driven by a complete DNA transformation

PRICE TARGET HK\$5.30

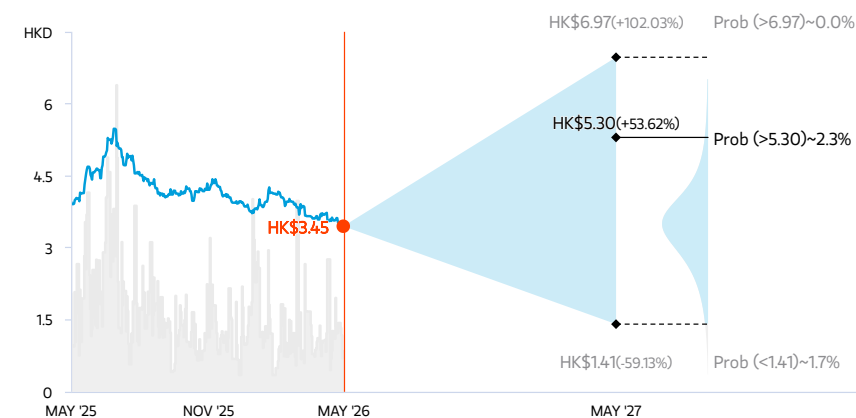
3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 12.5% discount rate, 7.5% second-stage ROE, 9.0% long-term ROE, 50% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

HK\$6.97

Implies 0.46x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 10.0% and 58%, respectively

BASE CASE

HK\$6.06

Implies 0.40x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 9.0% and 50%, respectively.

BEAR CASE

HK\$1.41

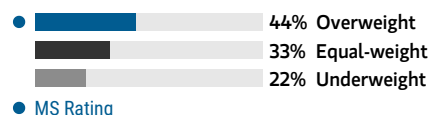
Implies 0.09x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE and dividend payout ratio of 5% and 20%, respectively.

OVERWEIGHT THESIS

- A complete DNA transformation with new client and product strategies to build a true client-focused commercial bank.
- Collaboration across the bank on better client services for a high-quality client base, supported by KPI system change and technology support (i.e., the adoption of Feishu).
- Legacy asset quality issue has been largely resolved after three years of extensive risk digestion.
- Potential profit growth and continued ROE improvement from reduced NPL pressure, funding mix shift and even rebounding loan yield.
- Valuation for Minsheng-H looks attractive based on our target 2026E P/B of 0.35x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – China Minsheng Banking Corp. (1988.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.40	1.43	1.49	1.52
Total asset growth (%)	0.2	5.4	6.2	6.4
Credit cost (%)	1.23	1.32	1.37	1.35
Cost-income ratio (%)	38.7	38.3	38.3	38.3

INVESTMENT DRIVERS

- Deterioration in asset quality that could translate to a larger impact on net profit given a relatively low coverage level to buffer the slippage in asset quality.
- Slower-than-expected asset growth.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker-than-expected profit and business growth with continued market share gains after the DNA transformation.
- More supportive macro environment with rebounding loan yield and rational competitive landscape.

RISKS TO DOWNSIDE

- Market downturn to erode the business expansion and the bottom line.
- Pressure on loan yield to weigh on NIM.
- Worse-than-expected asset quality on loans to SMEs.

OWNERSHIP POSITIONING

Inst. Owners, % Active 43.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 139,640.4 149,195.8 153,434.7
144,610.2

EBITDA (Rmb, mn) 41,324
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 24,206.0 27,601 31,668.0
28,484.3

EPS (Rmb) 0.6 0.6 0.7
0.6

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – China Minsheng Banking Corp. (600016.SS)

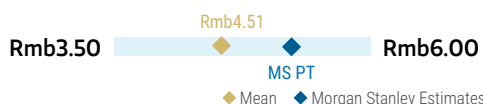
Likely ROE improvement driven by a complete DNA transformation

PRICE TARGET Rmb5.20

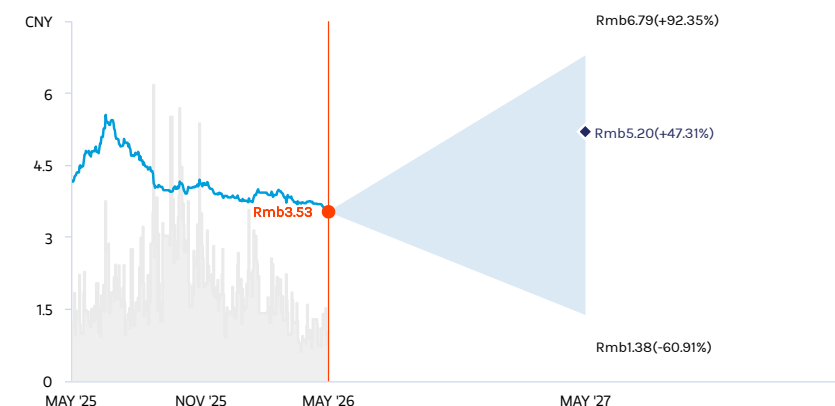
We use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 12.5% in the base case, and we assume 7.5% for second-stage and 9.0% for long-term ROE with a 50% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



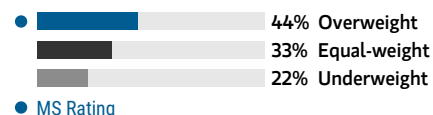
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- A complete DNA transformation with new client and product strategies to build a true client-focused commercial bank.
- Collaboration across the bank on better client services for a high-quality client base, supported by KPI system change and technology support (i.e., the adoption of Feishu).
- Legacy asset quality issue has been largely resolved after three years of extensive risk digestion.
- Potential profit growth and continued ROE improvement from reduced NPL pressure, funding mix shift and even rebounding loan yield.
- We see valuation as attractive for Minsheng-A at the current level, based on our target 2026E P/B of 0.44x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb6.79

Implies 0.51x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 10.0% and 58%, respectively

BASE CASE

Rmb5.91

Implies 0.44x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 9.0% and 50%, respectively.

BEAR CASE

Rmb1.38

Implies 0.10x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE and dividend payout ratio of 5% and 20%, respectively.

Risk Reward – China Minsheng Banking Corp. (600016.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.40	1.43	1.49	1.52
Total asset growth (%)	0.2	5.4	6.2	6.4
Credit cost (%)	1.23	1.32	1.37	1.35
Cost-income ratio (%)	38.7	38.3	38.3	38.3

INVESTMENT DRIVERS

- Deterioration of asset quality that could translate into a larger impact on net profit given a relatively low coverage level to buffer the asset quality slippage.
- Slower-than-expected asset growth.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker-than-expected profit and business growth with continued market share gains after the DNA transformation.
- More supportive macro environment with rebounding loan yield and rational competitive landscape.

RISKS TO DOWNSIDE

- Market downturn to erode the business expansion and the bottom line.
- Pressure on loan yield side to weigh on NIM.
- Worse-than-expected asset quality on loans to SMEs.

OWNERSHIP POSITIONING

Inst. Owners, % Active 52.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 139,640.4 149,195.8 153,434.7
144,610.2

EBITDA (Rmb, mn) 41,324
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 24,206.0 27,601 31,668.0
28,484.3

EPS (Rmb) 0.6 0.6 0.7
0.6

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 59: China Minsheng Bank Financial Summary

MINSHENG BANK					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 December (Rmb mn)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg Earning Assets	7,148,910	7,400,202	7,842,066	8,346,065	ROAA (%)	0.39	0.38	0.39	0.42
Net Interest Margin (%)	1.40	1.43	1.49	1.52	ROCE (%)	4.94	4.79	5.02	5.55
Interest Income	222,855	223,733	239,588	256,321	Book Value Per Share (Rmb)	12.90	13.41	13.96	14.83
Interest Expense	(122,729)	(117,913)	(123,056)	(129,341)	EPS (Rmb)	0.63	0.63	0.69	0.80
Net Interest Income	100,126	105,820	116,531	126,979	Gross DPS (Rmb)	0.19	0.19	0.21	0.24
Loan Loss Provision Expense	(53,950)	(58,264)	(64,071)	(67,044)	Payout Ratio (%)	30.14	30.00	30.00	30.00
Net Interest Income After LLP	46,176	47,556	52,460	59,936	Issued Shares (m)	43,782	43,782	43,782	43,782
Noninterest Income					PERFORMANCE RATIOS				
Fees and Commissions	18,321	19,199	20,319	22,157	Growth (%)				
Dealing profits	24,418	24,418	25,395	26,411	Net Interest Income	1	6	10	9
Total Noninterest Income	42,739	43,376	45,472	48,326	Noninterest Income	14	1	5	6
Noninterest Expense					Noninterest Expense	(1)	3	9	8
Salaries & Benefits	(31,290)	(33,043)	(35,748)	(38,503)	Net Profit	(6.5)	0.5	8.0	14.8
Net Occupancy & Equipment	(8,027)	(8,669)	(9,451)	(10,305)	Avg Earning Assets	1	4	6	6
Other Expenses	(15,994)	(15,436)	(16,858)	(18,412)	Total Interest-bearing Liab.	(0)	5	6	6
Total Noninterest Expense	(55,311)	(57,149)	(62,057)	(67,220)	Risk-weighted Assets	3	6	6	6
Profit Before Tax	32,259	32,350	34,942	40,109	Revenue Breakdown (%)				
Effective Tax	(1,677)	(1,617)	(1,747)	(2,005)	Net Interest Income/Op Inc.	70.1	70.9	71.9	72.4
NET PROFIT (before MI)	30,582	30,732	33,195	38,104	Fee-based Income/Op Inc.	12.8	12.9	12.5	12.6
Effective Tax	(19)	(19)	(19)	(19)	Efficiency (%)				
NET PROFIT	30,563	30,713	33,176	38,085	Cost/Income	38.7	38.3	38.3	38.3
BALANCE SHEET DATA					Expenses/Avg Assets	0.7	0.7	0.7	0.7
Total Assets	7,832,567	8,257,213	8,772,632	9,336,603	Liquidity (%)				
Total Liquid Assets	408,752	444,223	477,151	512,681	Avg Loans/Avg Earning Assets	62.6	61.4	60.7	60.3
Gross Loans to Customers	4,467,526	4,623,396	4,890,700	5,174,744	Avg Liquid Assets/AEA	9.3	9.6	10.2	10.5
Total Customer Deposits	4,347,799	4,558,928	4,822,297	5,100,882	Avg Loans/Avg Deposits	103.2	102.1	101.4	101.4
Other Interest Bearing Liab	2,381,475	2,556,123	2,766,742	3,000,213	Avg Loans/Avg Deposits & Equity	91.5	90.4	89.9	90.0
Period-end Shareholders' Equity	564,637	587,070	611,226	649,311	Period-End Loans/Deposits	102.8	101.4	101.4	101.4
ASSET QUALITY					Capital Information (%)				
Non-performing Loans	66,154	69,017	74,327	78,072	Tier 1 Ratio	11.5	11.2	10.9	10.7
NPL/Total Gross Loan (%)	1.49	1.49	1.52	1.51	Tier 2 Ratio	1.6	1.9	1.8	1.8
Loan Loss Reserve	93,966	103,526	117,065	128,820	Total CAR	13.1	13.1	12.7	12.5
LLR/Non-performing Loan (%)	142.0	150.0	157.5	165.0	Internally-generate Capital Ratio	3.4	3.4	3.5	3.9
LLR/Total Gross Loan (%)	2.12	2.24	2.39	2.49					
Provision for loans	53,950	58,264	64,071	67,044					
Credit cost (%)	1.23	1.32	1.37	1.35					
Credit cost /Net Int Inc (%)	53.9	55.1	55.0	52.8					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – China Everbright Bank Co Ltd (6818.HK)

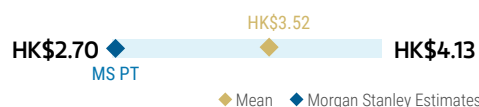
NIM compression and NPL digestion remain key to watch

PRICE TARGET HK\$2.70

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 12.4% discount rate, 6.6% second-stage ROE, 6.5% long-term ROE, 26% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Consensus Price Target Distribution

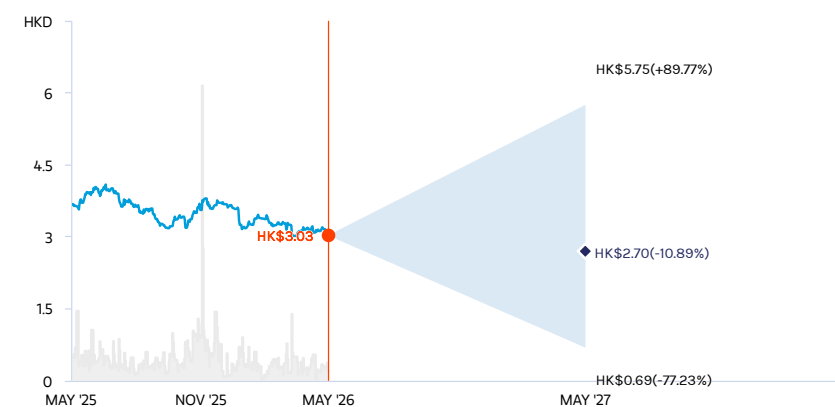
Source: Refinitiv, Morgan Stanley Research



UNDERWEIGHT THESIS

- We expect NIM compression for Everbright, led by weaker loan demand, which should weigh on its asset yield more than peers'.
- Fee growth potential appears limited amid a lack of growth momentum.
- Retail business orientation and risk digestion is still in progress, which may take more time.
- Everbright-H valuation appears high at current levels based on our target 2026E P/B of 0.26x.

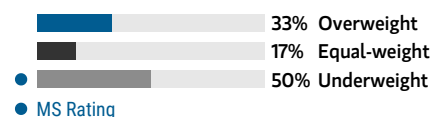
RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

HK\$5.75

Implied 0.57x 2026E BVPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 7.5% and dividend payout ratio of 40%.

BASE CASE

HK\$2.33

Implies 0.23x 2026E BVPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 6.5% and 26%, respectively.

BEAR CASE

HK\$0.69

Implies 0.07x 2026E BVPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) higher NPL formation in industrial sectors could weigh on asset quality; 3) long-term ROE and dividend payout ratio of 4.0% and 1%, respectively.

Risk Reward – China Everbright Bank Co Ltd (6818.HK)

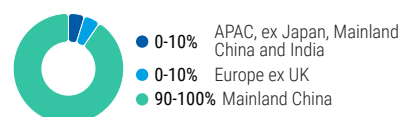
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.40	1.40	1.42	1.46
Total asset growth (%)	3.0	3.4	4.9	5.0
Credit cost (%)	0.92	0.90	0.91	0.95
Cost-income ratio (%)	31.4	31.5	31.3	31.2

INVESTMENT DRIVERS

- Resilient NIM that translates into net interest income growth.
- Pro-active NPL digestion with elevated credit cost.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Faster-than-expected recovery from previous asset quality issues due to aggressive lending.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Faster-than-expected NIM contraction; worse-than-expected asset quality on loans to SMEs.

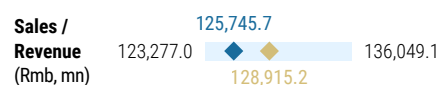
OWNERSHIP POSITIONING

Inst. Owners, % Active 41.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – China Everbright Bank Co Ltd (601818.SS)

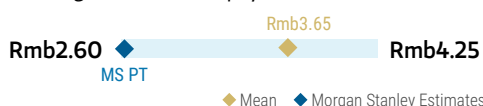
NIM compression and NPL digestion remain key to watch

PRICE TARGET Rmb2.60

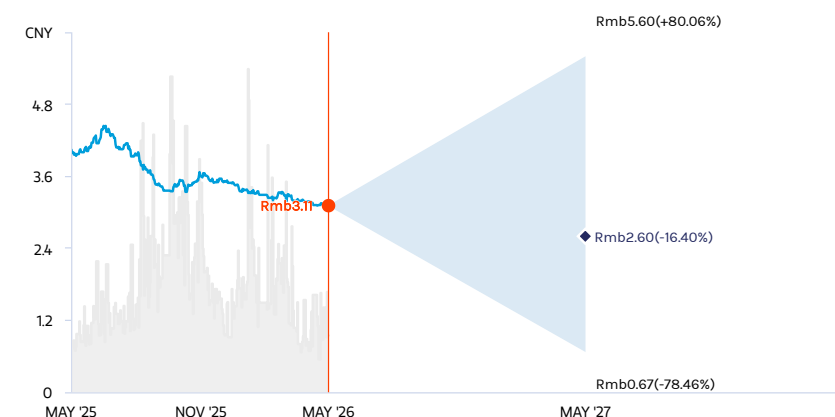
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. Discount rate is 12.4% in the base case, and we assume 6.6% for second-stage and 6.5% for long-term ROE with a 26% long-term dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



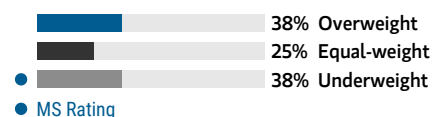
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We expect NIM compression for Everbright, led by weaker loan demand, which should weigh on its asset yield more than peers'.
- Fee growth potential appears limited amid a lack of growth momentum.
- Retail business orientation and risk digestion is still in progress, which may take more time.
- Everbright-A valuation appears high at current levels based on our target 2026E P/B of 0.29x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

Rmb5.60

Implies 0.63x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 7.5% and dividend payout ratio of 40%.

BASE CASE

Rmb2.27

Implies 0.25x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 6.5% and 26%, respectively.

BEAR CASE

Rmb0.67

Implies 0.08x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) higher NPL formation in industrial sectors could weigh on asset quality; 3) long-term ROE and dividend payout ratio of 4.0% and 1%, respectively.

Risk Reward – China Everbright Bank Co Ltd (601818.SS)

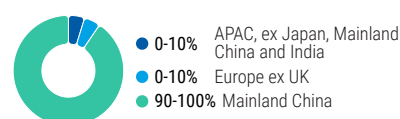
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.40	1.40	1.42	1.46
Total asset growth (%)	3.0	3.4	4.9	5.0
Credit cost (%)	0.92	0.90	0.91	0.95
Cost-income ratio (%)	31.4	31.5	31.3	31.2

INVESTMENT DRIVERS

- Resilient NIM that translates into net interest income growth.
- Proactive NPL digestion with elevated credit cost.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Faster-than-expected recovery from previous asset quality issues due to aggressive lending.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Faster-than-expected NIM contraction; worse-than-expected asset quality on loans to SMEs.

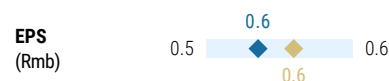
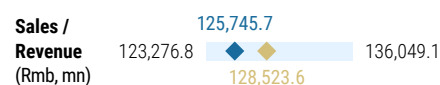
OWNERSHIP POSITIONING

Inst. Owners, % Active 95.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 60: CEB Financial Summary

CHINA EVERBRIGHT BANK					SHARE RATIOS				
Profit and Loss Statements					(Rmb mil except ratios)				
	2025	2026E	2027E	2028E		2025	2026E	2027E	2028E
(Rmb mil except ratios)									
Avg Earning Assets	6,570,137	6,727,685	6,993,089	7,313,084	ROAA (%)	0.55	0.53	0.54	0.54
Net Interest Margin, (%)	1.40	1.40	1.42	1.46	ROAE (%)	7.0	6.6	6.7	6.8
Interest Income	211,158	209,062	217,434	228,921	Book Value Per Share (Rmb)	8.46	8.90	9.37	9.87
Interest Expense	(119,057)	(114,570)	(117,788)	(122,363)	EPS (Rmb)	0.58	0.58	0.61	0.65
Net Interest Income	92,101	94,492	99,647	106,558	Gross Dividends (Rmb mn)	10,340	11,627	12,276	12,998
Loan Loss Provision Expense	(36,421)	(37,274)	(39,167)	(42,058)	Gross DPS (Rmb)	0.17	0.20	0.21	0.22
Net Interest Income After LLPE	55,680	57,218	60,479	64,500	Payout Ratio (%)	30	34	34	34
Non-interest Income	34,210	31,254	32,505	34,090	Issued Shares (m)	59,086	59,086	59,086	59,086
Fees and Commissions	20,252	20,708	21,597	22,641					
Trading gains	1,023	321	354	390					
Other Income	17,301	5,799	5,906	6,190					
Non-interest Expense	(39,712)	(39,558)	(41,334)	(43,903)					
Salaries & Benefits	(20,101)	(19,687)	(20,161)	(21,061)					
Depreciation and amortization	(3,701)	(3,985)	(4,536)	(5,165)					
Other Expenses	(15,910)	(15,887)	(16,636)	(17,677)					
Profit Before Tax	49,687	49,439	52,583	55,627					
Income Tax	(10,546)	(10,363)	(11,343)	(11,976)					
NET PROFIT after MI	38,826	38,758	40,919	43,326					
Selected Balance Sheet Data					Performance Ratios				
Total Assets	7,165,319	7,405,928	7,767,904	8,153,874	Growth (%)				
Total Liquid Assets	446,394	443,159	457,707	481,225	Net Interest Income	(4.7)	2.6	5.5	6.9
Loans to Customers (Gross)	3,999,448	4,112,956	4,259,197	4,419,602	Non-interest Income	(11.7)	(8.6)	4.0	4.9
Total Customer Deposits	4,102,458	4,202,786	4,365,117	4,533,720	Non-interest Expense	(7.7)	(0.4)	4.5	6.2
Total liability and equity	7,165,319	7,405,928	7,767,904	8,153,874	Net Profit	(6.6)	(0.2)	5.5	5.8
Shareholders' equity	499,894	525,958	553,692	583,093	Avg Earning Assets	4.8	2.4	3.9	4.6
Avg Earning Assets	6,570,137	6,727,685	6,993,089	7,313,084	Avg Interest-bearing Liabilities	4.5	1.6	4.3	4.9
Avg Loans	4,017,809	4,012,791	4,149,695	4,304,586	Loans	1.3	2.8	3.6	3.7
Avg Deposits	4,059,226	4,003,866	4,131,525	4,288,454	Deposits	1.7	2.4	3.9	3.9
Avg liability and equity	7,165,319	7,405,928	7,767,904	8,153,874					
Asset Quality					Revenue Breakdown (%)				
Non-performing Loans	50,742	54,832	57,196	59,079	Net Interest Income/Op Income	72.9	75.1	75.4	75.8
NPL/Total Loans (Gross) (%)	1.27	1.33	1.34	1.34	Fee-based Income/Op Income	16.0	16.5	16.3	16.1
Loan Loss Reserve	88,069	87,732	89,226	91,277					
LLR/Total Loans (Gross) (%)	2.20	2.13	2.09	2.07					
Credit cost (%)	0.92%	0.90%	0.91%	0.95%					
Coverage (%)	174	160	156	155					
					Efficiency (%)				
					Cost/Income	31.4	31.5	31.3	31.2
					Expenses/Avg Assets	0.6	0.5	0.5	0.6
					Liquidity (%)				
					Avg Loans/Avg Earning Assets	61.2	59.6	59.3	58.9
					Avg Liquid Assets/AEA	5.9	6.6	6.4	6.4
					Avg Loans/Avg Deposits	99.0	100.2	100.4	100.4
					Avg Loans/Avg Deposit & Equity	35.8	35.2	34.9	34.6
					Period-End Loans/Deposits	97.5	97.9	97.6	97.5
					Capital (%)				
					Tier 1 Ratio	11.7	11.9	12.1	12.4
					Tier 2 Ratio	2.0	1.9	1.9	1.8
					Total CAR	13.7	13.9	14.0	14.2
					Internally-generate Capital Ratio	4.9	4.4	4.4	4.5

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Hua Xia Bank (600015.SS)

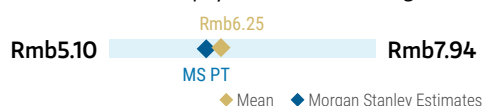
Concerns around asset quality and weak deposit franchise

PRICE TARGET Rmb6.10

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.3% in the base case, and we assume 6.9% for second-stage and 6.5% for long-term ROE with a 15% dividend payout ratio in the long run.

Consensus Price Target Distribution

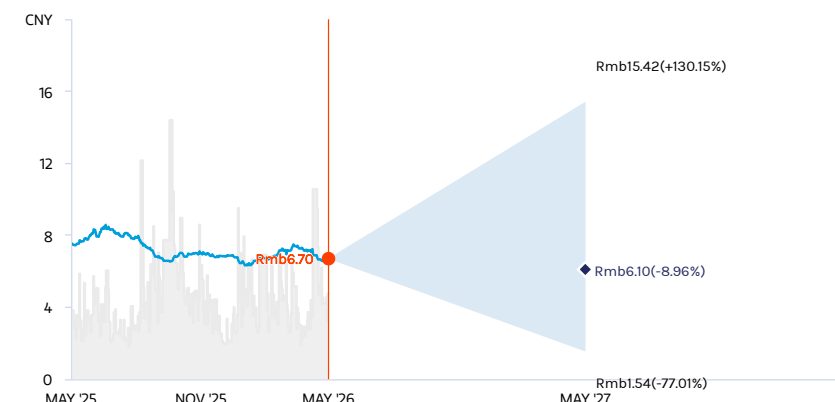
Source: Refinitiv, Morgan Stanley Research



UNDERWEIGHT THESIS

- Asset quality remains a notable concern with rising NPL ratios and credit costs.
- Downside pressure on its ROE is more notable than peers, in light of weaker loan demand and pricing power, in addition to funding pressure.
- Relatively low NPL coverage ratio of ~160%, which constrains Huaxia's ability to release provisions to support profit growth amid a challenging environment.

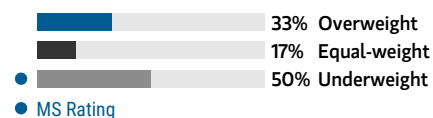
RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb15.42

Implies 0.72x 2026E BVPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 7.5% and 31%, respectively

BASE CASE

Rmb4.58

Implies 0.21x 2026E BVPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 6.5% and 15%, respectively.

BEAR CASE

Rmb1.54

Implies 0.07x 2026E BVPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) NIM could be under pressure for longer; 2) higher NPL formation in industrial sectors could weigh on asset quality; 3) long-term ROE and dividend payout ratio of 4.5% and 4%, respectively.

Risk Reward – Hua Xia Bank (600015.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.56	1.59	1.61	1.65
Total asset growth (%)	8.3	5.8	5.1	5.1
Credit cost (%)	1.02	1.17	1.23	1.29
Cost-income ratio (%)	32.9	32.3	32.3	32.3

INVESTMENT DRIVERS

- Greater-than expected NIM contraction due to lower demand deposit composition.
- Potential higher asset growth supported by a better capital position.

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected turnaround in asset quality.
- Better-than-expected NIM trend supported by improved deposit funding mix.
- Noticeable reduction in policy intervention.

RISKS TO DOWNSIDE

- Unexpected NIM contraction due to downward pressure on LPR.
- Greater-than-expected pressure on asset quality from investment and credit demand slowdown.
- Social responsibilities continue to weigh in.

OWNERSHIP POSITIONING

Inst. Owners, % Active 34.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 91,421.8 97,083.4 97,513.0
94,932.1

EBITDA (Rmb, mn) 37,602
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 25,232.6 26,018 30,769.0
27,562.0

EPS (Rmb) 1.6 1.6 1.9
1.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 61: HXB Financial Summary

HuaXia Bank					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
	2025	2026E	2027E	2028E		2025	2026E	2027E	2028E
Year end 31 Dec. (Rmb mn)					ROAA (%)*	0.60	0.56	0.55	0.54
Avg. Earning Assets	4,027,862	4,321,032	4,582,697	4,835,932	ROAE (%)*	8.3	7.9	7.6	7.3
Net Interest Margin (%)	1.56%	1.59%	1.61%	1.65%	Book Value Per Share (Rmt)	19.8	21.3	22.7	24.5
Interest Income	135,151	140,942	149,873	159,202	EPS (Rmb)	1.62	1.63	1.67	1.73
Interest Expense	(72,203)	(72,441)	(75,919)	(79,541)	Gross Dividends	4,961	6,505	6,660	6,900
Net Interest Income	62,948	68,501	73,955	79,662	DPS (Rmb)	0.31	0.41	0.42	0.43
Provision Expense	(25,416)	(31,176)	(34,876)	(38,371)	Payout Ratio (%)	19	25	25	25
Net Interest Income a/I LLP	37,532	37,325	39,079	41,290	Issued Shares (mil)	15,915	15,915	15,915	15,915
Non-interest Income					Performance Ratios				
Net Fees and Commissions	5,576	5,750	6,042	6,369	Growth (%)				
Forex gains	(3,535)	8,038	8,816	9,715	Net Interest Income	1	9	8	8
Other investment gains	20,443	13,792	14,014	14,238	Non-interest Income	-21	11	5	5
Other Income	3,375	1,003	1,056	1,056	Non-interest Expense	-3	7	7	7
Total Non-interest Income	25,859	28,582	29,929	31,378	Net Profit	-2	1	2	3
Non-interest Expense					Loans	8	7	6	5
Salaries & Benefits	16,219	17,591	19,209	20,977	deposits	10	7	5	5
Net Occupancy & Equip	-	-	-	-	Earning Assets	8	5	6	5
Other Expenses	12,998	13,722	14,307	14,939	Interest-bearing Liab.	9	6	5	5
Total Non-interest Expense	29,217	31,313	33,517	35,916	Risk-weighted Assets	9	6	6	5
Profit Before Tax	34,174	34,594	35,491	36,753	Revenue Breakdown (%)				
Effective Tax	(6,423)	(6,580)	(6,826)	(7,100)	Net Int Inc/Op Inc	70.9	70.6	71.2	71.7
PAT	27,751	28,014	28,665	29,653	Net fee-based Inc/Op Inc	6.3	5.9	5.8	5.7
Minorities	(551)	(566)	(594)	(624)	Efficiency (%)				
NPAT	27,200	27,448	28,071	29,029	Cost/Income	32.9	32.3	32.3	32.3
BALANCE SHEET DATA					Expenses/Avg Assets	0.64	0.64	0.65	0.67
Total Assets	4,737,819	5,012,628	5,268,919	5,533,898	Liquidity (%)				
Total Interbank assets	199,976	202,333	217,794	234,477	Avg Loan/Avg Earn. Asts	59.9	61.3	61.0	61.0
Total Loans (Gross)	2,575,517	2,751,133	2,908,139	3,062,934	Avg Loans/Avg Deposit	105.0	106.3	105.7	105.8
Total Deposits	2,409,626	2,578,502	2,715,874	2,860,759	Avg Loans/Avg Dep. & Eq'ty	92.5	93.9	93.3	93.2
Total Interbank liabilities	1,240,101	1,306,752	1,371,413	1,432,330	Period-End Loans/Dep.	107.3	106.7	107.1	107.1
Shareholders' Equity, EOY	315,746	339,399	361,048	390,001	Capital Information (%)				
Avg Loans (Gross)	2,410,914	2,650,359	2,797,645	2,948,662	Tier 1 Ratio	11.7	11.8	11.8	11.9
Avg Deposits	2,296,882	2,494,064	2,647,188	2,788,316	Tier 2 Ratio	1.4	1.3	1.3	1.2
Avg Shareholders' Equity	312,742	331,627	354,278	379,578	Total CAR	13.2	13.2	13.0	13.1
Avg Loan/AEA (%)	59.9	61.3	61.0	61.0	IGCR	6.7	6.0	5.7	5.5
ASSET QUALITY									
Non-performing Loans	39,886	42,891	45,394	47,896					
NPL/Total Gross Loans(%)	1.54	1.56	1.56	1.56					
Loan Loss Reserve	57,155	62,622	68,999	77,352					
Coverage (LLR/NPL; %)	143.3	146.0	152.0	161.5					
LLR/Total Gross Loans(%)	2.23	2.28	2.37	2.53					
Credit cost (%)	1.02	1.17	1.23	1.29					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Shanghai Pudong Development Bank (600000.SS)

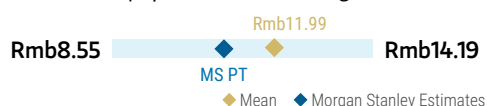
Gradual ROE improvement on better asset quality

PRICE TARGET Rmb10.90

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. Discount rate is 10.1% in the base case, and we assume 7.2% for second-stage and 7.2% for long-term ROE with a 40% dividend payout ratio in the long run.

Consensus Price Target Distribution

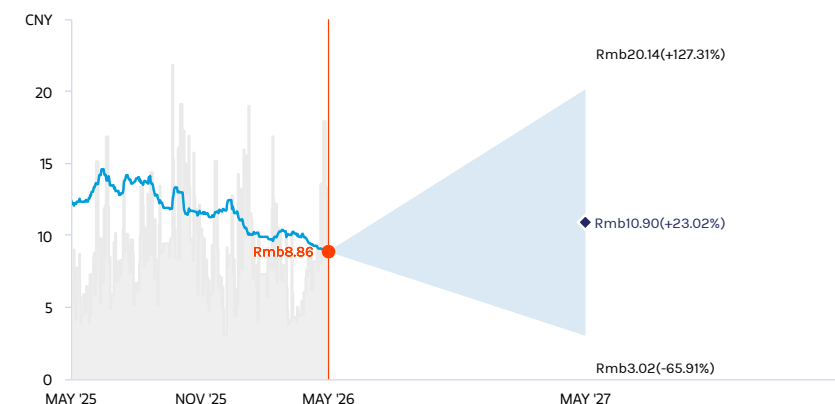
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

- Business transition gradually paying off with resumption of loan growth after muted 2022 and 2023;
- Potential NIM rebound with lower deposit costs;
- Asset quality and credit cost continued to improve with most historical risks digested, supporting earnings growth and ROE recovery.

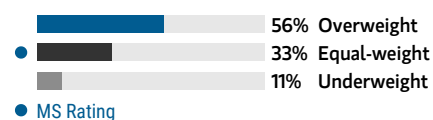
RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb20.14

Implies 0.92x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 7.8% and dividend payout ratio of 49%.

BASE CASE

Rmb10.39

Implies 0.48x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 7.2% and 40%, respectively.

BEAR CASE

Rmb3.02

Implies 0.14x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and a reduced loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE and dividend payout ratio of 4.5% and 18%, respectively.

Risk Reward – Shanghai Pudong Development Bank (600000.SS)

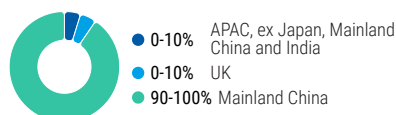
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.42	1.43	1.46	1.49
Total asset growth (%)	6.6	5.4	6.1	6.1
Credit cost (%)	1.18	1.18	1.18	1.19
Cost-income ratio (%)	31.4	31.2	31.1	31.2

INVESTMENT DRIVERS

- Improving asset quality with a continuous decline in the NPL ratio, but some time is still needed to fully digest risks generated previously.
- Retail transition providing support to asset quality and NIM.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality, higher growth in retail banking and higher contribution of fee income.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding the bottom line.
- Higher-than-expected credit costs and risk from the previous credit expansion.

OWNERSHIP POSITIONING

Inst. Owners, % Active **64.7%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) **179,410.1**
176,768.7 **181,096.5** 192,905.1

EBITDA (Rmb, mn) **65,701**
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) **48,465**
47,965.9 **51,403.5** 54,614.0

EPS (Rmb) **1.5**
1.4 **1.6** 1.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 62: SPDB Financial Summary

PROFIT & LOSS ACCOUNT					SHARE RATIOS				
Year end 31 Dec. (Rmb mn)	2025	2026E	2027E	2028E	Year end 31 December	2025E	2026E	2027E	2028E
Avg. Earning Assets	8,514,479	9,045,933	9,607,461	10,218,673	ROAA (%)	0.51	0.50	0.51	0.52
Net Interest Margin (%)	1.42	1.43	1.46	1.49	ROAE (%)	6.64	6.63	7.01	7.16
Interest Income	265,116	271,013	290,058	310,652	Book Value Per Share (Rmb)	22.13	21.78	23.03	24.36
Interest Expense	(144,633)	(141,512)	(149,521)	(158,140)	EPS (Rmb)	1.48	1.46	1.57	1.70
Net Interest Income	120,483	129,501	140,538	152,512	DPS (Rmb)	0.42	0.44	0.47	0.51
Provision Expense	(65,700)	(69,359)	(74,752)	(80,207)	Payout Ratio (%)	28	30	30	30
Net Interest Income a/f LLPE	54,783	60,142	65,786	72,305	Issued Shares (m)	33,306	33,306	33,306	33,306
Non-interest Income					PERFORMANCE RATIOS				
Fees and Commissions	22,725	23,150	24,355	25,912	Growth (%)				
Forex Income	250	(340)	326	391	Net Interest Income	5	7	9	9
Other Income	29,803	27,099	27,931	29,181	Non-interest Income	-4	-5	5	5
Total Non-interest Income	52,778	49,909	52,612	55,485	Non-interest Expense	1	3	8	8
Non-interest Expense					Net Profit	11	4	7	8
Salaries & Benefits	27,946	28,849	31,029	33,511	Avg Earning Assets	6	6	6	6
Net Occupancy & Equipment	-	-	-	-	Interest-bearing Liab.	9	7	7	7
Other Expenses	26,509	27,089	29,136	31,467	Risk-weighted Assets	12	5	6	6
Total Non-interest Expense	54,455	55,938	60,165	64,978	Revenue Breakdown (%)				
Profit Before Tax	53,374	56,313	60,533	65,112	Net Int Inc/Op Inc	69.5	72.2	72.8	73.3
Effective Tax	(2,969)	(3,649)	(4,023)	(4,384)	Fee-based Inc/Op Inc	13.1	12.9	12.6	12.5
Net Profit	50,405	52,664	56,509	60,728	Forex Income/Op Inc	0.1	-0.2	0.2	0.2
Net Profit (after minority)	50,017	52,202	56,047	60,266	Efficiency (%)				
BALANCE SHEET DATA					Cost/Income	31.4	31.2	31.1	31.2
Total Assets	10,081,746	10,622,215	11,275,183	11,958,929	Expenses/Avg Assets	0.6	0.5	0.5	0.6
Total Liquid Assets	656,515	684,177	706,774	715,451	Liquidity (%)				
Total Loans (Gross)	5,703,973	6,091,814	6,528,204	7,003,609	Avg Loan/Avg Earn. Asts	65.2	65.2	65.7	66.2
Total Deposits	5,653,358	6,061,506	6,499,498	6,962,434	Avg Liquid Assets/AEA	12.2	12.0	11.6	11.3
Other Interest Bearing Liab	2,528,262	2,642,291	2,771,043	2,906,108	Avg Loans/Avg Deposit	102.0	100.7	100.5	100.5
Shareholders' Equity, EOY	736,995	725,448	766,897	811,488	Avg Loans/Avg Dep. & Eq'ty	90.4	89.5	89.8	90.0
ASSET QUALITY					Period-End Loans/Dep.	100.9	100.5	100.4	100.6
Non-performing Loans	71,990	75,508	80,408	86,402	Capital Information (%)				
NPL/Total Loans (Gross) (%)	1.26%	1.24%	1.23%	1.23%	Tier 1 Ratio	10.0	9.3	9.3	9.2
Loan Loss Reserve	145,724	159,322	176,094	193,713	Tier 2 Ratio	2.5	2.1	2.1	2.1
Coverage (LLR/NPL; %)	201	211	219	224	Total CAR	12.5	11.4	11.4	11.3
LLR/Total Loans (Gross) (%)	2.55	2.62	2.70	2.77	IGCR	4.8	4.6	4.9	5.0
Credit cost	57,329	63,941	69,610	75,456					
Credit cost (%)	1.18	1.18	1.18	1.19					
Credit cost /Net Int Inc (%)	47.6	49.4	49.5	49.5					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Bank of Ningbo Co. Ltd (002142.SZ) Top Pick

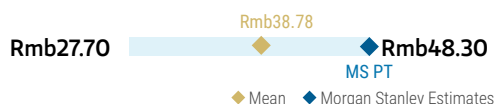
Best positioned to benefit from positive loop for China financial industry

PRICE TARGET Rmb48.30

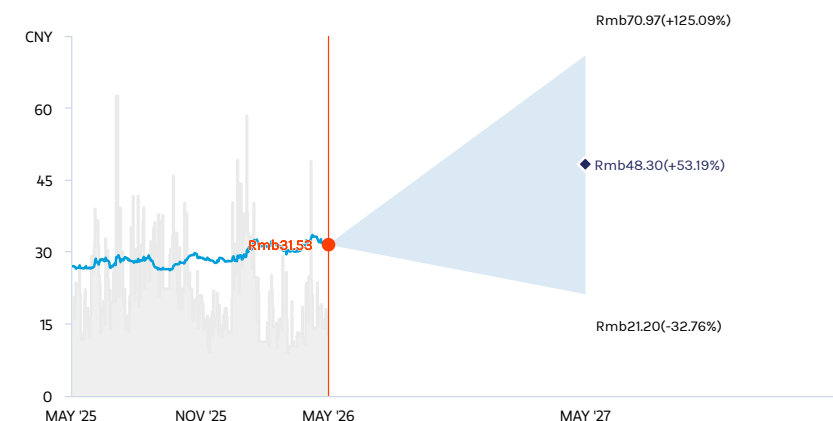
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.4% in the base case, and we assume 13.7% for second-stage and 13% for long-term ROE with a 58% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



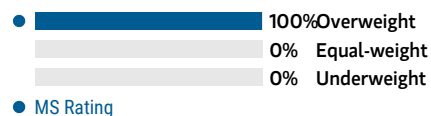
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We believe China's financial industry back to a positive development loop will lead to more market-oriented competition, which should benefit Bank of Ningbo in terms of loan growth and pricing.
- More credit allocation to developed regions with higher productivity gains and population growth – in particular Zhejiang Province. We expect Bank of Ningbo to accelerate market share gains through its strong local presence, high-quality service and client-focused strategy.
- Credit quality concerns likely to reduce after proactive risk digestion. NPL ratio very low across multiple business cycles over the past 15 years. NPL coverage ratio still high at ~350% despite some decline.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb70.97

Implies 1.90x 2026E P/B

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratio of 15% and 64%, respectively.

BASE CASE

Rmb49.72

Implies 1.33x 2026E P/B

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 13.0% and 58%, respectively.

BEAR CASE

Rmb21.20

Implies 0.57x 2026E P/B

Our bear case assumes slower-than-expected capacity control and risk digestion as well as lower loan rates: Bank NIM could be under pressure for longer. Higher NPL formation in industrial sectors could weigh on banks' asset quality. Long-term ROE and dividend payout ratio of 11% and 51%, respectively.

Risk Reward – Bank of Ningbo Co. Ltd (002142.SZ)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.74	1.75	1.81	1.86
Total asset growth (%)	16.1	12.0	11.9	12.1
Credit cost (%)	0.95	0.99	0.95	0.98
Cost-income ratio (%)	33.8	33.3	33.2	33.2

INVESTMENT DRIVERS

- Strong ability in retail expansion after the acquisition of Huarong Consumer Financing.
- Quality franchise evidenced by leading loan yield, superior funding cost and higher NIM.
- Strong asset quality control.

GLOBAL REVENUE EXPOSURE



● 100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

RISKS TO DOWNSIDE

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

OWNERSHIP POSITIONING

Inst. Owners, % Active **86.3%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 78,299.1 **79,581.1** **82,098.8**

EBITDA (Rmb, mn) **39,316**
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 31,269.4 **31,922** **32,164.4** 33,078.0

EPS (Rmb) 4.7 **4.8** **4.8** 4.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 63: Ningbo Financial Summary

Bank of Ningbo									
PROFIT & LOSS ACCOUNT					SHARE RATIOS				
Year end 31 Dec. (Rmb mil)	2025	2026E	2027E	2028E	Year end 31 December	2025	2026E	2027E	2028E
Avg. Earning Assets	3,056,484	3,501,847	3,846,264	4,323,361	ROAA (%)	0.87	0.86	0.88	0.90
Net Interest Margin (%)	1.74	1.75	1.81	1.86	ROAE (%)	13.14	13.61	14.09	14.58
Interest Income	105,205	116,406	130,062	148,367	Book Value Per Share (Rmb)	33.69	37.35	41.53	46.34
Interest Expense	(52,044)	(54,984)	(60,571)	(67,871)	EPS (Rmb)	4.29	4.83	5.56	6.41
Net Interest Income	53,161	61,422	69,491	80,496	Gross Dividends (Rmb mil)	7,924	8,935	10,269	11,844
Loan Loss Provision Exp.	(15,288)	(18,615)	(20,531)	(23,975)	Gross DPS (Rmb)	1.20	1.35	1.55	1.79
Net Interest Inc. after LLPE	37,873	42,806	48,959	56,521	Payout Ratio (%)	28	28	28	28
					Issued Shares (mil)	6,604	6,604	6,604	6,604
Non-interest Income					PERFORMANCE RATIOS				
Fees and Commissions	6,085	7,630	9,715	12,254	Growth (%)				
Forex gains	(113)	(1,551)	(1,510)	(1,329)	Net Interest Income	11	16	13	16
Other investment gains	12,306	14,145	14,988	15,839	Non-interest Income	1	10	15	15
Other Income	530	453	500	521	Non-interest Expense	(0)	12	13	16
Total Non-interest Income	18,808	20,677	23,692	27,285	Net Profit	8	12	14	15
Non-interest Expense	(24,349)	(27,376)	(30,927)	(35,800)	Avg Interest-earning Assets	18	15	10	12
					Avg Interest-bearing Liab.	17	15	11	12
Profit Before Tax	32,161	36,070	41,530	47,670	Risk-weighted Assets	12	13	12	11
Effective Tax	(2,632)	(2,930)	(3,623)	(4,135)					
Profit After Tax	29,529	33,140	37,908	43,535	Revenue Breakdown (%)				
Minority Interest	(196)	(196)	(196)	(196)	Net Interest Inc./Op Income	73.9	74.8	74.6	74.7
NPAT	29,333	32,944	37,712	43,339	Fee-based Inc./Op Income	8.5	9.3	10.4	11.4
BALANCE SHEET DATA									
Total Assets	3,628,671	4,065,655	4,550,086	5,099,254	Efficiency (%)				
Total Interbank Assets	116,232	124,342	136,056	148,924	Cost/Income	33.8	33.3	33.2	33.2
Total Loans (Gross)	1,733,314	1,997,029	2,287,690	2,612,545	Expenses/Avg Assets	0.7	0.7	0.7	0.7
Total Customer Deposits	2,058,755	2,314,648	2,600,519	2,922,620					
Other Interest Bearing Liab	2,624,320	3,058,417	3,367,334	3,752,191	Liquidity (%)				
Shareholders' Equity	222,499	246,653	274,287	306,022	Avg Loans/Avg Earning Assets	54.4	55.0	56.8	57.8
ASSET QUALITY					Avg Liquid Assets/AEA	4.0	4.0	3.8	3.6
Non-performing Loans	13,147	15,261	17,421	19,930	Avg Loans/Avg Deposits	81.9	84.5	87.2	88.4
NPL/Gross Loan(%)	0.76	0.76	0.76	0.76	Avg Loan/Avg Deposit&Equity	74.1	76.6	79.0	80.1
Loan Loss Reserve	49,060	56,461	63,573	71,930	Loans/Customer Deposits	84.2	86.3	88.0	89.4
Coverage LLR/NPL (%)	373	370	365	361					
LLR/Gross Loans(%)	2.83	2.83	2.78	2.75	Capital Information (%)				
					Tier 1 Ratio	10.4	10.3	10.2	10.3
Credit cost	15,279	18,405	20,452	24,010	Core Tier 1 Ratio	9.3	9.2	9.2	9.2
Credit cost (%)	0.95	0.99	0.95	0.98	Total CAR	14.3	14.2	14.3	14.4
Credit cost/Net Int Inc (%)	28.7	30.0	29.4	29.8					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Bank of Chengdu Co Ltd (601838.SS)

At the center of Western China's development

PRICE TARGET Rmb26.70

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. Key assumptions for base, bull, and bear:

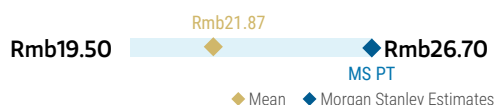
Second-stage ROE: 12.5%, 13.8%, 12.0%

Long-run ROE: 12%, 14.5%, 11%

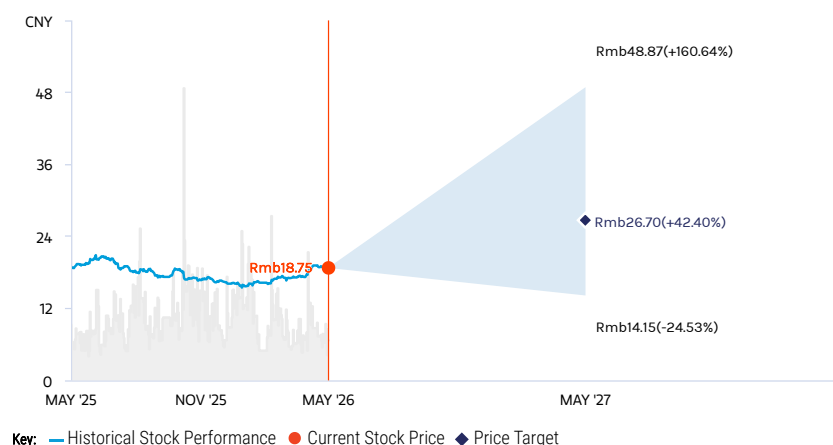
Long-run dividend payout ratio: 54%, 63%, 51%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

BULL CASE

Rmb48.87

implying 2.08x 2026E P/B

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 14.5% and dividend payout ratio of 63%.

BASE CASE

Rmb23.53

implying 1.0x 2026E P/B

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 12% and 54%, respectively.

BEAR CASE

Rmb14.15

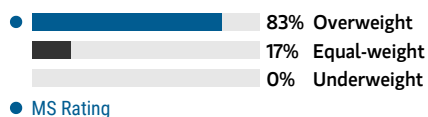
implying 0.60x 2026E P/B

Our bear case assumes slower than expected capacity control and risk digestion, and lower loan rates. 1) Bank NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE and dividend payout ratio of 11% and 51%, respectively.

OVERWEIGHT THESIS

- Western China's growth is concentrated in the Chengdu region, which should benefit credit demand and loan growth at Bank of Chengdu.
- Local debt and infrastructure investments more concentrated in Sichuan going forward should drive more credit demand.
- Localized development path leads to a wide range of local client resources, resulting in a strong corporate banking business.
- Comprehensive and reasonable corporate government structure to ensure effective and steady implementation of strategies.
- Efficient risk management and prudent assessment process lead to stable asset quality.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Bank of Chengdu Co Ltd (601838.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.59	1.62	1.66	1.69
Total asset growth (%)	11.9	9.2	9.6	9.7
Credit cost (%)	0.25	0.29	0.33	0.36
Cost-income ratio (%)	24.9	25.1	25.2	25.3

INVESTMENT DRIVERS

- Strong corporate banking franchise with stable local client resources in the center of Sichuan's development
- Solid retail customer base drives deposit growth
- Efficient risk management supports outstanding asset quality with fast growing earnings.

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention and stronger-than-expected consumption activity recovery.
- More resilient NIM trend than expected.
- Better-than-expected loan yields.

RISKS TO DOWNSIDE

- Unexpected departure of chairman, who has built the risk and local client-focused culture at Bank of Chengdu
- Weaker-than-expected macro trends that weigh on NIM and credit growth.

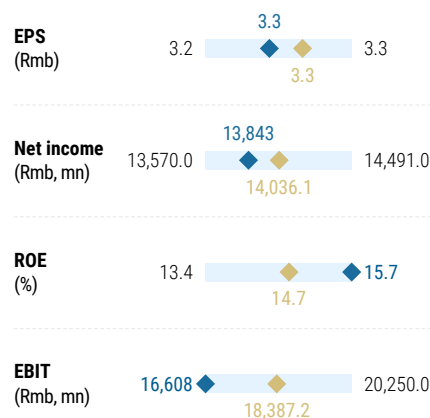
OWNERSHIP POSITIONING

Inst. Owners, % Active 70.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 64: Chengdu Financial Summary [refreshed table below]

Bank of Chengdu									
Profit and Loss Statements					Share Ratios				
(Rmb mil except ratios)	2025	2026E	2027E	2028E	(Rmb mil except ratios)	2025	2026E	2027E	2028E
Avg Earning Assets	1,260,349	1,411,658	1,541,896	1,693,332	ROA (%)	1.00	0.97	0.96	0.96
Net Interest Margin, (%)	1.59%	1.62%	1.66%	1.69%	ROE (%)	15.5	14.7	14.1	13.2
Interest Income	43,650	47,761	52,875	58,911	Book Value Per Share (Rmb)	20.84	23.54	27.08	32.25
Interest Expense	(23,644)	(24,922)	(27,338)	(30,263)	ModelWare EPS (Rmb)	3.07	3.27	3.57	3.90
Net Interest Income	20,006	22,839	25,537	28,648	Gross Dividends (Rmb mn)	3,904	4,158	4,541	4,968
Loan Loss Provision Expense	(2,013)	(2,650)	(3,268)	(3,997)	Gross DPS (Rmb)	0.92	0.98	1.07	1.17
Net Interest Income After LLPE	17,993	20,189	22,269	24,650	Payout Ratio (%)	30.0	30.0	30.0	30.0
Non-interest Income	3,597	2,886	3,090	3,254	Issued Shares (m)	4,170	4,238	4,238	4,238
Fees and Commissions	500	476	510	544	Performance Ratios				
Trading gains	(514)	70	140	200	Growth (%)				
Other Income	3,501	2,200	2,300	2,370	Net Interest Income	8.4	14.2	11.8	12.2
Non-interest Expense	(5,888)	(6,467)	(7,206)	(8,072)	Non-interest Income	(20.4)	(19.8)	7.1	5.3
Salaries & Benefits	(3,306)	(3,703)	(4,164)	(4,705)	Non-interest Expense	1.8	9.8	11.4	12.0
Depreciation and amortization	(1,773)	(1,915)	(2,128)	(2,383)	Net Profit	3.3	6.4	9.0	9.2
Other Expenses	(809)	(650)	(914)	(984)	Avg Earning Assets	13.3	12.0	9.2	9.8
Profit Before Tax	15,668	16,562	18,081	19,740	Avg Interest-bearing Liabilities	13.8	12.0	9.4	9.4
Income Tax	(2,384)	(2,433)	(2,676)	(2,914)	Avg loans	17.6	11.0	10.8	11.0
NET PROFIT after MI	13,283	14,130	15,405	16,826	Revenue Breakdown (%)				
Selected Balance Sheet Data					Net Interest Income/Op Income	84.8	88.8	89.2	89.8
Total Assets	1,398,473	1,527,200	1,674,024	1,835,762	Fee-based Income/Op Income	2.1	1.9	1.8	1.7
Total Liquid Assets	62,663	66,875	73,860	76,030	Efficiency (%)				
Loans to Customers (Gross)	858,395	949,592	1,051,915	1,167,707	Cost/Income	24.9	25.1	25.2	25.3
Total Customer Deposits	988,557	1,075,032	1,185,065	1,309,532	Expenses/Avg Assets	0.4	0.4	0.5	0.5
Total liability and equity	1,398,473	1,527,200	1,674,024	1,835,762	Liquidity (%)				
Shareholders' equity	88,343	99,776	114,775	136,669	Avg Loans/Avg Earning Assets	64.8	64.2	65.1	65.8
Avg Earning Assets	1,260,349	1,411,658	1,541,896	1,693,332	Avg Liquid Assets/AEA	5.3	4.6	4.6	4.4
Avg Loans	817,042	906,525	1,004,391	1,114,461	Avg Loans/Avg Deposits	86.4	87.2	87.4	87.8
Avg Deposits	945,811	1,040,148	1,149,169	1,269,659	Avg Loans/Avg Deposit & Equity	83.0	83.5	83.5	83.4
Avg liability and equity	38,537	45,031	53,803	67,394	Period-End Loans/Deposits	86.8	88.3	88.8	89.2
Asset Quality					Capital (%)				
Non-performing Loans	5,864	6,488	7,373	8,159	Tier 1 Ratio	10.0	10.2	10.5	11.3
NPL/Total Loans (Gross) (%)	0.68	0.68	0.70	0.70	Tier 2 Ratio	3.8	4.2	4.3	4.1
Loan Loss Reserve	24,972	27,243	29,931	32,956	Total CAR	13.8	14.4	14.8	15.4
LLR/Total Loans (Gross) (%)	2.91	2.87	2.85	2.82	IGCR	10.8	10.3	9.9	9.2
Credit cost (bps)	25	29	33	36					
Coverage (%)	426	420	406	404					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Bank of Hangzhou Co Ltd (600926.SS)

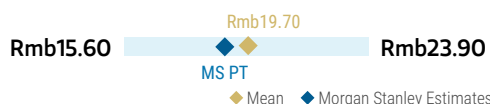
Significant local economic advantages but retail transition may take time

PRICE TARGET Rmb18.90

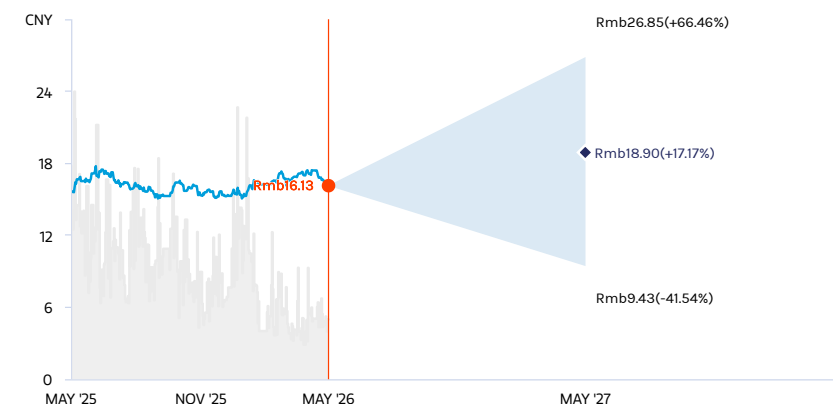
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 12.0% in the base case, and we assume 12.2% for second-stage and 11.5% long-term ROE with a 48% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



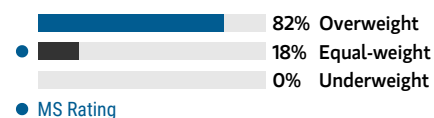
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Low risk-taking strategy for both corporate and retail loans targeting local SMEs and households. Infrastructure loans with high asset quality account for most corporate loans.
- Local debt and infrastructure investments more concentrated in Zhejiang going forward should drive credit demand.
- Strong track record in retail business transition, evidenced by notable retail loans expansion and positive retail shift in asset mix.
- But the bank faces fierce competition in deposits from major national banks in Hangzhou, as reflected by higher-than-peers funding costs, weighing on NIM.
- Higher-than-peers RWA growth could put a strain on capital, weighing on the bank's loan growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb26.85

Implies 1.27x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 13% and dividend payout ratio of 58%.

BASE CASE

Rmb19.36

Implies 0.92x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratio of 11.5% and 48%, respectively.

BEAR CASE

Rmb9.43

Implies 0.45x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and a reduced loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE and dividend payout ratio of 9.5% and 43%, respectively.

Risk Reward – Bank of Hangzhou Co Ltd (600926.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.36	1.37	1.40	1.44
Total asset growth (%)	11.9	9.3	9.0	8.9
Credit cost (%)	0.73	0.45	0.44	0.41
Cost-income ratio (%)	31.1	30.6	30.4	30.3

INVESTMENT DRIVERS

- Great provision release potential with strengthening asset quality.
- Fast fee income growth driven by trust, investment banking and wealth management expansion.
- Retail transition supports positive retail shift in asset mix.

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from wealth management business revenue.

RISKS TO DOWNSIDE

- Further NIM pressure led by fierce deposit market competition and LPR repricing.
- Property market tightening that weighs notably on asset quality
- Slowdown in balance sheet expansion

OWNERSHIP POSITIONING

Inst. Owners, % Active 59.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 40,550.0 42,308.0 44,227.5
42,108.5

EBITDA (Rmb, mn) 24,272
Note: There are not sufficient brokers supplying consensus data for this metric

EPS (Rmb) 2.6 2.8 3.5
3.0

Net income (Rmb, mn) 20,085.8 20,242 23,020.0
20,962.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 65: Hangzhou Financial Summary

Bank of Hangzhou									
PROFIT & LOSS ACCOUNT					SHARE RATIOS				
Year end 31 Dec. (Rmb mil)	2025	2026E	2027E	2028E	Year end 31 December	2025	2026E	2027E	2028E
Avg. Earning Assets	2,029,998	2,259,338	2,460,256	2,682,899	ROAA (%)	0.85	0.86	0.86	0.88
Net Interest Margin (%)	1.36	1.37	1.40	1.44	ROAE (%)	14.94	14.13	13.65	13.28
Interest Income	63,169	67,880	74,894	82,554	Book Value Per Share (Rmb)	18.37	21.15	24.17	27.46
Interest Expense	(35,578)	(37,014)	(40,426)	(43,884)	EPS (Rmb)	2.66	2.79	3.09	3.43
Net Interest Income	27,592	30,865	34,469	38,669	Gross Dividends (Rmb mil)	4,784	5,121	5,665	6,272
Loan Loss Provision Exp.	(7,324)	(5,097)	(5,743)	(5,934)	Gross DPS (Rmb)	0.70	0.71	0.78	0.87
Net Interest Inc. after LLPE	20,268	25,768	28,725	32,736	Payout Ratio (%)	26	25	25	25
Non-interest Income					Issued Shares (mil)	6,800	7,249	7,249	7,249
Fees and Commissions	4,207	4,356	4,672	5,007	PERFORMANCE RATIOS				
Forex gains	285	491	513	545	Growth (%)				
Other investment gains	6,422	6,261	6,532	6,713	Net Interest Income	13	12	12	12
Other Income	293	335	377	433	Non-interest Income	(20)	2	6	5
Total Non-interest Income	11,207	11,443	12,094	12,698	Non-interest Expense	3	7	9	10
Non-interest Expense	(12,076)	(12,939)	(14,158)	(15,588)	Net Profit	12	11	10	10
Profit Before Tax	21,189	23,333	25,731	28,332	Avg Interest-earning Assets	17	11	9	9
Effective Tax	(2,159)	(2,163)	(2,382)	(2,556)	Avg Interest-bearing Liab.	13	15	10	9
Profit After Tax	19,029	21,170	23,349	25,776	Risk-weighted Assets	13	11	10	10
Minority Interest	-	-	-	-	Revenue Breakdown (%)				
NPAT	19,029	21,170	23,349	25,776	Net Interest Inc./Op Income	71.1	73.0	74.0	75.3
BALANCE SHEET DATA					Fee-based Inc./Op Income	10.8	10.3	10.0	9.7
Total Assets	2,362,806	2,583,294	2,816,288	3,066,153	Efficiency (%)				
Total Interbank Assets	114,039	109,414	114,518	119,884	Cost/Income	31.1	30.6	30.4	30.3
Total Loans (Gross)	1,071,876	1,216,368	1,364,966	1,514,651	Expenses/Avg Assets	0.5	0.5	0.5	0.5
Total Customer Deposits	1,458,999	1,615,112	1,780,015	1,954,421	Liquidity (%)				
Other Interest Bearing Liab	682,895	735,257	780,766	826,822	Avg Loans/Avg Earning Assets	49.7	51.4	51.6	52.7
Shareholders' Equity	133,189	153,287	175,228	199,052	Avg Liquid Assets/AEA	4.9	5.0	4.9	4.8
ASSET QUALITY					Avg Loans/Avg Deposits	74.7	72.8	71.3	72.3
Non-performing Loans	8,123	9,293	10,320	11,483	Avg Loan/Avg Deposit&Equity	68.0	66.4	64.9	65.6
NPL/Gross Loan(%)	0.76	0.76	0.76	0.76	Loans/Customer Deposits	73.5	75.3	76.7	77.5
Loan Loss Reserve	40,605	42,099	44,375	45,930	Capital Information (%)				
Coverage LLR/NPL (%)	502	453	430	400	Tier 1 Ratio	11.8	11.9	12.1	12.3
LLR/Gross Loans(%)	3.81	3.46	3.25	3.03	Core Tier 1 Ratio	9.6	10.0	10.4	10.7
Credit cost	5,513	5,975	6,586	7,321	Total CAR	14.4	14.4	14.4	14.5
Credit cost (%)	0.73	0.45	0.44	0.41					
Credit cost /Net Int Inc (%)	20.0	19.4	19.1	18.9					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Bank of Beijing Co Ltd (601169.SS)

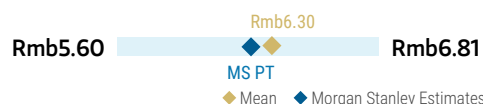
Good initiatives on retail transformation but risk digestion is a key concern

PRICE TARGET Rmb6.20

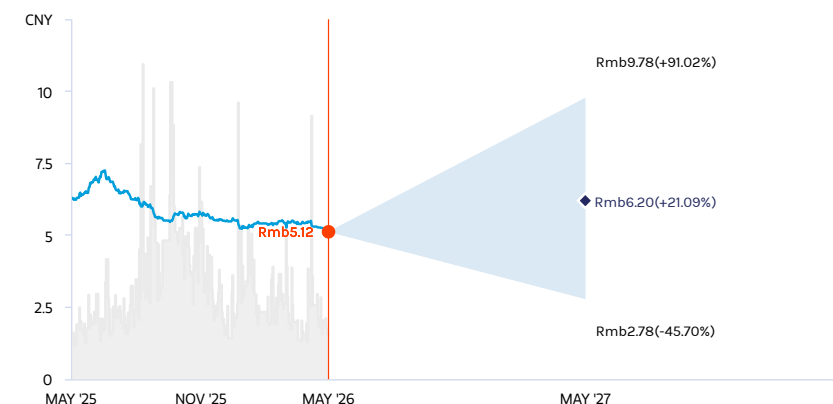
We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 12.0% in the base case, and we assume 7.8% for second-stage and 9% for long-term ROE with a 39% dividend payout ratio in the long run.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



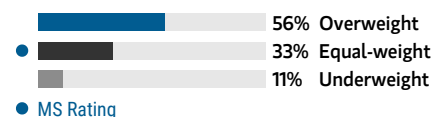
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Headquartered in Beijing, Bank of Beijing appears well-positioned to capture the strategic growth opportunities and benefit from regional retail wealth accumulation.
- Strong track record in retail banking transformation as evidenced by notable AUM and client number accretion.
- That said, overhangs of NPL and interbank risk digestion remain key concerns. NIM compression led by asset de-risking and social responsibility on yield reduction could weigh on revenue.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb9.78

implying 0.72x 2026E P/B

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE of 10% and dividend payout ratio of 48%.

BASE CASE

Rmb6.19

implying 0.46x 2026E P/B

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE of 9% and dividend payout ratio of 39%.

BEAR CASE

Rmb2.78

implying 0.21x 2026E P/B

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Banks NIM could be under pressure for longer; 2) Higher NPL formation in industrial sectors could weigh on banks' asset quality; 3) Long-term ROE of 7% and dividend payout ratio of 26%.

Risk Reward – Bank of Beijing Co Ltd (601169.SS)

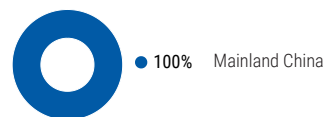
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.27	1.24	1.25	1.27
Total asset growth (%)	17.0	7.7	7.2	7.0
Credit cost (%)	0.76	0.49	0.66	0.83
Cost-income ratio (%)	32.4	32.2	32.0	32.1

INVESTMENT DRIVERS

- Retail banking transformation leads higher non-interest income mix in revenue, supporting higher growth
- Group level synergy delivers notable non-interest income growth potential
- Fintech leads better-than-peers cost efficiency

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected asset quality

RISKS TO DOWNSIDE

- NIM pressure due to loan yield reduction and competition in funding sources
- Ongoing corporate loan book risk digestion could lead to persistent provision buffer and slow profit rebound
- Higher % of bank shares pledged/frozen by large shareholders weighs down valuation.

OWNERSHIP POSITIONING

Inst. Owners, % Active 38.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

EPS (Rmb) 0.8 1.0 1.3

ROE (%) 4.6 6.2 7.2 9.5

Net income (Rmb, mn) 17,089 22,572.8 28,150.0

EBIT (Rmb, mn) 30,687.7 37,240 48,279.1 55,805.0

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 66: Beijing Financial Summary

Bank of Beijing					SHARE RATIOS				
PROFIT & LOSS ACCOUNT					Year end 31 December				
Year end 31 Dec. (Rmb mil)	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	
Avg. Earning Assets	4,158,404	4,532,632	4,865,909	5,209,754	ROAA (%)	0.44	0.40	0.38	0.38
Net Interest Margin (%)	1.27	1.24	1.25	1.27	ROAE (%)	6.18	6.11	6.13	6.23
Interest Income	120,735	126,433	136,525	146,715	Book Value Per Share (Rmb)	12.97	13.50	14.05	14.63
Interest Expense	(67,860)	(70,408)	(75,834)	(80,798)	EPS (Rmb)	0.79	0.81	0.84	0.89
Net Interest Income	52,875	56,025	60,690	65,918	Gross Dividends (Rmb mil)	5,878	6,004	6,272	6,635
Loan Loss Provision Exp.	(17,466)	(11,984)	(17,104)	(22,746)	Gross DPS (Rmb)	0.28	0.28	0.30	0.31
Net Interest Inc. after LLPE	35,409	44,042	43,586	43,171	Payout Ratio (%)	35	35	35	35
					Issued Shares (mil)	21,143	21,143	21,143	21,143
Non-interest Income					PERFORMANCE RATIOS				
Fees and Commissions	3,825	3,937	4,130	4,337	Growth (%)				
Forex gains	275	277	288	294	Net Interest Income	2	6	8	9
Other investment gains	10,944	12,102	12,812	13,515	Non-interest Income	(18)	9	6	5
Other Income	117	206	229	254	Non-interest Expense	3	6	7	8
Total Non-interest Income	15,161	16,522	17,459	18,399	Net Profit	(24)	2	4	5
Non-interest Expense	(22,034)	(23,324)	(25,013)	(27,041)	Avg Interest-earning Assets	18	9	7	7
Profit Before Tax	20,714	22,210	23,240	24,406	Avg Interest-bearing Liab.	17	12	8	8
Effective Tax	(585)	(1,723)	(1,989)	(2,122)	Risk-weighted Assets	6	7	7	7
Profit After Tax	20,129	20,487	21,252	22,284	Revenue Breakdown (%)				
Minority Interest	(43)	(43)	(43)	(43)	Net Interest Inc./Op Income	77.7	77.2	77.7	78.2
NPAT	20,086	20,444	21,209	22,241	Fee-based Inc./Op Income	5.6	5.4	5.3	5.1
BALANCE SHEET DATA									
Total Assets	4,938,273	5,320,393	5,705,465	6,106,959	Efficiency (%)				
Total Interbank Assets	576,995	659,780	717,068	777,969	Cost/Income	32.4	32.2	32.0	32.1
Total Loans (Gross)	2,399,755	2,523,427	2,671,201	2,828,962	Expenses/Avg Assets	0.5	0.5	0.5	0.5
Total Customer Deposits	2,731,729	2,953,545	3,193,373	3,452,675	Liquidity (%)				
Other Interest Bearing Liab	1,550,587	1,861,173	1,997,357	2,130,025	Avg Loans/Avg Earning Assets	55.4	53.1	52.6	52.1
Shareholders' Equity	274,300	285,385	296,967	309,218	Avg Liquid Assets/AEA	11.2	13.9	14.5	14.6
ASSET QUALITY					Avg Loans/Avg Deposits	89.4	87.0	85.7	83.9
Non-performing Loans	30,967	33,185	35,076	37,078	Avg Loan/Avg Deposit&Equity	80.8	78.9	77.9	76.6
NPL/Gross Loan(%)	1.29	1.32	1.31	1.31	Loans/Customer Deposits	87.8	85.4	83.6	81.9
Loan Loss Reserve	62,000	58,073	58,928	64,146	Capital Information (%)				
Coverage LLR/NPL (%)	200	175	168	173	Tier 1 Ratio	11.7	11.4	11.0	10.7
LLR/Gross Loans(%)	2.58	2.30	2.21	2.27	Core Tier 1 Ratio	8.4	8.1	7.9	7.7
Credit cost	25,250	26,959	29,863	32,850	Total CAR	12.9	13.1	12.7	12.3
Credit cost (%)	0.76	0.49	0.66	0.83					
Credit cost /Net Int Inc (%)	47.8	48.1	49.2	49.8					

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Chongqing Rural Commercial Bank (3618.HK)

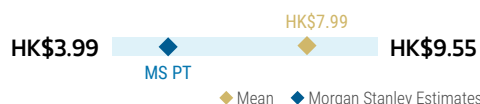
Liquid balance sheet, but pressure on asset quality and ROE

PRICE TARGET HK\$5.10

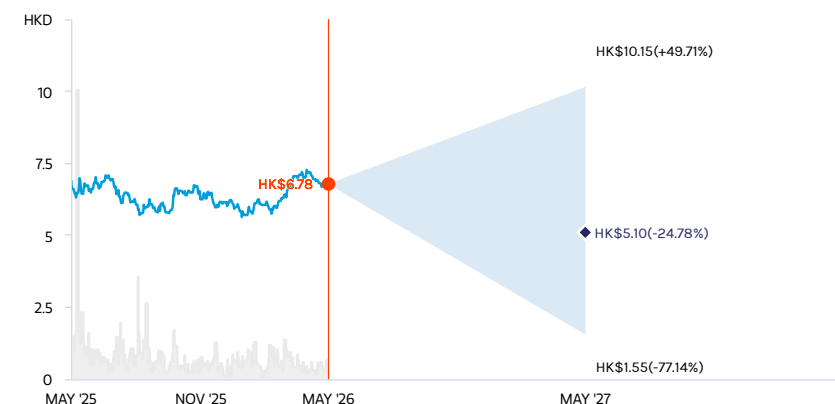
We continue to use a 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 12.5% in the base case, and we assume 8.1% for second-stage and 7.5% for long-term ROE with a 27% long-term dividend payout ratio.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



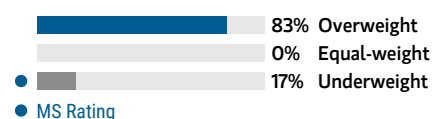
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- CRCB has a relatively liquid balance sheet among China banks under our coverage.
- However, the regional economic slowdown in Chongqing could weigh on the bank's asset quality and pressure its ROE.
- We view valuation as fair at current levels, based on a target 2026e P/B of 0.36x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$10.15

Implies 0.71x 2026E BPS

Our bull case assumes quicker profitability recovery in industrial firms and a quick rebound in banks' loan yield and NIM amid strong global demand. Long-term ROE and dividend payout ratios of 8.5% and 39%, respectively.

BASE CASE

HK\$4.68

Implies 0.33x 2026E BPS

Our base case reflects earlier-than-expected NIM rebound and a smooth risk digestion process in a positive development loop. Long-term ROE and dividend payout ratios of 7.5% and 27%, respectively.

BEAR CASE

HK\$1.55

Implies 0.11x 2026E BPS

Our bear case assumes slower than expected capacity control and risk digestion, and further lower loan rate. 1) Bank NIM under pressure for longer; 2) higher NPL formation in industrial sectors weigh on bank asset quality; 3) lower long-term ROE and dividend payout ratios of 5.5% and 5%, respectively.

Risk Reward – Chongqing Rural Commercial Bank (3618.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Net interest margin (%)	1.60	1.63	1.67	0.00
Total asset growth (%)	10.0	7.3	6.6	6.6
Credit cost (%)	0.73	0.76	0.85	0.00
Cost-income ratio (%)	32.9	32.9	32.9	32.8

INVESTMENT DRIVERS

- Capital replenishment with A-share listing.
- Well established deposit franchise in Chongqing area providing support for funding.

GLOBAL REVENUE EXPOSURE



● 100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Expanding fee income contribution, especially from rapid wealth management business ramp-up.

RISKS TO DOWNSIDE

- Social responsibilities continue to weigh in, coupled with a market downturn, eroding bottom line.
- Slowdown in Chongqing's economic growth.

OWNERSHIP POSITIONING

Inst. Owners, % Active 47.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 30,157.1 **30,528.3** 31,099.4
30,667.0

EBITDA (Rmb, mn) **15,192**
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) 12,439.8 **12,671** 13,451.0
13,077.9

EPS (Rmb) 1.1 **1.1** 1.2
1.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 67: CRCB Financial Summary

Chongqing Rural Commercial Bank					Share Ratios				
Profit and Loss Statements					(Rmb mil except ratios)				
	2025	2026E	2027E	2028E		2025	2026E	2027E	2028E
Avg Earning Assets	1,520,537	1,619,558	1,733,485	1,851,973	ROAA (%)	0.76	0.73	0.72	0.71
Net Interest Margin, (%)	1.60	1.63	1.67	1.71	ROCE (%)	9.02	9.08	9.02	8.90
Interest Income	46,465	48,016	51,917	55,865	Book Value Per Share (Rmb)	12.07	12.51	13.40	14.34
Interest Expense	(22,205)	(21,538)	(22,940)	(24,248)	EPS (Rmb)	1.07	1.12	1.17	1.23
Net Interest Income	24,261	26,478	28,977	31,617	Gross Dividends (Rmb mn)	3,645	3,801	3,981	4,206
Loan Loss Provision Expense	(5,085)	(6,123)	(7,385)	(8,535)	Gross DPS (Rmb)	0.32	0.33	0.35	0.37
Net Interest Income After LLPE	19,175	20,355	21,592	23,082	Payout Ratio (%)	30	30	30	30
Non-interest Income	4,388	4,050	4,253	4,533	Issued Shares (m)	11,357	11,357	11,357	11,357
Fees and Commissions	1,294	1,347	1,404	1,478	Performance Ratios				
Trading gains	2,993	2,384	2,465	2,563	Growth (%)				
Other Income	101	319	384	492	Net Interest Income	7.9	9.1	9.4	9.1
Non-interest Expense	(9,425)	(10,037)	(10,926)	(11,862)	Fees and Commissions	(19.7)	4.0	4.2	5.3
Salaries & Benefits	(5,623)	(6,181)	(6,728)	(7,305)	Non-interest Expense	0.3	6.5	8.9	8.6
Depreciation and amortization	(603)	(824)	(897)	(974)	Net Profit	5.3	4.5	4.7	5.7
Other Expenses	(2,999)	(3,032)	(3,301)	(3,584)	Total Assets	10.0	7.3	6.6	6.6
Profit Before Tax	13,709	14,168	14,759	15,593	Loans to Customers (Gross)	11.6	8.2	7.0	6.9
Income Tax	(1,289)	(1,297)	(1,290)	(1,372)	Total Customer Deposits	9.2	6.7	6.3	6.3
NET PROFIT after MI	12,128	12,671	13,269	14,021	Revenue Breakdown (%)				
Selected Balance Sheet Data					Net Interest Income/Op Income	84.7	86.7	87.2	87.5
Total Assets	1,665,744	1,786,712	1,905,234	2,031,436	Fee-based Income/Op Income	4.5	4.4	4.2	4.1
Total Liquid Assets	97,239	107,443	112,282	122,624	Efficiency (%)				
Loans to Customers (Gross)	797,287	862,797	922,777	986,601	Cost/Income	32.9	32.9	32.9	32.8
Total Customer Deposits	1,028,728	1,097,983	1,166,717	1,239,753	Expenses/Avg Assets	0.6	0.6	0.6	0.6
Total liability and equity	1,665,744	1,786,712	1,905,234	2,031,436	Liquidity (%)				
Shareholders' equity	137,127	142,044	152,145	162,849	Avg Loans/Avg Earning Assets	49.7	51.3	51.5	51.5
Avg Earning Assets	1,520,537	1,619,558	1,733,485	1,851,973	Avg Liquid Assets/AEA	5.6	6.3	6.3	6.3
Avg Loans	755,947	830,887	893,427	954,421	Avg Loans/Avg Deposits	75.3	78.9	79.9	80.3
Avg Deposits	1,004,408	1,052,842	1,118,848	1,188,917	Avg Loans/Avg Deposit & Equity	71.0	74.5	75.0	75.2
Avg liability and equity	59,721	63,117	71,626	80,647	Period-End Loans/Deposits	77.5	78.6	79.1	79.6
Asset Quality					Capital (%)				
Non-performing Loans	8,589	9,234	9,891	10,547	Tier 1 Ratio	13.3	13.2	12.9	13.0
NPL/Total Loans (Gross) (%)	1.08	1.07	1.07	1.07	Tier 2 Ratio	1.2	1.1	1.1	1.1
Loan Loss Reserve	31,394	32,504	34,173	36,388	Total CAR	14.5	14.3	14.0	14.1
LLR/Total Loans (Gross) (%)	3.94	3.77	3.70	3.69	Internally-generated Capital Ratio	6.3	6.4	6.3	6.2
Credit cost (bps)	73	76	85	91					
Coverage (%)	366	352	346	345					

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 68: Valuation comps

				P/E		P/B		Div Yield		ROE		ROA	
Ticker		Price		26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
								(%)	(%)	(%)	(%)	(%)	(%)
Chinese Banks													
H Share Banks													
ABC	OW	1288.HK	6.10 HKD	6.5	6.1	0.63	0.59	4.9	5.2	10.0	9.9	0.6	0.6
ICBC	OW	1398.HK	6.89 HKD	5.7	5.4	0.52	0.49	5.5	5.8	9.4	9.3	0.7	0.7
CCB	OW	0939.HK	8.78 HKD	5.7	5.4	0.52	0.49	5.3	5.6	9.8	9.7	0.7	0.7
BOC	OW	3988.HK	5.22 HKD	6.2	5.9	0.53	0.49	5.4	5.7	8.7	8.7	0.6	0.6
PSBC	OW	1658.HK	5.09 HKD	6.3	6.0	0.54	0.51	5.1	5.3	8.5	8.8	0.4	0.4
CMB	OW	3968.HK	46.94 HKD	6.8	6.5	0.85	0.78	5.2	5.5	13.0	12.6	1.1	1.1
Citic	OW	0998.HK	8.21 HKD	5.4	5.0	0.49	0.46	5.9	6.4	9.5	9.6	0.7	0.7
Minsheng	OW	1988.HK	3.53 HKD	4.9	4.5	0.23	0.22	6.2	6.7	4.8	5.0	0.3	0.4
BoCom	UW	3328.HK	7.29 HKD	5.1	4.9	0.39	0.37	5.1	5.3	7.8	7.7	0.6	0.6
Everbright	UW	6818.HK	3.16 HKD	4.7	4.5	0.27	0.26	7.2	7.6	6.6	6.7	0.5	0.5
CRCB	UW	3618.HK	6.79 HKD	5.3	5.1	0.47	0.44	5.6	5.9	9.1	9.0	0.7	0.7
Average				5.7	5.4	0.50	0.46	5.6	5.9	8.8	8.8	0.6	0.6
A Share Banks													
PingAn	OW	000001.SZ	10.99	5.1	4.8	0.44	0.41	5.7	6.0	8.9	8.8	0.7	0.7
Minsheng	OW	600016.SS	3.61	5.7	5.2	0.27	0.26	5.3	5.8	4.8	5.0	0.3	0.4
Industrial	OW	601166.SS	17.67	4.8	4.4	0.42	0.39	6.5	7.0	9.0	9.1	0.7	0.7
CMB	OW	600036.SS	37.65	6.3	6.0	0.79	0.73	5.6	5.9	13.0	12.6	1.1	1.1
Ningbo	OW	002142.SZ	31.84	6.5	5.7	0.84	0.76	4.3	4.9	13.6	14.1	0.8	0.9
Chengdu	OW	601838.SS	18.72	5.7	5.3	0.80	0.69	5.2	5.7	14.7	14.1	0.9	0.9
ABC	EW	601288.SS	6.67	8.1	7.7	0.79	0.74	3.9	4.1	10.0	9.9	0.6	0.6
ICBC	EW	601398.SS	7.24	6.9	6.5	0.63	0.59	4.6	4.8	9.4	9.3	0.7	0.7
CCB	EW	601939.SS	9.82	7.4	7.0	0.67	0.63	4.1	4.3	9.8	9.7	0.7	0.7
BOC	EW	601988.SS	5.79	7.9	7.5	0.67	0.63	4.3	4.5	8.7	8.7	0.6	0.6
CITIC	EW	601998.SS	8.10	6.2	5.7	0.57	0.53	5.1	5.6	9.5	9.6	0.7	0.7
SPDB	EW	600000.SS	9.07	6.2	5.7	0.42	0.39	4.9	5.3	6.7	7.1	0.5	0.5
Beijing	EW	601169.SS	5.23	6.4	6.1	0.38	0.37	5.5	5.7	6.1	6.1	0.3	0.3
Hangzhou	EW	600926.SS	16.51	5.9	5.3	0.77	0.68	4.3	4.7	14.0	13.5	0.8	0.8
BoCom	UW	601328.SS	6.72	5.4	5.2	0.41	0.39	4.8	5.0	7.8	7.7	0.6	0.6
Everbright	UW	601818.SS	3.11	5.4	5.1	0.31	0.30	6.3	6.7	6.6	6.7	0.5	0.5
Huaxia	UW	600015.SS	6.60	4.1	4.0	0.3	0.3	6.1	6.3	7.9	7.6	0.5	0.5
Average				6.1	5.7	0.6	0.5	5.1	5.4	9.5	9.4	0.6	0.6

Source: Factset, Morgan Stanley Research estimates; Closing prices as of May 19, 2026.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/22/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$19.96
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb17.34
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$15.33
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$25.54
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb25.87
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.50
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$89.76
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.86
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.13
GF Securities (000776.SZ)	E (08/07/2025)	Rmb19.05
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.22
HTSC (601688.SS)	E (09/23/2024)	Rmb18.16

HTSC (6886.HK)	E (09/23/2024)	HK\$15.66
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.46
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.92
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.93
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.10
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.54
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.86
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.23
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.17
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.64
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.05
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb31.09
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.75
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.61
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.77
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.10
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.02
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.10
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb37.02
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$46.26
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.52
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.46
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.70
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.75
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.85
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.18
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb17.46
Lufax (LU.N)		US\$1.64
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.68
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.04
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$11.65
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb8.96

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* Historical prices are not split adjusted.